

NVIDIA CORP

FORM 10-Q (Quarterly Report)

Filed 05/22/08 for the Period Ending 04/27/08

Address	2701 SAN TOMAS EXPRESSWAY SANTA CLARA, CA 95050
Telephone	408-486-2000
CIK	0001045810
Symbol	NVDA
SIC Code	3674 - Semiconductors and Related Devices
Industry	Semiconductors
Sector	Technology
Fiscal Year	01/26

**UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549**

FORM 10-Q

☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**
For the quarterly period ended April 27, 2008

OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

Commission file number: 0-23985



NVIDIA CORPORATION
(Exact name of registrant as specified in its charter)

Delaware
(State or Other Jurisdiction of
Incorporation or Organization)

94-3177549
(I.R.S. Employer
Identification No.)

2701 San Tomas Expressway
Santa Clara, California 95050
(408) 486-2000

(Address, including zip code, and telephone number,
including area code, of principal executive offices)

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, or a smaller reporting company. See definitions of "large accelerated filer", "accelerated filer" and "smaller reporting company" in Rule 12b-2 of the Exchange Act.:

Large accelerated filer ☒
Non-accelerated filer ☐ (Do not check if a smaller reporting
company)

Accelerated filer ☐
Smaller reporting company ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

The number of shares of registrant's common stock, \$0.001 par value, outstanding as of May 15, 2008 was 554,733,685.

NVIDIA CORPORATION
FORM 10-Q
FOR THE QUARTER ENDED APRIL 27, 2008

TABLE OF CONTENTS

	<u>Page</u>
PART I : FINANCIAL INFORMATION	
Item 1. Financial Statements (Unaudited)	3
a) Condensed Consolidated Statements of Income for the three months ended April 27, 2008 and April 29, 2007	3
b) Condensed Consolidated Balance Sheets as of April 27, 200 8 and January 27, 2008	4
c) Condensed Consolidated Statements of Cash Flows for the three months ended April 27, 2008 and April 29, 200 7	5
d) Notes to C ondense d C onsolidated Financial Statements	6
Item 2. Management’s Discussion and Analysis of Financial Condition and Results of Operations	24
Item 3 . Quantitative and Qualitative Disclosures about Market Risk	34
Item 4. Controls and Procedures	35
PART II : OTHER INFORMATION	
Item 1 . Legal Proceedings	36
Item 1 A. Risk Factors	36
Item 2 . Unregistered Sales of Equity Securities and Use of Proceeds	49
Item 3. Defaults upon Senior Securities	50
Item 4. Submission of Matters to a Vote of Security Holders	50
Item 5. Other Information	50
Item 6. Exhibits	51
Signatures	52

PART I. FINANCIAL INFORMATION

ITEM 1. FINANCIAL STATEMENTS (UNAUDITED)

NVIDIA CORPORATION AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(UNAUDITED)
(In thousands, except per share data)

	Three Months Ended	
	April 27, 2008	April 29, 2007
Revenue	\$ 1,153,388	\$ 844,280
Cost of revenue	638,545	464,142
Gross profit	514,843	380,138
Operating expenses:		
Research and development	218,830	158,321
Sales, general and administrative	93,034	80,571
Total operating expenses	311,864	238,892
Income from operations	202,979	141,246
Interest income	14,323	13,208
Other expense, net	(4,284)	(665)
Income before income tax expense	213,018	153,789
Income tax expense	36,213	21,530
Net income	<u>\$ 176,805</u>	<u>\$ 132,259</u>
Basic income per share	<u>\$ 0.32</u>	<u>\$ 0.24</u>
Shares used in basic per share computation (1)	555,673	541,247
Diluted income per share	<u>\$ 0.30</u>	<u>\$ 0.22</u>
Shares used in diluted per share computation (1)	591,989	598,299

(1) Reflects a three-for-two stock split effective on September 10, 2007.

See accompanying Notes to Condensed Consolidated Financial Statements

NVIDIA CORPORATION AND SUBSIDIARIES
CONDENSED CONSOLIDATED BALANCE SHEETS
(UNAUDITED)
(In thousands)

	April 27, 2008	January 27, 2008
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 803,308	\$ 726,969
Marketable securities	818,331	1,082,509
Accounts receivable, net	651,800	666,494
Inventories	420,126	358,521
Prepaid expenses and other	55,428	54,336
Total current assets	2,748,993	2,888,829
Property and equipment, net	522,056	359,808
Goodwill	371,019	354,057
Intangible assets, net	125,001	106,926
Deposits and other assets	40,389	38,051
Total assets	<u>\$ 3,807,458</u>	<u>\$ 3,747,671</u>
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	\$ 427,855	\$ 492,099
Accrued liabilities	448,697	475,062
Total current liabilities	876,552	967,161
Other long-term liabilities	193,728	162,598
Commitments and contingencies - see Note 12		
Stockholders' equity:		
Preferred stock	-	-
Common stock	623	619
Additional paid-in capital	1,727,519	1,654,681
Treasury stock, at cost	(1,163,528)	(1,039,632)
Accumulated other comprehensive income	1,549	8,034
Retained earnings	2,171,015	1,994,210
Total stockholders' equity	2,737,178	2,617,912
Total liabilities and stockholders' equity	<u>\$ 3,807,458</u>	<u>\$ 3,747,671</u>

See accompanying Notes to Condensed Consolidated Financial Statements.

NVIDIA CORPORATION AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(UNAUDITED)
(In thousands)

	Three Months Ended	
	April 27, 2008	April 29, 2007
Cash flows from operating activities:		
Net income	\$ 176,805	\$ 132,259
Adjustments to reconcile net income to net cash provided by operating activities:		
Stock-based compensation expense related to employees	42,124	37,405
Depreciation and amortization	41,358	31,334
Deferred income taxes	31,186	899
Payments under patent licensing arrangement	(4,980)	(11,291)
Other	1,238	60
Changes in operating assets and liabilities, net of effects of acquisitions:		
Accounts receivable	15,826	47,847
Inventories	(61,149)	22,840
Prepaid expenses and other current assets	(831)	(2,642)
Deposits and other assets	(2,258)	1,376
Accounts payable	(68,608)	61,344
Accrued liabilities and other long-term liabilities	(25,466)	(26,233)
Net cash provided by operating activities	145,245	295,198
Cash flows from investing activities:		
Purchases of marketable securities	(289,649)	(268,211)
Proceeds from sales and maturities of marketable securities	545,803	214,775
Purchases of property and equipment and intangible assets	(202,173)	(26,336)
Acquisition of businesses, net of cash and cash equivalents	(27,948)	-
Other	(1,500)	-
Net cash used in investing activities	24,533	(79,772)
Cash flows from financing activities:		
Payments for stock repurchases	(123,896)	(125,000)
Proceeds from issuance of common stock under employee stock plans	30,457	44,111
Net cash used in financing activities	(93,439)	(80,889)
Change in cash and cash equivalents	76,339	134,537
Cash and cash equivalents at beginning of period	726,969	544,414
Cash and cash equivalents at end of period	<u>\$ 803,308</u>	<u>\$ 678,951</u>
Supplemental disclosures of cash flow information:		
Cash paid for income taxes, net	<u>\$ 1,982</u>	<u>\$ 1,916</u>
Other non-cash activities:		
Unrealized losses from marketable securities	<u>\$ 8,234</u>	<u>\$ 213</u>

See accompanying Notes to Condensed Consolidated Financial Statements.

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
(Unaudited)

Note 1 - Summary of Significant Accounting Policies

Basis of presentation

The accompanying unaudited condensed consolidated financial statements were prepared in accordance with accounting principles generally accepted in the United States of America for interim financial information and with the instructions to Form 10-Q and Article 10 of Securities and Exchange Commission, or SEC, Regulation S-X. In the opinion of management, all adjustments, consisting only of normal recurring adjustments except as otherwise noted, considered necessary for a fair statement of results of operations and financial position have been included. The results for the interim periods presented are not necessarily indicative of the results expected for any future period. The following information should be read in conjunction with the audited financial statements and notes thereto included in our Annual Report on Form 10-K for the year ended January 27, 2008.

Fiscal year

We operate on a 52 or 53-week year, ending on the last Sunday in January. The first quarters in fiscal years 2009 and 2008 were both 13-week quarters.

Stock Split

In August 2007, our Board of Directors, or the Board, approved a three-for-two stock split of our outstanding shares of common stock on Monday, August 20, 2007 to be effected in the form of a stock dividend. The stock split was effective on Monday, September 10, 2007 and entitled each stockholder of record on August 20, 2007 to receive one additional share for every two outstanding shares of common stock held and cash in lieu of fractional shares. All share and per-share numbers contained herein have been retroactively adjusted to reflect this stock split.

Reclassifications

Certain prior fiscal year balances have been reclassified to conform to the current fiscal year presentation.

Principles of Consolidation

Our consolidated financial statements include the accounts of NVIDIA Corporation and its wholly owned subsidiaries. All material intercompany balances and transactions have been eliminated in consolidation.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates. On an on-going basis, we evaluate our estimates, including those related to revenue recognition, accounts receivable, inventories, income taxes, goodwill, stock-based compensation and contingencies. These estimates are based on historical facts and various other assumptions that we believe are reasonable.

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Revenue Recognition

Product Revenue

We recognize revenue from product sales when persuasive evidence of an arrangement exists, the product has been delivered, the price is fixed and determinable, and collection is reasonably assured. For most sales, we use a binding purchase order and in certain cases we use a contractual agreement as evidence of an arrangement. We consider delivery to occur upon shipment provided title and risk of loss have passed to the customer based on the shipping terms. At the point of sale, we assess whether the arrangement fee is fixed and determinable and whether collection is reasonably assured. If we determine that collection of a fee is not reasonably assured, we defer the fee and recognize revenue at the time collection becomes reasonably assured, which is generally upon receipt of payment.

Our policy on sales to certain distributors, with rights of return, is to defer recognition of revenue and related cost of revenue until the distributors resell the product.

We record estimated reductions to revenue for customer programs at the time revenue is recognized. Our customer programs primarily involve rebates, which are designed to serve as sales incentives to resellers of our products in various target markets. We account for rebates in accordance with Emerging Issues Task Force Issue 01-9, or EITF 01-09, *Accounting for Consideration Given by a Vendor to a Customer (Including a Reseller of the Vendor's Products)* and, as such, we accrue for 100% of the potential rebates and do not apply a breakage factor. Rebates typically expire six months from the date of the original sale, unless we reasonably believe that the customer intends to claim the rebate. Unclaimed rebates are reversed to revenue upon expiration of the rebate.

Our customer programs also include marketing development funds, or MDFs. We account for MDFs as either a reduction of revenue or an operating expense in accordance with EITF 01-09. MDFs represent monies paid to retailers, system builders, original equipment manufacturers, or OEMs, distributors and add-in card partners that are earmarked for market segment development and expansion and typically are designed to support our partners' activities while also promoting NVIDIA products. Depending on market conditions, we may take actions to increase amounts offered under customer programs, possibly resulting in an incremental reduction of revenue at the time such programs are offered.

We also record a reduction to revenue by establishing a sales return allowance for estimated product returns at the time revenue is recognized, based primarily on historical return rates. However, if product returns for a particular fiscal period exceed historical return rates we may determine that additional sales return allowances are required to properly reflect our estimated exposure for product returns.

License and Development Revenue

For license arrangements that require significant customization of our intellectual property components, we generally recognize this license revenue using the percentage-of-completion method of accounting over the period that services are performed. For all license and service arrangements accounted for under the percentage-of-completion method, we determine progress to completion based on actual direct labor hours incurred to date as a percentage of the estimated total direct labor hours required to complete the project. We periodically evaluate the actual status of each project to ensure that the estimates to complete each contract remain accurate. A provision for estimated losses on contracts is made in the period in which the loss becomes probable and can be reasonably estimated. Costs incurred in advance of revenue recognized are recorded as deferred costs on uncompleted contracts. If the amount billed exceeds the amount of revenue recognized, the excess amount is recorded as deferred revenue. Revenue recognized in any period is dependent on our progress toward completion of projects in progress. Significant management judgment and discretion are used to estimate total direct labor hours. Any changes in or deviations from these estimates could have a material effect on the amount of revenue we recognize in any period.

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Adoption of New Accounting Pronouncements

On January 28, 2008, we adopted Statement of Financial Accounting Standards No. 157, or SFAS No. 157, *Fair Value Measurements*. SFAS No. 157 for all financial assets and financial liabilities recognized or disclosed at fair value in the financial statements. SFAS No. 157 establishes a framework for measuring fair value and expands disclosures about fair value measurements. The changes to current practice resulting from the application of SFAS No. 157 relate to the definition of fair value, the methods used to measure fair value, and the expanded disclosures about fair value measurements. The adoption of SFAS No. 157 for financial assets and liabilities did not have a significant impact on our consolidated financial statements, and the resulting fair values calculated under SFAS No. 157 after adoption were not significantly different than the fair values that would have been calculated under previous guidance. Please refer to Note 16 of these Notes to the Condensed Consolidated Financial Statements for further details on our fair value measurements.

Additionally, in February 2008, the FASB issued FASB Staff Position No. FAS 157-2, or FSP No. 157-2, *Effective Date of FASB Statement No. 157, to partially defer FASB Statement No. 157, Fair Value Measurements*. FSP No. 157-2 defers the effective date of FAS 157 for non-financial assets and non-financial liabilities, except those that are recognized or disclosed at fair value in the financial statements on a recurring basis (at least annually), to fiscal years, and interim periods within those fiscal years, beginning after November 15, 2008. We do not believe the adoption of FSP 157-2 will have a material impact on our consolidated financial position, results of operations and cash flows.

On January 28, 2008, we adopted the Financial Accounting Standards Board, or FASB issued Statement of Financial Accounting Standards No. 159, or SFAS No. 159, *The Fair Value Option for Financial Assets and Financial Liabilities*. SFAS No. 159 permits companies to choose to measure certain financial instruments and certain other items at fair value using an instrument-by-instrument election. The standard requires that unrealized gains and losses on items for which the fair value option has been elected be reported in earnings. Under SFAS No. 159, we did not elect the fair value option for any of our assets and liabilities. The adoption of SFAS No. 159 did not have an impact on our consolidated financial statements.

In June 2007, the FASB ratified Emerging Issues Task Force Issue No. 07-3, or EITF 07-3, *Accounting for Nonrefundable Advance Payments for Goods or Services to Be Used in Future Research and Development Activities*. EITF 07-3 requires non-refundable advance payments for goods and services to be used in future research and development activities to be recorded as an asset and the payments to be expensed when the research and development activities are performed. We adopted the provisions of EITF 07-3 beginning with our fiscal quarter ended April 27, 2008. The adoption of EITF 07-3 did not have any impact on our consolidated financial position, results of operations and cash flows.

Recently Issued Accounting Pronouncements

In December 2007, the FASB issued Statement of Financial Accounting Standards No. 141 (revised 2007), or SFAS No. 141(R), *Business Combinations*. Under SFAS No. 141(R), an entity is required to recognize the assets acquired, liabilities assumed, contractual contingencies, and contingent consideration at their fair value on the acquisition date. It further requires that acquisition-related costs be recognized separately from the acquisition and expensed as incurred, restructuring costs generally be expensed in periods subsequent to the acquisition date, and changes in accounting for deferred tax asset valuation allowances and acquired income tax uncertainties after the measurement period impact income tax expense. In addition, acquired in-process research and development, or IPR&D, is capitalized as an intangible asset and amortized over its estimated useful life. We are required to adopt the provisions of SFAS No. 141(R) beginning with our fiscal quarter ending April 26, 2009. The adoption of SFAS No. 141(R) is expected to change our accounting treatment for business combinations on a prospective basis beginning in the period it is adopted.

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Note 2 - Stock-Based Compensation

Effective January 30, 2006, we adopted the provisions of Statement of Financial Accounting Standards No. 123(R), or SFAS No. 123(R), *Share-based Payment*, which establishes accounting for stock-based awards exchanged for employee services. Accordingly, stock-based compensation expense is measured at grant date, based on the fair value of the awards, and is recognized as expense over the requisite employee service period. We elected to adopt the modified prospective application method beginning January 30, 2006 as provided by SFAS No. 123(R). We recognize stock-based compensation expense using the straight-line attribution method. We estimate the value of employee stock options on the date of grant using a binomial model.

Our condensed consolidated income statements include stock-based compensation expense, net of amounts capitalized as inventory, as follows:

	Three Months Ended	
	April 27, 2008	April 29, 2007
	(In thousands)	
Cost of revenue	\$ 3,136	\$ 2,809
Research and development	24,534	22,400
Sales, general and administrative	14,454	12,196
Total	<u>\$ 42,124</u>	<u>\$ 37,405</u>

During the three months ended April 27, 2008 and April 29, 2007, we granted approximately 8.7 million and 7.2 million stock options, respectively, with an estimated total grant-date fair value of \$87.0 million and \$56.1 million, respectively, and a per option weighted average grant-date fair value of \$9.97 and \$7.75, respectively. Of the estimated total grant-date fair value, we estimated that the stock-based compensation expense related to the awards that are not expected to vest was \$17.0 million and \$10.5 million for the three months ended April 27, 2008 and April 29, 2007, respectively.

As of April 27, 2008 and April 29, 2007, the aggregate amount of unearned stock-based compensation expense related to our stock options was \$272.9 million and \$185.3 million, respectively, adjusted for estimated forfeitures. We will recognize the unearned stock-based compensation expense related to stock options over an estimated weighted average amortization period of 2.2 years and 2.1 years, respectively.

Valuation Assumptions

We determined that the use of implied volatility is expected to be more reflective of market conditions and, therefore, can reasonably be expected to be a better indicator of our expected volatility than historical volatility. We also segregated options into groups for employees with relatively homogeneous exercise behavior in order to calculate the best estimate of fair value using the binomial valuation model. As such, the expected term assumption used in calculating the estimated fair value of our stock-based compensation awards using the binomial model is based on detailed historical data about employees' exercise behavior, vesting schedules, and death and disability probabilities. Our management believes the resulting binomial calculation provides a more refined estimate of the fair value of our employee stock options. For our employee stock purchase plan we continue to use the Black-Scholes model.

SFAS No. 123(R) also requires forfeitures to be estimated at the time of grant and revised, if necessary, in subsequent periods if actual forfeitures differ from those estimates. Forfeitures are estimated based on historical experience. If factors change and we employ different assumptions in the application of SFAS No. 123(R) in future periods, the compensation expense that we record under SFAS No. 123(R) may differ significantly from what we have recorded in the current period.

The fair value of stock options granted during the first quarters of fiscal years 2009 and 2008, respectively, under our stock option plans and shares issued under our employee stock purchase plan have been estimated at the date of grant with the following assumptions:

	Three Months Ended	
	April 27, 2008	April 29, 2007
	(Using a binomial model)	
Stock Options		
Weighted average expected life of stock options (in years)	3.6 - 5.7	3.9 - 5.8
Risk free interest rate	2.6% - 2.9%	4.6%
Volatility	60% - 68%	39% - 45%
Dividend yield	—	—

	Three Months Ended	
	April 27, 2008	April 29, 2007
	<i>(Using a Black-Scholes model)</i>	
Employee Stock Purchase Plan		
Weighted average expected life of stock options (in years)	0.5 - 2.0	0.5 - 2.0
Risk free interest rate	1.6% - 1.8%	4.6% - 5.0%
Volatility	68%	47%
Dividend yield	—	—

Equity Incentive Plans

We consider equity compensation to be long-term compensation and an integral component of our efforts to attract and retain exceptional executives, senior management and world-class employees. We believe that properly structured equity compensation aligns the long-term interests of stockholders and employees by creating a strong, direct link between employee compensation and stock appreciation, as stock options are only valuable to our employees if the value of our common stock increases after the date of grant.

The description of the key features of the Nvidia Corporation 2007 Equity Incentive Plan, or the 2007 Plan, PortalPlayer, Inc. 1999 Stock Option Plan, or 1999 Plan, and 1998 Employee Stock Purchase Plan, may be read in conjunction with the audited financial statements and notes thereto included in our Annual Report on Form 10-K for the year ended January 27, 2008.

The following summarizes the transactions under our equity incentive plans:

	Options Available for Grant	Options Outstanding	Weighted Average Exercise Price Per Share
Balances, January 27, 2008	44,044,004	90,581,073	\$ 13.18
Granted	(8,729,705)	8,729,705	\$ 18.21
Exercised	-	(2,531,463)	\$ 4.77
Cancelled	502,017	(502,017)	\$ 22.80
Balances, April 27, 2008	<u>35,816,316</u>	<u>96,277,298</u>	\$ 13.81

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Note 3 – Income Taxes

Income tax expense as a percentage of income before taxes, or our effective tax rate, was 17% for the three months ended April 27, 2008, and 14% for the three months ended April 29, 2007. Our effective tax rate is lower than the U.S. federal statutory tax rate of 35% primarily on account of foreign earnings being taxed in foreign jurisdictions at rates below the U.S. statutory tax rate. The increase in our effective tax rate to 17% as of April 27, 2008 from 14% at April 29, 2007 was primarily due to the expiration of the federal research tax credit.

In accordance with FASB Interpretation No. 48, “*Accounting for Uncertainty in Income Taxes—An Interpretation of SFAS No. 109*,” or FIN 48, we classify unrecognized tax benefits under the current liabilities section of the Condensed Consolidated Balance Sheet, or as a reduction of the amount of a net operation loss carryforward or amount refundable, to the extent that we anticipate payment or receipt of cash for income taxes within one year. Likewise, the amount is classified under the long-term liability section of the Condensed Consolidated Balance Sheet if we anticipate payment or receipt of cash for income taxes during a period beyond a year.

For the three months ended April 27, 2008, our unrecognized tax benefits increased by \$5.2 million. If recognized, \$4.5 million of the \$5.2 million would impact our effective tax rate, and \$0.7 million of the \$5.2 million would increase our gross deferred tax assets, which would likely require a full valuation allowance. As a result, at April 27, 2008, we had \$83.0 million of unrecognized tax benefits. If recognized, \$63.0 million of the \$83.0 million would impact our effective tax rate, \$6.9 million of the \$83.0 million would be an adjustment to goodwill as it relates to pre-acquisition unrecognized tax benefits, and \$13.1 million of the \$83.0 million would increase our gross deferred tax assets, which would likely require a full valuation allowance.

We recognize interest and penalties related to unrecognized tax benefits as a component of income tax expense. As of April 27, 2008 and January 27, 2008, we had accrued \$12.1 million and \$11.2 million, respectively, for the payment of interest and penalties related to unrecognized tax benefits, which is not included as a component of our unrecognized tax benefits.

While we believe that we have adequately provided for all tax positions, amounts asserted by tax authorities could be greater or less than our accrued position. Accordingly, our provisions on federal, state and foreign tax-related matters to be recorded in the future may change as revised estimates are made or the underlying matters are settled or otherwise resolved. As of April 27, 2008, we do not believe that our estimates, as otherwise provided for, on such tax positions will significantly increase or decrease within the next twelve months.

We are subject to taxation by a number of taxing authorities both in the United States and throughout the world. As of April 27, 2008, the material tax jurisdictions that are subject to examination include the United States, Hong Kong, Taiwan, China, India and Germany and include our fiscal years 2002 through 2008. As of April 27, 2008, the material tax jurisdictions for which we are currently under examination include the U.S. for federal tax purposes for fiscal years 2004 through 2006, Taiwan for fiscal year 2003 and 2004, India for fiscal years equivalent 2005 and 2006, and Germany for fiscal year equivalent 2006.

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Note 4 – Net Income Per Share

Basic net income per share is computed using the weighted average number of common shares outstanding during the period. Diluted net income per share is computed using the weighted average number of common and dilutive common equivalent shares outstanding during the period, using the treasury stock method. Under the treasury stock method, the effect of stock options outstanding is not included in the computation of diluted net income per share for periods when their effect is anti-dilutive. The following is a reconciliation of the numerators and denominators of the basic and diluted net income per share computations for the periods presented:

	Three Months Ended	
	April 27, 2008	April 29, 2007
	(In thousands, except per share data)	
Numerator:		
Net income	\$ 176,805	\$ 132,259
Denominator:		
Denominator for basic net income per share, weighted average shares	555,673	541,247
Effect of dilutive securities:		
Stock options outstanding	36,316	57,052
Denominator for diluted net income per share, weighted average shares	<u>591,989</u>	<u>598,299</u>
Net income per share:		
Basic net income per share	\$ 0.32	\$ 0.24
Diluted net income per share	\$ 0.30	\$ 0.22

Diluted net income per share does not include the effect of anti-dilutive common equivalent shares from stock options outstanding of 32.3 million and 19.2 million as of April 27, 2008 and April 29, 2007, respectively.

Note 5 - Marketable Securities

We account for our investment instruments in accordance with Statement of Financial Accounting Standards No. 115, or SFAS No. 115, *Accounting for Certain Investments in Debt and Equity Securities*. All of our cash equivalents and marketable securities are treated as “available-for-sale” under SFAS No. 115. Cash equivalents consist of financial instruments which are readily convertible into cash and have original maturities of three months or less at the time of acquisition. Marketable securities consist primarily of highly liquid investments with a maturity of greater than three months when purchased and some equity investments. We classify our marketable securities at the date of acquisition in the available-for-sale category as our intention is to convert them into cash for operations. These securities are reported at fair value with the related unrealized gains and losses included in accumulated other comprehensive income (loss), a component of stockholders’ equity, net of tax. Any unrealized losses which are considered to be other-than-temporary impairment, would be recorded in the other expense section of our consolidated statements of income. As of April 27, 2008, we did not recognize any such other-than-temporary impairment on our securities. Realized gains and losses on the sale of marketable securities are determined using the specific-identification method. Net realized gains for the three months ended April 27, 2008 and April 29, 2007 were \$1.3 million and \$0.1 million, respectively. The unrealized gains for the three months ended April 27, 2008 and April 29, 2007 were \$2.5 million and \$1.5 million, respectively. Refer to Note 16 of these Notes to the Condensed Consolidated Financial Statements for further details on our fair value measurements.

Note 6 - 3dfx

During fiscal year 2002, we completed the purchase of certain assets from 3dfx Interactive, Inc., or 3dfx, for an aggregate purchase price of approximately \$74.2 million. On December 15, 2000, NVIDIA Corporation and one of our indirect subsidiaries entered into an Asset Purchase Agreement, or the APA, which closed on April 18, 2001, to purchase certain graphics chip assets from 3dfx. Under the terms of the APA, the cash consideration due at the closing was \$70.0 million, less \$15.0 million that was loaned to 3dfx pursuant to a Credit Agreement dated December 15, 2000. The APA also provided, subject to the other provisions thereof, that if 3dfx properly certified that all its debts and other liabilities had been provided for, then we would have been obligated to pay 3dfx one million shares, which due to subsequent stock splits now totals six million shares, of NVIDIA common stock. If 3dfx could not make such a certification, but instead properly certified that its debts and liabilities could be satisfied for less than \$25.0 million, then 3dfx could have elected to receive a cash payment equal to the amount of such debts and liabilities and a reduced number of shares of our common stock, with such reduction calculated by dividing the cash payment by \$25.00 per share. If 3dfx could not certify that all of its debts and liabilities had been provided for, or could not be satisfied, for less than \$25.0 million, we would not be obligated under the APA to pay any additional consideration for the assets.

In October 2002, 3dfx filed for Chapter 11 bankruptcy protection in the United States Bankruptcy Court for the Northern District of California. In March 2003, we were served with a complaint filed by the Trustee appointed by the Bankruptcy Court to represent 3dfx's bankruptcy estate. The Trustee's complaint asserts claims for, among other things, successor liability and fraudulent transfer and seeks additional payments from us. On October 13, 2005, the Bankruptcy Court held a hearing on the Trustee's motion for summary adjudication. On December 23, 2005, the Bankruptcy Court denied the Trustee's Motion for Summary Adjudication in all material respects and held that NVIDIA may not dispute that the value of the 3dfx transaction was less than \$108.0 million. The Bankruptcy Court denied the Trustee's request to find that the value of the 3dfx assets conveyed to NVIDIA was at least \$108.0 million. In early November 2005, after several months of mediation, NVIDIA and the Official Committee of Unsecured Creditors, or the Creditors' Committee, agreed to a Plan of Liquidation of 3dfx, which included a conditional settlement of the Trustee's claims against NVIDIA. This conditional settlement was subject to a confirmation process through a vote of creditors and the review and approval of the Bankruptcy Court after notice and hearing. The conditional settlement called for a payment by NVIDIA of approximately \$30.6 million to the 3dfx estate. Under the settlement, \$5.6 million related to various administrative expenses and Trustee fees, and \$25.0 million related to the satisfaction of debts and liabilities owed to the general unsecured creditors of 3dfx. Accordingly, during the three month period ended October 30, 2005, we recorded \$5.6 million as a charge to settlement costs and \$25.0 million as additional purchase price for 3dfx. The Trustee advised that he intended to object to the settlement. However, the conditional settlement never progressed substantially through the confirmation process.

On December 21, 2005, the Bankruptcy Court determined that it would schedule trial of one portion of the Trustee's case against NVIDIA. On January 2, 2007, NVIDIA exercised its right to terminate the settlement agreement on grounds that the Bankruptcy Court had failed to proceed toward confirmation of the Creditors' Committee's plan. A non-jury trial began on March 21, 2007 on valuation issues in the Trustee's constructive fraudulent transfer claims against NVIDIA. Specifically, the Bankruptcy Court tried four questions: (1) what did 3dfx transfer to NVIDIA in the APA?; (2) of what was transferred, what qualifies as "property" subject to the Bankruptcy Court's avoidance powers under the Uniform Fraudulent Transfer Act and relevant bankruptcy code provisions?; (3) what is the fair market value of the "property" identified in answer to question (2)?; and (4) was the \$70 million that NVIDIA paid "reasonably equivalent" to the fair market value of that property? At the conclusion of the evidence, the Bankruptcy Court asked the parties to submit post-trial briefing. That briefing was completed on May 25, 2007. On April 30, 2008, the Bankruptcy Court issued its Memorandum Decision After Trial, in which it provided a detailed summary of the trial proceedings and the parties' contentions with respect to each of the questions to be tried. The Bankruptcy Court concluded that "the creditors of 3dfx were not injured by the Transaction." This decision does not entirely dispose of the Trustee's action, however; still pending are the Trustee's claims for successor liability and intentional fraudulent conveyance. On May 12, 2008, the Trustee filed a motion for leave to pursue an interlocutory appeal.

The 3dfx asset purchase price of \$95.0 million and \$4.2 million of direct transaction costs were allocated based on fair values presented below. The final allocation of the purchase price of the 3dfx assets is contingent upon the outcome of all of the 3dfx litigation. Please refer to Note 12 of these Notes to Condensed Consolidated Financial Statements for further information regarding this litigation.

	Fair Market Value	Straight-Line Amortization Period
	(In thousands)	(Years)
Property and equipment	\$ 2,433	1-2
Trademarks	11,310	5
Goodwill	85,418	--
Total	<u>\$ 99,161</u>	

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Note 7 – Business Combinations

On February 10, 2008, we acquired Ageia Technologies, Inc., or Ageia, an industry leader in gaming physics technology. The combination of the graphics processing unit, or GPU, and physics engine brands is expected to enhance the visual experience of the gaming world. The aggregate purchase price consisted of total consideration of approximately \$29.7 million.

On November 30, 2007, we completed our acquisition of Mental Images, Inc., or Mental Images, an industry leader in photorealistic rendering technology. Mental Images' Mental Ray product is considered by many to be the most pervasive ray tracing renderer in the industry. The aggregate purchase price consisted of total consideration of approximately \$88.3 million. The total consideration also includes approximately \$7.8 million which reflects an initial investment we made in Mental Images in prior periods.

We allocated the purchase price of each of these acquisitions to tangible assets, liabilities and identifiable intangible assets acquired, as well as IPR&D, if identified, based on their estimated fair values. The excess of purchase price over the aggregate fair values was recorded as goodwill. The fair value assigned to identifiable intangible assets acquired was based on estimates and assumptions made by management. Purchased intangibles are amortized on a straight-line basis over their respective useful lives. The allocation of the purchase price for the Mental Images and Ageia acquisitions have been prepared on a preliminary basis and reasonable changes are expected as additional information becomes available.

As of April 27, 2008, the estimated fair values of the purchase price allocated to assets we acquired and liabilities we assumed on the respective acquisition dates were as follows:

	Mental Images	Ageia
	(In thousands)	
Fair Market Values		
Cash and cash equivalents	\$ 988	\$ 1,744
Marketable Securities	-	28
Accounts receivable	1,462	911
Prepaid and other current assets	249	3,825
Property and equipment	1,376	166
In-process research and development	4,000	-
Goodwill	63,290	16,758
Intangible assets:		
Existing technology	14,400	13,450
Customer relationships	6,500	170
Patents	5,000	-
Trademark	1,200	900
Total assets acquired	<u>98,465</u>	<u>37,952</u>
Current liabilities	(6,395)	(7,232)
Acquisition related costs	(1,208)	(1,000)
Long-term liabilities	(2,542)	-
Total liabilities assumed	<u>(10,145)</u>	<u>(8,232)</u>
Net assets acquired	<u>\$ 88,320</u>	<u>\$ 29,720</u>

	Mental Images	Ageia
	(Straight-line depreciation/amortization period)	
Property and equipment	2 -5 years	1-2 years
Intangible assets:		
Existing technology	4-5 years	4 years
Customer relationships	4-5 years	5 years
Patents	5 years	-
Trademark	5 years	5 years

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

The amount of the IPR&D represents the value assigned to research and development projects of Mental Images that had commenced but had not yet reached technological feasibility at the time of the acquisition and for which we had no alternative future use. In accordance with Statement of Financial Accounting Standards No. 2, or SFAS No. 2, *Accounting for Research and Development Costs*, as clarified by FASB issued Interpretation No. 4, or FIN 4, *Applicability of FASB Statement No. 2 to Business Combinations Accounted for by the Purchase Method an interpretation of FASB Statement No. 2*, amounts assigned to IPR&D meeting the above-stated criteria were charged to research and development expenses as part of the allocation of the purchase price.

The pro forma results of operations for these acquisitions have not been presented because the effects of the acquisitions, individually or in the aggregate, were not material to our results.

Note 8 - Goodwill

The carrying amount of goodwill is as follows:

	April 27, 2008	January 27, 2008
	(In thousands)	
3dfx	\$ 75,326	\$ 75,326
MediaQ	35,167	35,167
ULi	31,115	31,115
Hybrid Graphics	27,906	27,906
PortalPlayer	104,473	104,473
Mental Images	63,290	63,086
Ageia	16,758	-
Other	16,984	16,984
Total goodwill	<u>\$ 371,019</u>	<u>\$ 354,057</u>

During the first quarter of fiscal year 2009, the amount of goodwill increased by \$17.0 million primarily due to our acquisition of Ageia on February 10, 2008.

Note 9 - Amortizable Intangible Assets

We are currently amortizing our intangible assets with definitive lives over periods ranging from one to five years, primarily on a straight-line basis. The components of our amortizable intangible assets are as follows:

	April 27, 2008			January 27, 2008		
	Gross Carrying Amount	Accumulated Amortization	Net Carrying Amount	Gross Carrying Amount	Accumulated Amortization	Net Carrying Amount
	(In thousands)					
Technology licenses	\$ 90,562	\$ (25,865)	\$ 64,697	\$ 94,970	\$ (32,630)	\$ 62,340
Patents	12,183	(5,095)	7,088	35,348	(27,632)	7,716
Acquired intellectual property	75,030	(21,814)	53,216	77,900	(41,030)	36,870
Other	-	-	-	1,494	(1,494)	-
Total intangible assets	<u>\$ 177,775</u>	<u>\$ (52,774)</u>	<u>\$ 125,001</u>	<u>\$ 209,712</u>	<u>\$ (102,786)</u>	<u>\$ 106,926</u>

The increase in the net carrying amount of technology licenses as of April 27, 2008 when compared to January 27, 2008, is primarily related to approximately \$5.0 million of net cash outflows under a confidential patent licensing arrangement entered into during fiscal year 2007, offset by amortization for the quarter. Additionally, the increase in net carrying value of acquired intellectual property of \$16.3 million is primarily related to intangible assets that resulted from our acquisition of Ageia during the first quarter of fiscal year 2009. Please refer to Note 7 of these Notes to Condensed Consolidated Financial Statements for further information. The decrease in the gross carrying amounts of the intangible assets as of April 27, 2008 when compared to January 27, 2008 is due to the write off of fully amortized intangible assets.

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Amortization expense associated with intangible assets was \$7.5 million and \$7.0 million for the three months ended April 27, 2008 and April 29, 2007, respectively. Future amortization expense related to the net carrying amount of intangible assets at April 27, 2008 is estimated to be \$23.5 million for the remainder of fiscal 2009, \$27.4 million in fiscal 2010, \$22.7 million in fiscal 2011, \$21.0 million in fiscal 2012, \$16.8 million in fiscal 2013, and a total of \$13.6 million in fiscal 2014 and fiscal years subsequent of fiscal 2014.

Note 10 - Balance Sheet Components

Certain balance sheet components are as follows:

	April 27, 2008	January 27, 2008
	(In thousands)	
Inventories:		
Raw materials	\$ 31,307	\$ 31,299
Work in-process	162,386	107,835
Finished goods	226,433	219,387
Total inventories	<u>\$ 420,126</u>	<u>\$ 358,521</u>

At April 27, 2008, we had outstanding inventory purchase obligations totaling approximately \$654.3 million.

	April 27, 2008	January 27, 2008
	(In thousands)	
Accrued Liabilities:		
Accrued customer programs (1)	\$ 261,589	\$ 271,869
Accrued payroll and related expenses	88,420	122,284
Accrued legal settlement (2)	30,600	30,600
Deferred rent	11,825	11,982
Taxes payable	8,898	7,766
Deferred revenue	14,708	5,856
Other	32,657	24,705
Total accrued liabilities	<u>\$ 448,697</u>	<u>\$ 475,062</u>

(1) Please refer to Note 1 of these Notes to Condensed Consolidated Financial Statements for discussion regarding the nature of accrued customer programs and their accounting treatment related to our revenue recognition policies and estimates.

(2) Please refer to Note 12 of these Notes to Condensed Consolidated Financial Statements for discussion regarding the 3dfx litigation.

	April 27, 2008	January 27, 2008
	(In thousands)	
Other Long-term Liabilities:		
Deferred income tax liability	\$ 114,596	\$ 86,900
Income taxes payable, long term	49,628	44,235
Asset retirement obligation	6,534	6,470
Other long-term liabilities	22,970	24,993
Total other long-term liabilities	<u>\$ 193,728</u>	<u>\$ 162,598</u>

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Note 11 - Guarantees

FASB Interpretation No. 45, or FIN 45, *Guarantor's Accounting and Disclosure Requirements for Guarantees, Including Indirect Guarantees of Indebtedness of Others*, requires that upon issuance of a guarantee, the guarantor must recognize a liability for the fair value of the obligation it assumes under that guarantee. In addition, FIN 45 requires disclosures about the guarantees that an entity has issued, including a tabular reconciliation of the changes of the entity's product warranty liabilities.

We record a reduction to revenue for estimated product returns at the time revenue is recognized primarily based on historical return rates. The estimated product returns and estimated product warranty liabilities for the three months ended April 27, 2008 and April 29, 2007 are as follows:

	<u>April 27, 2008</u>	<u>April 29, 2007</u>
	(In thousands)	
Balance at beginning of period	\$ 24,432	\$ 17,958
Additions (1)	9,550	4,980
Deductions (2)	(8,882)	(3,875)
Balance at end of period (3)	<u>\$ 25,100</u>	<u>\$ 19,063</u>

(1) Includes \$8,865 and \$4,746 for the three months ended April 27, 2008 and April 29, 2007, respectively, towards allowances for sales returns estimated at the time revenue is recognized primarily based on historical return rates and is charged as a reduction to revenue.

(2) Includes \$8,882 and \$3,875 for the three months ended April 27, 2008 and April 29, 2007, respectively, written off against the allowance for sales returns.

(3) Includes \$18,708 and \$15,348 at April 27, 2008 and April 29, 2007, respectively, relating to allowance for sales returns.

In connection with certain agreements that we have executed in the past, we have at times provided indemnities to cover the indemnified party for matters such as tax, product and employee liabilities. We have also on occasion included intellectual property indemnification provisions in our technology related agreements with third parties. Maximum potential future payments cannot be estimated because many of these agreements do not have a maximum stated liability. As such, we have not recorded any liability in our Condensed Consolidated Financial Statements for such indemnifications.

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Note 12 - Commitments and Contingencies

3dfx

On December 15, 2000, NVIDIA Corporation and one of our indirect subsidiaries entered into an Asset Purchase Agreement, or APA, to purchase certain graphics chip assets from 3dfx which closed on April 18, 2001.

In May 2002, we were served with a California state court complaint filed by the landlord of 3dfx's San Jose, California commercial real estate lease, Carlyle Fortran Trust, or Carlyle. In December 2002, we were served with a California state court complaint filed by the landlord of 3dfx's Austin, Texas commercial real estate lease, CarrAmerica Realty Corporation. The landlords' complaints both asserted claims for, among other things, interference with contract, successor liability and fraudulent transfer. The landlords' sought to recover money damages, including amounts owed on their leases with 3dfx in the aggregate amount of approximately \$15 million. In October 2002, 3dfx filed for Chapter 11 bankruptcy protection in the United States Bankruptcy Court for the Northern District of California. In January 2003, the landlords' actions were removed to the United States Bankruptcy Court for the Northern District of California and consolidated, for purposes of discovery, with a complaint filed against NVIDIA by the Trustee in the 3dfx bankruptcy case. Upon motion by NVIDIA in 2005, the District Court withdrew the reference to the Bankruptcy Court for the landlords' actions, which were removed to the United States District Court for the Northern District of California. The Trustee's lawsuit remained in the Bankruptcy Court. On November 10, 2005, the District Court granted our motion to dismiss the landlords' respective amended complaints and allowed the landlords until February 4, 2006 to amend their complaints. The landlords re-filed claims against NVIDIA in early February 2006, and NVIDIA again filed motions requesting the District Court to dismiss those claims. On September 29, 2006, the District Court dismissed the CarrAmerica action in its entirety and without leave to amend. The District Court found, among other things, that CarrAmerica lacked standing to bring the lawsuit and that standing rests exclusively with the bankruptcy Trustee. On October 27, 2006, CarrAmerica filed a notice of appeal from that order. On December 15, 2006, the District Court also dismissed the Carlyle action in its entirety, finding that Carlyle also lacked standing to pursue its claims, and that certain claims were substantively unmeritorious. Carlyle filed a notice of appeal from that order on January 9, 2007. Both landlords' appeals are pending before the United States Court of Appeals for the Ninth Circuit, and briefing on both appeals has been consolidated. NVIDIA has filed motions to recover its litigation costs and attorneys fees against both Carlyle and CarrAmerica. The District Court has postponed consideration of those motions until after the appeals are resolved.

In March 2003, we were served with a complaint filed by the Trustee appointed by the Bankruptcy Court to represent 3dfx's bankruptcy estate. The Trustee's complaint asserts claims for, among other things, successor liability and fraudulent transfer and seeks additional payments from us. On October 13, 2005, the Bankruptcy Court held a hearing on the Trustee's motion for summary adjudication. On December 23, 2005, the Bankruptcy Court denied the Trustee's Motion for Summary Adjudication in all material respects and held that NVIDIA may not dispute that the value of the 3dfx transaction was less than \$108.0 million. The Bankruptcy Court denied the Trustee's request to find that the value of the 3dfx assets conveyed to NVIDIA was at least \$108.0 million. In early November 2005, after several months of mediation, NVIDIA and the Official Committee of Unsecured Creditors, or the Creditors' Committee, agreed to a Plan of Liquidation of 3dfx, which included a conditional settlement of the Trustee's claims against us. This conditional settlement was subject to a confirmation process through a vote of creditors and the review and approval of the Bankruptcy Court after notice and hearing. The conditional settlement called for a payment by NVIDIA of approximately \$30.6 million to the 3dfx estate. Under the settlement, \$5.6 million related to various administrative expenses and Trustee fees, and \$25.0 million related to the satisfaction of debts and liabilities owed to the general unsecured creditors of 3dfx. Accordingly, during the three month period ended October 30, 2005, we recorded \$5.6 million as a charge to settlement costs and \$25.0 million as additional purchase price for 3dfx. The Trustee advised that he intended to object to the settlement. The conditional settlement never progressed substantially through the confirmation process.

On December 21, 2005, the Bankruptcy Court determined that it would schedule trial of one portion of the Trustee's case against NVIDIA. On January 2, 2007, NVIDIA exercised its right to terminate the settlement agreement on grounds that the Bankruptcy Court had failed to proceed toward confirmation of the Creditors' Committee's plan. A non-jury trial began on March 21, 2007 on valuation issues in the Trustee's constructive fraudulent transfer claims against NVIDIA. Specifically, the Bankruptcy Court tried four questions: (1) what did 3dfx transfer to NVIDIA in the APA?; (2) of what was transferred, what qualifies as "property" subject to the Bankruptcy Court's avoidance powers under the Uniform Fraudulent Transfer Act and relevant bankruptcy code provisions?; (3) what is the fair market value of the "property" identified in answer to question (2)?; and (4) was the \$70 million that NVIDIA paid "reasonably equivalent" to the fair market value of that property? At the conclusion of the evidence, the Bankruptcy Court asked the parties to submit post-trial briefing. That briefing was completed on May 25, 2007. On April 30, 2008, the Bankruptcy Court issued its Memorandum Decision After Trial, in which it provided a detailed summary of the trial proceedings and the parties' contentions with respect to each of the questions to be tried. The Bankruptcy Court concluded that "the creditors of 3dfx were not injured by the Transaction." This decision does not entirely dispose of the Trustee's action, however; still pending are the Trustee's claims for successor liability and intentional fraudulent conveyance. On May 12, 2008, the Trustee filed a motion for leave to pursue an interlocutory appeal.

On December 8, 2005, the Trustee filed a Form 8-K on behalf of 3dfx, in which the Trustee disclosed the terms of the conditional settlement agreement between NVIDIA and the Creditor's Committee. Thereafter, certain shareholders of 3dfx filed a petition with the Bankruptcy Court to appoint an official committee to represent the claimed interests of 3dfx shareholders. That petition was granted and an Equity Holders' Committee was appointed. Since that appointment, the Equity Holders' Committee has filed a competing plan of reorganization/liquidation. The Equity Holders' Committee's plan assumes that 3dfx can raise additional equity capital that would be used to retire all of 3dfx's debts. The Equity Holders' Committee contends that the commitment by an investor to pay in equity capital is sufficient to trigger NVIDIA's obligations under the APA to pay the stock consideration. NVIDIA contends, among other things, that such a commitment is not sufficient and that its obligation to pay the stock consideration has been extinguished. By virtue of stock splits since the execution of the APA, the stock consideration would now total six million shares of NVIDIA common stock. The Equity Holders' Committee filed a motion with the Bankruptcy Court seeking an order giving it standing to bring a lawsuit to obtain the stock consideration. Over our objection, the Bankruptcy Court granted that motion on May 1, 2006 and the Equity Holders' Committee filed its Complaint for Declaratory Relief against NVIDIA that same day. NVIDIA moved to dismiss the Complaint for Declaratory Relief, and the Bankruptcy Court granted that motion with leave to amend. The Equity Committee thereafter amended its complaint, and NVIDIA moved to dismiss that amended complaint as well. At a hearing on December 21, 2006, the Bankruptcy Court granted the motion as to one of the Equity Holders' Committee's claims, and denied it as to the others. However, the Bankruptcy Court also ruled that NVIDIA would only be required to answer the first three causes of action by which the Equity Holders' Committee seeks a determination that the APA was not terminated before 3dfx filed for bankruptcy protection, that the 3dfx bankruptcy estate still holds some rights in the APA, and that the APA is capable of being assumed by the bankruptcy estate. Because of the trial of the Trustee's fraudulent transfer claims against NVIDIA, the Equity Committee's lawsuit has not progressed substantially in 2007. The next status conference is not scheduled until August 28, 2008. In addition, the Equity Holders Committee filed a motion seeking Bankruptcy Court approval of investor protections for Harbinger Capital Partners Master Fund I, Ltd., an equity investment firm that has conditionally agreed to pay no more than \$51.5 million for preferred stock in 3dfx. The hearing on that motion was held on January 18, 2007, and the Bankruptcy Court approved the proposed protections.

Proceedings, SEC inquiry and lawsuits related to our historical stock option granting practices

In June 2006, the Audit Committee of the Board of NVIDIA, or the Audit Committee, began a review of our stock option practices based on the results of an internal review voluntarily undertaken by management. The Audit Committee, with the assistance of outside legal counsel, completed its review on November 13, 2006 when the Audit Committee reported its findings to our full Board. The review covered option grants to all employees, directors and consultants for all grant dates during the period from our initial public offering in January 1999 through June 2006. Based on the findings of the Audit Committee and our internal review, we identified a number of occasions on which we used an incorrect measurement date for financial accounting and reporting purposes.

We voluntarily contacted the SEC regarding the Audit Committee's review. In late August 2006, the SEC initiated an inquiry related to our historical stock option grant practices. In October 2006, we met with the SEC and provided it with a review of the status of the Audit Committee's review. In November 2006, we voluntarily provided the SEC with additional documents. We continued to cooperate with the SEC throughout its inquiry. On October 26, 2007, the SEC formally notified us that the SEC's investigation concerning our historical stock option granting practices had been terminated and that no enforcement action was recommended.

Concurrently with our internal review and the SEC's inquiry, since September 29, 2006, ten derivative cases have been filed in state and federal courts asserting claims concerning errors related to our historical stock option granting practices and associated accounting for stock-based compensation expense. These complaints have been filed in various courts, including the California Superior Court, Santa Clara County, the United States District Court for the Northern District of California, and the Court of Chancery of the State of Delaware in and for New Castle County. The California Superior Court cases have been consolidated and plaintiffs filed a consolidated complaint on April 23, 2007. Plaintiffs in the Delaware action filed an Amended Shareholder Derivative Complaint on February 12, 2008. Plaintiffs in the federal action submitted a Second Amended Consolidated Verified Shareholders Derivative Complaint on March 18, 2008. All of the cases purport to be brought derivatively on behalf of NVIDIA against members of our Board and several of our current and former officers and directors. Plaintiffs in these actions allege claims for, among other things, breach of fiduciary duty, unjust enrichment, insider selling, abuse of control, gross mismanagement, waste, and constructive fraud. The Northern District of California action also alleges violations of federal provisions, including Sections 10(b) and 14(a) of the Securities Exchange Act of 1934. The plaintiffs seek to recover for NVIDIA, among other things, damages in an unspecified amount, rescission, punitive damages, treble damages for insider selling, and fees and costs. Plaintiffs also seek an accounting, a constructive trust and other equitable relief. We intend to take all appropriate action in response to these complaints. Between May 14, 2007 and May 17, 2007, we filed several motions to dismiss or to stay the federal, Delaware and Santa Clara actions. The Delaware motions were superseded when the Delaware plaintiffs filed the Amended Shareholder Derivative Complaint on February 28, 2008. The federal motions were superseded when the federal plaintiffs submitted the Second Amended Consolidated Verified Shareholders Derivative Complaint on March 18, 2008. We have not yet responded to either of these Complaints. The Santa Clara motion to stay was denied without prejudice and the parties are currently engaged in discovery-related proceedings.

On August 5, 2007, our Board authorized the formation of a Special Litigation Committee to investigate, evaluate, and make a determination as to how NVIDIA should proceed with respect to the claims and allegations asserted in the underlying derivative cases brought on behalf of NVIDIA. Currently, the Special Litigation Committee is continuing its work.

On November 29, 2006, we received a subpoena from the San Francisco Office of the Antitrust Division of the United States Department of Justice, or DOJ, in connection with the DOJ's investigation into potential antitrust violations related to GPUs and cards. No specific allegations have been made against us. We are cooperating with the DOJ in its investigation.

As of May 13, 2008, 55 civil complaints have been filed against us. The majority of the complaints were filed in the Northern District of California, several were filed in the Central District of California, and other cases were filed in several other Federal district courts. On April 18, 2007, the Judicial Panel on Multidistrict Litigation transferred the actions currently pending outside of the Northern District of California to the Northern District of California for coordination of pretrial proceedings before the Honorable William H. Alsup. By agreement of the parties, Judge Alsup will retain jurisdiction over the consolidated cases through trial or other resolution.

In the consolidated proceedings, two groups of plaintiffs (one representing all direct purchasers of GPUs and the other representing all indirect purchasers) filed consolidated, amended class-action complaints. These complaints purport to assert federal antitrust claims based on alleged price fixing, market allocation, and other alleged anti-competitive agreements between us and ATI Technologies, Inc., or ATI, and Advanced Micro Devices, Inc., or AMD, as a result of its acquisition of ATI. The indirect purchasers' consolidated amended complaint also asserts a variety of state law antitrust, unfair competition and consumer protection claims on the same allegations, as well as a common law claim for unjust enrichment.

Plaintiffs filed their first consolidated complaints on June 14, 2007. On July 16, 2007, we moved to dismiss those complaints. The motions to dismiss were heard by Judge Alsup on September 20, 2007. The Court subsequently granted and denied the motions in part, and gave the plaintiffs leave to move to amend the complaints. On November 7, 2007, the Court granted plaintiffs' motion to file amended complaints, ordered defendants to answer the complaints, lifted a previously entered stay on discovery, and set a trial date for January 12, 2009. Discovery is underway and Plaintiffs filed motions for class certification on April 24, 2008. Our oppositions to the motions were filed on May 20, 2008. We believe the allegations in the complaints are without merit and intend to vigorously defend the cases.

Product Defect Contingencies

Our products are complex and may contain defects or experience failures due to any number of issues in design, fabrication, packaging, materials and / or use within a system. If any of our products or technologies contains a defect, compatibility issue or other error, we may have to invest additional research and development efforts to find and correct the issue. Such efforts could divert our management's and engineers' attention from the development of new products and technologies and could increase our operating costs and reduce our gross margin. In addition, an error or defect in new products or releases or related software drivers after commencement of commercial shipments could result in failure to achieve market acceptance or loss of design wins. Also, we may be required to reimburse customers, including for customers' costs to repair or replace the products in the field, which could cause our revenue to decline. A product recall or a significant number of product returns could be expensive, damage our reputation and could result in the shifting of business to our competitors. Costs associated with correcting defects, errors, bugs or other issues could be significant and could materially harm our financial results.

During the first quarter of fiscal year 2009, one of our customers asserted claims for incremental repair and replacement costs related to an alleged die/package material set defect in one of our notebook MCP products. This product was included in a significant number of the customer's notebook products that have been sold to end users, and has also been shipped to other of our customers in significant quantities. We are evaluating the potential scope of this situation, including the nature and cause of the alleged defect and the merits of the customer's claim, and to what extent the alleged defect might occur with other of our products. We are currently unable to estimate the amount of costs that may be incurred by us beyond the normal product warranty accrual that we have taken related to this claim and the alleged defect and, therefore, we have not recorded any additional related costs or a liability in our Condensed Consolidated Financial statements as of, and for the three months ended, April 27, 2008.

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Note 13 - Stockholders' Equity

Stock Repurchase Program

During fiscal year 2005, we announced that our Board had authorized a stock repurchase program to repurchase shares of our common stock, subject to certain specifications, up to an aggregate maximum amount of \$300 million. During fiscal year 2007, the Board further approved an increase of \$400 million to the original stock repurchase program. In fiscal year 2008, we announced a stock repurchase program under which we may purchase up to an additional \$1.0 billion of our common stock over a three year period through May 2010. As a result of these increases, we have an ongoing authorization from the Board, subject to certain specifications, to repurchase shares of our common stock up to an aggregate maximum amount of \$1.7 billion.

The repurchases will be made from time to time in the open market, in privately negotiated transactions, or in structured stock repurchase programs, and may be made in one or more larger repurchases, in compliance with the Securities Exchange Act of 1934, or the Exchange Act, Rule 10b-18, subject to market conditions, applicable legal requirements, and other factors. The program does not obligate NVIDIA to acquire any particular amount of common stock and the program may be suspended at any time at our discretion. As part of our share repurchase program, we have entered into, and we may continue to enter into, structured share repurchase transactions with financial institutions. These agreements generally require that we make an up-front payment in exchange for the right to receive a fixed number of shares of our common stock upon execution of the agreement, and a potential incremental number of shares of our common stock, within a pre-determined range, at the end of the term of the agreement.

Through April 27, 2008, we had repurchased 68.0 million shares under our stock repurchase program for a total cost of \$1.16 billion. During the first fiscal quarter ended April 27, 2008, we entered into a structured share repurchase transaction to repurchase 6.3 million shares for \$123.9 million which we recorded on the trade date of the transaction.

Convertible Preferred Stock

As of April 27, 2008 and January 27, 2008, there were no shares of preferred stock outstanding.

Note 14 - Comprehensive Income

Comprehensive income consists of net income and other comprehensive income or loss. Other comprehensive income or loss components include unrealized gains or losses on available-for-sale securities, net of tax. The components of comprehensive income, net of tax, were as follows:

	Three Months Ended	
	April 27, 2008	April 29, 2007
	(In thousands)	
Net income	\$ 176,805	\$ 132,259
Net change in unrealized gains on available-for-sale securities, net of tax	(5,631)	(79)
Reclassification adjustments for net realized gains on available-for-sale securities included in net income, net of tax	(854)	(73)
Total comprehensive income	<u>\$ 170,320</u>	<u>\$ 132,107</u>

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Note 15 - Segment Information

Our Chief Executive Officer, who is considered to be our chief operating decision maker, or CODM, reviews financial information presented on an operating segment basis for purposes of making operating decisions and assessing financial performance.

We report financial information for four operating segments to our CODM: the GPU business, which is comprised primarily of our GeForce products that support desktop and notebook personal computers, or PCs, plus memory products; the professional solutions business, or PSB, which is comprised of our NVIDIA Quadro professional workstation products and other professional graphics products, including our NVIDIA Tesla high-performance computing products; the media and communications processor, or MCP, business which is comprised of NVIDIA nForce core logic and motherboard GPU products; and our consumer products business, or CPB, which is comprised of our CPB is comprised of our GoForce and APX mobile brands and products that support handheld personal media players, or PMPs, personal digital assistants, or PDAs, cellular phones and other handheld devices. CPB also includes license, royalty, other revenue and associated costs related to video game consoles and other digital consumer electronics devices.

In addition to these operating segments, we have the "All Other" category that includes human resources, legal, finance, general administration and corporate marketing expenses, which total \$76.2 million and \$68.0 million for the three months ended April 27, 2008 and April 29, 2007, respectively, that we do not allocate to our other operating segments as these expenses are not included in the segment operating performance measures evaluated by our CODM. "All Other" also includes the results of operations of other miscellaneous reporting segments that are neither individually reportable, nor aggregated with another operating segment. Revenue in the "All Other" category is primarily derived from sales of components.

Our CODM does not review any information regarding total assets on an operating segment basis. Operating segments do not record intersegment revenue, and, accordingly, there is none to be reported. The accounting policies for segment reporting are the same as for NVIDIA as a whole.

	<u>GPU</u>	<u>PSB</u>	<u>MCP</u>	<u>CPB</u>	<u>All Other</u>	<u>Consolidated</u>
	(In thousands)					
Three Months Ended April 27, 2008:						
Revenue	\$ 701,489	\$ 203,427	\$ 195,093	\$ 42,465	\$ 10,914	\$ 1,153,388
Depreciation and amortization expense	\$ 12,714	\$ 4,625	\$ 7,670	\$ 4,918	\$ 11,641	\$ 41,568
Operating income (loss)	\$ 169,047	\$ 110,328	\$ 3,580	\$ (3,850)	\$ (76,126)	\$ 202,979
Three Months Ended April 29, 2007:						
Revenue	\$ 483,495	\$ 140,873	\$ 148,750	\$ 67,226	\$ 3,936	\$ 844,280
Depreciation and amortization expense	\$ 8,285	\$ 2,187	\$ 6,593	\$ 6,095	\$ 9,162	\$ 32,322
Operating income (loss)	\$ 124,417	\$ 69,307	\$ 7,839	\$ 10,168	\$ (70,485)	\$ 141,246

Revenue by geographic region is allocated to individual countries based on the location to which the products are initially billed even if our customers' revenue is attributable to end customers that are located in a different location. The following tables summarize information pertaining to our revenue from customers based on invoicing address in different geographic regions:

	Three Months Ended	
	April 27, 2008	April 29, 2007
	(In thousands)	
Revenue:		
Taiwan	\$ 391,628	\$ 272,983
China	367,426	238,285
Other Asia Pacific	167,854	109,930
United States	93,831	101,866
Europe	131,954	81,550
Other Americas	695	39,666
Total revenue	<u>\$ 1,153,388</u>	<u>\$ 844,280</u>

Revenue from significant customers, those representing approximately 10% or more of total revenue for the respective periods is summarized as follows:

	Three Months Ended	
	April 27, 2008	April 29, 2007
Revenue:		
Customer A	11%	9%

NVIDIA CORPORATION AND SUBSIDIARIES
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)
(Unaudited)

Accounts receivable from significant customers, those representing approximately 10% or more of total trade accounts receivable for the respective periods, is summarized as follows:

	<u>April 27, 2008</u>	<u>January 27, 2008</u>
Accounts Receivable:		
Customer A	11%	12%
Customer B	11%	6%
Customer C	10%	9%

Note 16 – Fair Value of Cash Equivalents and Marketable Securities

We measure our cash equivalents and marketable securities at fair value. Our financial assets and liabilities are determined using market prices from both active markets, or Level 1, and less active markets, or Level 2. Level 1 valuations are obtained from real-time quotes for transactions in active exchange markets involving identical assets. Level 2 valuations are obtained from readily-available pricing sources for identical instruments in less active markets. All of our cash equivalents and marketable securities valuations are classified as Level 1 or Level 2 because we value them using quoted market prices or alternative pricing sources and models utilizing market observable inputs.

As of April 27, 2008, we did not have any assets or liabilities without observable market values, or Level 3 assets, that would require a high level of judgment to determine fair value.

Financial assets and liabilities measured at fair value are summarized below:

		<u>Fair value measurement at reporting date using</u>	
		<u>Quoted Prices in Active Markets for Identical Assets</u>	<u>Significant Other Observable Inputs</u>
	<u>April 27, 2008</u>	<u>(Level 1)</u>	<u>(Level 2)</u>
		(In thousands)	
Asset-backed Securities (1)	\$ 88,255	\$ -	\$ 88,255
Commercial paper (2)	250,365	-	250,365
Corporate debt securities (3)	274,273	-	274,273
Debt securities issued by United States Treasury (1)	33,487	-	33,487
Other Debt securities issued by US Government agencies (4)	297,993	-	297,993
Mortgage-backed securities issued by Government-sponsored entities (1)	70,172	-	70,172
Money market funds (5)	304,774	304,774	-
Equity securities (1)	3,357	-	3,357
Total assets	<u>\$ 1,322,676</u>	<u>\$ 304,774</u>	<u>\$ 1,017,902</u>

(1) Included in Marketable Securities on the Condensed Consolidated Balance Sheet.

(2) Includes \$177,410 in Cash and cash equivalents and \$72,955 in Marketable Securities on the Condensed Consolidated Balance Sheet.

(3) Includes \$1,520 in Cash and cash equivalents and \$272,753 in Marketable Securities on the Condensed Consolidated Balance Sheet.

(4) Includes \$20,640 in Cash and cash equivalents and \$277,353 in Marketable Securities on the Condensed Consolidated Balance Sheet.

(5) Included in Cash and cash equivalents on the Condensed Consolidated Balance Sheet.

ITEM 2. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Forward-Looking Statements

When used in this Quarterly Report on Form 10-Q, the words “believes,” “plans,” “estimates,” “anticipates,” “expects,” “intends,” “allows,” “can,” “will” and similar expressions are intended to identify forward-looking statements. These statements relate to future periods and include, but are not limited to, statements as to: the features, benefits, capabilities, performance, impact and production of our products and technologies; product defects and the impact of product defects; causes of product defects; our reliance on third parties to manufacture, assemble and test our products; reliance on a limited number of customers and suppliers; new product lines; design wins; our market position; our competition, sources of competition and our competitive position; the importance of our strategic relationships; average selling prices; enhanced visual experiences; seasonality; customer demand; our continued growth and factors contributing to our growth; our international operations; our ability to attract and retain qualified personnel; our inventory; acquisitions and investments; stock options; the impact of stock-based compensation expense; our financial results; mix and sources of revenue; capital and operating expenditures; our cash flow and cash balances; uses of cash; liquidity; our investment portfolio and marketable securities; our exchange rate risk; our stock repurchase program; our internal control over financial reporting; our disclosure controls and procedures; recent accounting pronouncements; our intellectual property; compliance with environmental laws and regulations; litigation arising from our historical stock option grant practices and financial restatements; the Department of Justice subpoena and investigation; and litigation matters. Forward-looking statements are subject to risks and uncertainties that could cause actual results to differ materially from those projected. These risks and uncertainties include, but are not limited to, the risks discussed below as well as difficulties associated with: conducting international operations; slower than anticipated growth; forecasting customer demand; product defects; software or manufacturing defects; defects in product design or materials used to manufacture a product; disruptions in our relationships with our partners and suppliers; supply constraints; unanticipated decreases in average selling prices; increased sales of lower margin products; difficulty in collecting accounts receivable; international and political conditions; changes in international laws; fluctuations in the global credit market; declines in global economic conditions; fixed operating expenses; our inability to decrease inventory purchase commitments; difficulties in entering new markets; slower than expected development of a new market; inventory write-downs; the impact of competitive pricing pressures; fluctuations in investments and the securities market; failure to achieve design wins; changes in customers’ purchasing behaviors; the concentration of sales of our products to a limited number of customers; decreases in demand for our products; delays in the development of new products by us or our partners; delays in volume production of our products; developments in and expenses related to litigation; our inability to realize the benefits of acquisitions; the outcome of litigation or regulatory actions; and the matters set forth under Part II, Item 1A. – Risk Factors. These forward-looking statements speak only as of the date hereof. Except as required by law, we expressly disclaim any obligation or undertaking to release publicly any updates or revisions to any forward-looking statements contained herein to reflect any change in our expectations with regard thereto or any change in events, conditions or circumstances on which any such statement is based.

All references to “NVIDIA,” “we,” “us,” “our” or the “Company” mean NVIDIA Corporation and its subsidiaries, except where it is made clear that the term means only the parent company.

NVIDIA, GeForce, SLI, Hybrid SLI, GoForce, NVIDIA Quadro, Quadro, NVIDIA nForce, Tesla, NVIDIA APX, PhysX, Ageia, Mental Images, and the NVIDIA logo are our trademarks and/or registered trademarks in the United States and other countries that are used in this document. We may also refer to trademarks of other corporations and organizations in this document.

The following discussion and analysis of our financial condition and results of operations should be read in conjunction with Part II, “Item 1A. Risk Factors”, “Item 6. Selected Financial Data”, our Condensed Consolidated Financial Statements and related Notes thereto, as well as other cautionary statements and risks described elsewhere in this Quarterly Report on Form 10-Q, before deciding to purchase, hold or sell shares of our common stock.

Overview

Our Company

NVIDIA Corporation is the worldwide leader in visual computing technologies and the inventor of the graphic processing unit, or the GPU. Our products are designed to generate realistic, interactive graphics on consumer and professional computing devices. We serve the entertainment and consumer market with our GeForce products, the professional design and visualization market with our Quadro products, and the high-performance computing market with our Tesla products. We have four major product-line operating segments: the GPU Business, the professional solutions business, or PSB, the media and communications processor, or MCP, business, and the consumer products business, or CPB.

Our GPU business is comprised primarily of our GeForce products that support desktop and notebook personal computers, or PCs, plus memory products. Our PSB is comprised of our NVIDIA Quadro professional workstation products and other professional graphics products, including our NVIDIA Tesla high-performance computing products. Our MCP business is comprised of NVIDIA nForce core logic and motherboard GPU, or mGPU products. Our CPB is comprised of our GoForce and APX mobile brands and products that support handheld personal media players, or PMPs, personal digital assistants, or PDAs, cellular phones and other handheld devices. CPB also includes license, royalty, other revenue and associated costs related to video game consoles and other digital consumer electronics devices. Original equipment manufacturers, or OEMs, original design manufacturers, or ODMs, add-in-card manufacturers, system builders and consumer electronics companies worldwide utilize NVIDIA processors as a core component of their entertainment, business and professional solutions.

We were incorporated in California in April 1993 and reincorporated in Delaware in April 1998. Our headquarter facilities are in Santa

Clara, California. Our Internet address is www.nvidia.com. The contents of our website are not a part of this Form 10-Q.

Recent Developments, Future Objectives and Challenges

GPU Business

During the first quarter of fiscal year 2009, we launched several new GPUs in the GeForce family. The product launches included the GeForce 9600 GT, which provides more than double the performance of our previous GeForce 8600 GTS; the GeForce 9800 GX2, which provides a new dual GPU board featuring Quad SLI technology; GeForce 9800 GTX, which is a flexible GPU that supports both two-way and three-way Scalable Link Interface, or SLI technology. Additionally, we also launched the GeForce 8800 GT, which is the first after-market consumer graphics card for the Mac Pro and is sold directly by us.

On February 10, 2008, we completed our acquisition of Ageia Technologies, Inc., or Ageia, an industry leader in gaming physics technology. Ageia's PhysX software is widely adopted in several PhysX-based games that are shipping or in development on Sony Playstation 3, Microsoft XBOX 360, Nintendo Wii, and gaming PCs. We believe that the combination of the GPU and physics engine brands will result in an enhanced visual experience for the gaming world.

During the first quarter of fiscal year 2009, we gained market share in the standalone desktop, standalone notebook, and integrated notebook graphics categories when compared to first quarter of fiscal year 2008 as reported in the 2008 PC Graphics Report from Mercury Research.

Professional Solutions Business

During the first quarter of fiscal year 2009, we launched the Quadro FX 3600M Professional which is among the highest performance notebook GPUs.

MCP Business

During the first quarter of fiscal year 2009, we shipped Hybrid SLI DX10 motherboard GPUs – the GeForce 8000 GPU series. The GeForce 8000 GPU series includes GeForce Boost Hybrid SLI technology, which is designed to double performance when paired with a GeForce 8 desktop GPU. Additionally, we also launched the NVIDIA nForce 790i Ultra SLI MCP which is among the industry's highly rated overclockable platform for Intel processors.

Consumer Products Business

During the first quarter of fiscal year 2009, we launched the NVIDIA APX 2500 application processor. The APX 2500 is a computer-on-a-chip designed to meet the growing multimedia demands of today's mobile phone and entertainment user. We believe that the mobile application processor is an area where we can add a significant amount of value and we also believe it represents a revenue growth opportunity.

Seasonality

Our industry is largely focused on the consumer products market. Due to seasonality in this market, we typically expect to see stronger revenue performance in the second half of the calendar year related to the back-to-school and holiday seasons.

Financial Information by Business Segment and Geographic Data

Our Chief Executive Officer, who is considered to be our chief operating decision maker, or CODM, reviews financial information presented on a operating segment basis for purposes of making operating decisions and assessing financial performance.

We report financial information for four operating segments to our CODM: the GPU business, which is comprised primarily of our GeForce products that support desktop and notebook PCs, plus memory products; the PSB which is comprised of our NVIDIA Quadro professional workstation products and other professional graphics products, including our NVIDIA Tesla high-performance computing products; the MCP business which is comprised of NVIDIA nForce core logic and motherboard GPU products; and our CPB, which is comprised of our CPB is comprised of our GoForce and APX mobile brands and products that support handheld PMPs, PDAs, cellular phones and other handheld devices. CPB also includes license, royalty, other revenue and associated costs related to video game consoles and other digital consumer electronics devices.

In addition to these operating segments, we have the “All Other” category that includes human resources, legal, finance, general administration and corporate marketing expenses, which total \$76.2 million and \$68.0 million for the three months ended April 27, 2008 and April 29, 2007, respectively, that we do not allocate to our other operating segments as these expenses are not included in the segment operating performance measures evaluated by our CODM. “All Other” also includes the results of operations of other miscellaneous reporting segments that are neither individually reportable, nor aggregated with another operating segment. Revenue in the “All Other” category is primarily derived from sales of components.

Results of Operations

The following table sets forth, for the periods indicated, certain items in our consolidated statements of income expressed as a percentage of revenue.

	Three Months Ended	
	April 27, 2008	April 29, 2007
Revenue	100.0%	100.0%
Cost of revenue	55.4	55.0
Gross profit	44.6	45.0
Operating expenses:		
Research and development	19.0	18.8
Sales, general and administrative	8.1	9.5
Total operating expenses	27.1	28.3
Income from operations	17.5	16.7
Interest and other income, net	0.9	1.5
Income before income tax expense	18.4	18.2
Income tax expense	3.1	2.6
Net income	15.3%	15.6%

Revenue

Revenue was \$1.15 billion for the first quarter of fiscal year 2009, compared to \$844.3 million for the first quarter of fiscal year 2008, which represents an increase of 37%. For the second quarter of fiscal 2009, we expect a seasonal decline associated with the PC business, although overall, we believe our market and competitive positions continue to be strong. A discussion of our revenue results for each of our operating segments is as follows:

GPU Business . GPU Business revenue increased by 45% to \$701.5 million in the first quarter of fiscal year 2009, compared to \$483.5 million for the first quarter of fiscal year 2008. This improvement was primarily due to increased sales of our desktop GPU products and notebook GPU products. Sales of our desktop GPU products increased by approximately 44% compared to the first quarter of fiscal year 2008, primarily due to growth of the Standalone Desktop market as reported in the 2008 PC Graphics Report from Mercury Research. Our leadership position in the Standalone Desktop market was driven by our GeForce 8-based products and our new generation of GeForce 9-based products. Sales of our notebook GPU products increased by approximately 99% compared to the first quarter of fiscal year 2008. Notebook GPU revenue growth was primarily due to share gains in the Standalone Notebook category as reported in the 2008 PC Graphics Report from Mercury Research. Our share gains in the Standalone Notebook category were primarily a result of shipments of products used in notebook PC design wins related to Intel's Santa Rosa platform.

PSB . PSB revenue increased by 44% to \$203.4 million in the first quarter of fiscal year 2009, compared to \$140.9 million for the first quarter of fiscal year 2008. Our professional workstation product sales increased due to an overall increase in shipments of boards and chips. This increase in shipments was primarily driven by strong shipments of NVIDIA Quadro professional workstation GeForce 8-based products.

MCP Business . MCP Business revenue increased by 31% to \$195.1 million in the first quarter of fiscal year 2009, compared to \$148.8 million for the first quarter of fiscal year 2008. The increase resulted from an increase in sales of both our Intel-based and AMD-based platform products as compared to the first quarter of fiscal year 2008.

CPB . CPB revenue decreased by 37% to \$42.5 million in the first quarter of fiscal year 2009, compared to \$67.2 million for the first quarter of fiscal year 2008. The overall decrease in CPB revenue is primarily driven by a combination of decreases in revenue from our cell phone products, our contractual development arrangements with Sony Computer Entertainment, or SCE, and a drop in royalties from SCE as they transition the PlayStation3 to a new process node.

Concentration of Revenue

Revenue from sales to customers outside of the United States and other Americas accounted for 92% and 83% of total revenue for the first quarter of fiscal years 2009 and 2008, respectively. Revenue by geographic region is allocated to individual countries based on the location to which the products are initially billed even if the foreign contract equipment manufacturers, or CEMs', add-in board and motherboard manufacturers' revenue is attributable to end customers in a different location.

Sales to our significant customers accounted for approximately 11% of our total revenue from one customer during the first quarter of fiscal year 2009. In the first quarter of fiscal year 2008, there were no sales to any customer in excess of 10% of our total revenue.

Gross Profit

Gross profit consists of total revenue, net of allowances, less cost of revenue. Cost of revenue consists primarily of the cost of semiconductors purchased from subcontractors, including wafer fabrication, assembly, testing and packaging, manufacturing support costs, including labor and overhead associated with such purchases, final test yield fallout, inventory provisions and shipping costs. Cost of revenue also includes development costs for license and service arrangements.

Gross margin is the percentage of gross profit to revenue. Our gross margin can vary in any period depending on the mix of types of products sold. Our gross margin was 44.6% and 45.0% for the first quarter of fiscal year 2009 and 2008, respectively. The decline primarily reflects product transition challenges in our GPU business.

Our gross margin is significantly impacted by the mix of products we sell. Product mix is often difficult to estimate with accuracy. Therefore, if we experience product transition challenges, if we achieve significant revenue growth in our lower margin product lines, or if we are unable to earn as much revenue as we expect from higher margin product lines, our gross margin may be negatively impacted. We expect gross margin to increase during the second quarter of fiscal year 2009 as compared to the first quarter of fiscal year 2009. A discussion of our gross margin results for each of our operating segments is as follows:

GPU Business . The gross margin of our GPU Business decreased for the first quarter of fiscal year 2009 as compared to the first quarter of fiscal year 2008. This decrease was primarily due to product transition challenges associated with the transition from our previous generation of GeForce 8-series GPUs to ramp-up shipments of our new generation of GeForce 9-series GPUs.

PSB . The gross margin of our PSB increased for the first quarter of fiscal year 2009 as compared to the first quarter of fiscal year 2008. This increase was primarily due to increased sales of our GeForce 8-based NVIDIA Quadro products, which began selling in the fourth quarter of fiscal year 2007 and generally have higher gross margins than our previous generations of NVIDIA Quadro products.

MCP Business . The gross margin of our MCP Business decreased for the first quarter of fiscal year 2009 as compared to the first quarter of fiscal year 2008. This decrease was primarily due to a shift in product mix toward increased shipments of lower margin Intel-based and AMD-based platform products.

CPB . The gross margin of our CPB decreased for the first quarter of fiscal year 2009 as compared to the first quarter of fiscal year 2008. This decrease was due to a combination of declines including a decrease in gross profit realized from sales of our products for high-end feature cellular phones and other handheld devices as well as a drop in royalties from SCE as they transition the PlayStation3 to a new process node.

Operating Expenses

	Three Months Ended		\$ Change	% Change
	April 27, 2008	April 29, 2007		
	(In millions)			
Research and development expenses	\$ 218.8	\$ 158.3	\$ 60.5	38%
Sales, general and administrative expenses	93.1	80.6	12.5	16%
Total operating expenses	<u>\$ 311.9</u>	<u>\$ 238.9</u>	<u>\$ 73.0</u>	<u>31%</u>
Research and development as a percentage of net revenue	19%	19%		
Sales, general and administrative as a percentage of net revenue	8%	10%		

Research and Development

Research and development expenses were \$218.8 million and \$158.3 million during the first quarters of fiscal years 2009 and 2008, respectively, an increase of \$60.5 million, or 38%. The increase is primarily related to an increase in salaries and benefits, and stock-based compensation by approximately \$29.1 million as a result of personnel growth in departments related to research and development functions by approximately 1,000 additional personnel due to new hires and our acquisitions of Mental Images and Ageia, as compared to the first quarter of fiscal year 2008. Development expenses increased by \$8.1 million primarily as a result of increased in prototype materials and engineering consumption due to higher volume of activity related to the product ramps in the current year. Other increases in research and development expenses are related to increased expenses related to facilities, depreciation and amortization and computer software and equipment as a result of the personnel growth.

We anticipate that we will continue to devote substantial resources to research and development, and we expect these expenses to increase in absolute dollars in the foreseeable future due to the increased complexity and the greater number of products under development. Research and development expenses are likely to fluctuate from time to time to the extent we make periodic incremental investments in research and development and these investments may be independent of our level of revenue.

Sales, General and Administrative

Sales, general and administrative expenses were \$93.1 million and \$80.6 million during the first quarters of fiscal years 2009 and 2008, respectively, an increase of \$12.5 million, or 16%. Labor related and employee expenses and stock-based compensation increased by approximately \$7.1 million as a result of personnel growth. Outside professional fees increased by \$4.4 million primarily due to an increase in legal expenses incurred pertaining to the Department of Justice investigation and other litigation. Marketing expenses increased by \$3.1 million, primarily due to expenses related to a worldwide sales conference and other marketing related activities.

We expect operating expenses to remain flat or increase slightly in the second quarter of fiscal year 2009 compared to the first quarter of fiscal year 2009.

Interest Income

Interest income consists of interest earned on cash, cash equivalents and marketable securities. Interest income increased to \$14.3 million in first quarter of fiscal year 2009, from \$13.2 million in first quarter of fiscal year 2008, primarily due to the result of higher average balances of cash, cash equivalents and marketable securities even though the interest rates in the first quarter of fiscal year 2009 were significantly lower when compared to the first quarter of fiscal year 2008.

Other Expense, net

Other expense, net increased by \$3.6 million from \$0.7 million in first quarter of fiscal year 2008 to \$4.3 million in first quarter of fiscal year 2009. The increased expense is primarily due to the impact of the continuing weakness of the U.S. Dollar on our foreign currency denominated liabilities, which resulted in foreign exchange losses in the quarter.

Income Taxes

We recognized income tax expense of \$36.2 million and \$21.5 million in the first quarters of fiscal years 2009 and 2008, respectively. Income tax expense as a percentage of income before taxes, or our annual effective tax rate, was 17% and 14% in the first quarters of fiscal years 2009 and 2008, respectively.

Our effective tax rate is lower than the U.S. federal statutory tax rate of 35% primarily on account of foreign earnings being taxed in foreign jurisdictions at rates below the U.S. statutory tax rate. The increase in our effective tax rate to 17% as of April 27, 2008 from 14% at April 29, 2007 was primarily due to the expiration of the federal research tax credit.

Please refer to Note 3 of the Notes to Condensed Consolidated Financial Statements for further information regarding the components of our income tax expense.

Liquidity and Capital Resources

	As of April 27, 2008	As of January 27, 2008
	(In millions)	
Cash and cash equivalents	\$ 803.3	\$ 727.0
Marketable securities	818.3	1,082.5
Cash, cash equivalents, and marketable securities	<u>\$ 1,621.6</u>	<u>\$ 1,809.5</u>

	Three Months Ended	
	April 27, 2008	April 29, 2007
	(In millions)	
Net cash provided by operating activities	\$ 145.2	\$ 295.2
Net cash used in investing activities	\$ 24.5	\$ (79.8)
Net cash used in financing activities	\$ (93.4)	\$ (80.9)

As of April 27, 2008, we had \$1.62 billion in cash, cash equivalents and marketable securities, a decrease of \$187.8 million from \$1.81 billion at the end of fiscal year 2008. Our portfolio of cash equivalents and marketable securities is managed by several financial institutions. Our investment policy requires the purchase of top-tier investment grade securities, the diversification of asset type and includes certain limits on our portfolio duration.

Operating activities

Operating activities generated cash of \$145.2 million and \$295.2 million during the first quarters of fiscal years 2009 and 2008, respectively. While our net income plus the impact of non-cash charges to earnings and deferred income taxes increased during the comparable periods, the changes in operating assets and liabilities resulted in a net decrease in cash flow from operations. The changes in operating assets and liabilities, resulted from the timing of payments to vendors and an increase in inventories. Additionally, we made payments of \$5.0 million and \$11.3 million during the first quarters of fiscal years 2009 and 2008, respectively, towards a confidential patent licensing arrangement that we entered into during fiscal year 2007.

Investing activities

Investing activities have consisted primarily of purchases and sales of marketable securities, acquisitions of businesses and purchases of property and equipment, which include the purchase of property, leasehold improvements for our facilities and intangible assets. Investing activities provided cash of \$24.5 million and used cash of \$79.8 million during the first quarters of fiscal years 2009 and 2008, respectively. Investing activities for the first quarter of fiscal year 2009 used cash of approximately \$150.0 million for a property that includes approximately 25 acres of land and ten commercial buildings in Santa Clara, California, to facilitate the growth of our business. Capital expenditures also included new research and development equipment, testing equipment to support our increased production requirements, technology licenses, software, intangible assets and leasehold improvements at our headquarters and international offices. Additionally, we acquired Ageia during the first quarter of fiscal year 2009. The cash inflow from maturities of marketable securities provided cash of \$545.8 million which offset the expenditures described above to provide a positive cash flow from investing activity.

We expect to spend approximately \$150 million to \$200 million for capital expenditures during the remainder of fiscal year 2009, primarily for property development, leasehold improvements, software licenses, emulation equipment, computers and engineering workstations. In addition, we may continue to use cash in connection with the acquisition of new businesses or assets.

Financing activities

Financing activities used cash of \$93.4 million and \$80.9 million during the first quarters of fiscal years 2009 and 2008, respectively. Net cash used by financing activities in the first quarter of fiscal year 2009 was primarily due to \$123.9 million paid towards our stock repurchase program, offset by cash proceeds of \$30.5 million from common stock issued under our employee stock plans.

Liquidity

Cash generated by operations is used as our primary source of liquidity. Our investment portfolio consisted of cash and cash equivalents, asset-backed securities, commercial paper, mortgage-backed securities issued by Government-sponsored enterprises, equity securities, money market funds and highly liquid debt securities of corporations, municipalities and the United States government and its agencies. As of April 27, 2008, we did not have any investments in auction-rate preferred securities. These investments are denominated in United States dollars.

We account for our investment instruments in accordance with Statement of Financial Accounting Standards No. 115, or SFAS No. 115, *Accounting for Certain Investments in Debt and Equity Securities*. All of the cash equivalents and marketable securities are treated as “available-for-sale” under SFAS No. 115. Investments in both fixed rate and floating rate interest earning instruments carry a degree of interest rate risk. Fixed rate debt securities may have their market value adversely impacted due to a rise in interest rates, while floating rate securities may produce less income than expected if interest rates fall. Due in part to these factors, our future investment income may fall short of expectations due to changes in interest rates or if the decline in fair value of our publicly traded debt or equity investments is judged to be other-than-temporary. We may suffer losses in principal if we are forced to sell securities that decline in market value due to changes in interest rates. However, because any debt securities we hold are classified as “available-for-sale,” no gains or losses are realized in our condensed consolidated statements of income due to changes in interest rates unless such securities are sold prior to maturity or unless declines in market values are determined to be other-than-temporary. These securities are reported at fair value with the related unrealized gains and losses included in accumulated other comprehensive income, a component of stockholders’ equity, net of tax.

At April 27, 2008 and January 27, 2008, we had \$1.62 billion and \$1.81 billion, respectively, in cash, cash equivalents and marketable securities. Our investment policy requires the purchase of top-tier investment grade securities, the diversification of asset type and includes certain limits on our portfolio duration, as specified in our investment policy guidelines. These guidelines also limit the amount of credit exposure to any one issue, issuer or type of instrument. As of April 27, 2008, we were in compliance with our investment policy. As of April 27, 2008, our investments in the financial sector and government agencies accounted for approximately 34% and 22%, respectively, of our total investment portfolio. Substantially all of our investments are with A/A2 or better rated securities with the substantial majority of the securities rated AA-/Aa3 or better. As of April 27, 2008, \$872.6 million of our portfolio had a maturity of less than a year, and a substantial majority of our remaining investments have remaining maturities of three years or less. In the first quarter of fiscal year 2009, we did not recognize any other-than-temporary impairments on our portfolio of available-for-sale investments.

Recent U.S. sub-prime mortgage defaults have had a significant impact across various sectors of the financial markets, causing global credit and liquidity issues. The short-term funding markets experienced issues during the third and fourth quarter of calendar 2007, leading to liquidity disruption in the market. If the global credit market continues to deteriorate, our investment portfolio may be impacted and we could determine some of our investments are impaired, which could adversely impact our financial results.

Stock Repurchase Program

During fiscal year 2005, we announced that our Board, had authorized a stock repurchase program to repurchase shares of our common stock, subject to certain specifications, up to an aggregate maximum amount of \$300 million. During fiscal year 2007, the Board further approved an increase of \$400 million to the original stock repurchase program. In fiscal year 2008, we announced that our Board authorized an additional stock repurchase program under which we may purchase up to an additional \$1.0 billion of our common stock over a three year period through May 2010. As a result of these increases, we have an ongoing authorization from the Board, subject to certain specifications, to repurchase shares of our common stock up to an aggregate maximum amount of \$1.7 billion.

The repurchases will be made from time to time in the open market, in privately negotiated transactions, or in structured stock repurchase programs, and may be made in one or more larger repurchases, in compliance with the Exchange Act Rule 10b-18, subject to market conditions, applicable legal requirements, and other factors. The program does not obligate NVIDIA to acquire any particular amount of common stock and the program may be suspended at any time at our discretion. As part of our share repurchase program, we have entered into, and we may continue to enter into, structured share repurchase transactions with financial institutions. These agreements generally require that we make an up-front payment in exchange for the right to receive a fixed number of shares of our common stock upon execution of the agreement, and a potential incremental number of shares of our common stock, within a pre-determined range, at the end of the term of the agreement.

During the first fiscal quarter ended April 27, 2008, we entered into a structured share repurchase transaction to repurchase 6.3 million shares for \$123.9 million which we recorded on the trade date of the transaction. Through April 27, 2008, we had repurchased 68.0 million shares under our stock repurchase program for a total cost of \$1.16 billion.

Operating Capital and Capital Expenditure Requirements

We believe that our existing cash balances and anticipated cash flows from operations will be sufficient to meet our operating, acquisition and capital requirements for at least the next 12 months. However, there is no assurance that we will not need to raise additional equity or debt financing within this time frame. Additional financing may not be available on favorable terms or at all and may be dilutive to our then-current stockholders. We also may require additional capital for other purposes not presently contemplated. If we are unable to obtain sufficient capital, we could be required to curtail capital equipment purchases or research and development expenditures, which could harm our business. Factors that could affect our cash used or generated from operations and, as a result, our need to seek additional borrowings or capital include:

- decreased demand and market acceptance for our products and/or our customers' products;
- inability to successfully develop and produce in volume production our next-generation products;
- competitive pressures resulting in lower than expected average selling prices; and
- new product announcements or product introductions by our competitors.

We may continue to use cash in connection with the acquisition of new businesses or assets and capital expenditures related to our property purchases.

For additional factors see "Item 1A. Risk Factors - Risks Related to Our Business and Products - Our operating results are unpredictable and may fluctuate, and if our operating results are below the expectations of securities analysts or investors, the trading price of our stock could decline."

3dfx Asset Purchase

On December 15, 2000, NVIDIA Corporation and one of our indirect subsidiaries entered into an Asset Purchase Agreement, or APA, which closed on April 18, 2001, to purchase certain graphics chip assets from 3dfx. Under the terms of the APA, the cash consideration due at the closing was \$70.0 million, less \$15.0 million that was loaned to 3dfx pursuant to a Credit Agreement dated December 15, 2000. The Asset Purchase Agreement also provided, subject to the other provisions thereof, that if 3dfx properly certified that all its debts and other liabilities had been provided for, then we would have been obligated to pay 3dfx one million shares, which due to subsequent stock splits now totals six million shares, of NVIDIA common stock. If 3dfx could not make such a certification, but instead properly certified that its debts and liabilities could be satisfied for less than \$25.0 million, then 3dfx could have elected to receive a cash payment equal to the amount of such debts and liabilities and a reduced number of shares of our common stock, with such reduction calculated by dividing the cash payment by \$25.00 per share. If 3dfx could not certify that all of its debts and liabilities had been provided for, or could not be satisfied, for less than \$25.0 million, we would not be obligated under the agreement to pay any additional consideration for the assets.

In October 2002, 3dfx filed for Chapter 11 bankruptcy protection in the United States Bankruptcy Court for the Northern District of California. In March 2003, we were served with a complaint filed by the Trustee appointed by the Bankruptcy Court which sought, among other things, payments from us as additional purchase price related to our purchase of certain assets of 3dfx. In early November 2005, after several months of mediation, NVIDIA and the Official Committee of Unsecured Creditors, or the Creditors' Committee, agreed to a Plan of Liquidation of 3dfx, which included a conditional settlement of the Trustee's claims against us. This conditional settlement was subject to a confirmation process through a vote of creditors and the review and approval of the Bankruptcy Court after notice and hearing. The conditional settlement called for a payment by NVIDIA of approximately \$30.6 million to the 3dfx estate. Under the settlement, \$5.6 million related to various administrative expenses and Trustee fees, and \$25.0 million related to the satisfaction of debts and liabilities owed to the general unsecured creditors of 3dfx. Accordingly, during the three month period ended October 30, 2005, we recorded \$5.6 million as a charge to settlement costs and \$25.0 million as additional purchase price for 3dfx. The Trustee advised that he intended to object to the settlement. However, the conditional settlement never progressed substantially through the confirmation process.

On December 21, 2005, the Bankruptcy Court determined that it would schedule trial of one portion of the Trustee's case against NVIDIA. On January 2, 2007, NVIDIA exercised its right to terminate the settlement agreement on grounds that the Bankruptcy Court had failed to proceed toward confirmation of the Creditors' Committee's plan. A non-jury trial began on March 21, 2007 on valuation issues in the Trustee's constructive fraudulent transfer claims against NVIDIA. Specifically, the Bankruptcy Court tried four questions: (1) what did 3dfx transfer to NVIDIA in the APA?; (2) of what was transferred, what qualifies as "property" subject to the Bankruptcy Court's avoidance powers under the Uniform Fraudulent Transfer Act and relevant bankruptcy code provisions?; (3) what is the fair market value of the "property" identified in answer to question (2)?; and (4) was the \$70 million that NVIDIA paid "reasonably equivalent" to the fair market value of that property? At the conclusion of the evidence, the Bankruptcy Court asked the parties to submit post-trial briefing. That briefing was completed on May 25, 2007. On April 30, 2008, the Bankruptcy Court issued its Memorandum Decision After Trial, in which it provided a detailed summary of the trial proceedings and the parties' contentions with respect to each of the questions to be tried. The Bankruptcy Court concluded that "the creditors of 3dfx were not injured by the Transaction." This decision does not entirely dispose of the Trustee's action, however; still pending are the Trustee's claims for successor liability and intentional fraudulent conveyance. On May 12, 2008, the Trustee filed a motion for leave to pursue an interlocutory appeal.

Please refer to Note 12 of the Notes to Condensed Consolidated Financial Statements for further information regarding this litigation.

Product Defect Contingencies

Our products are complex and may contain defects or experience failures due to any number of issues in design, fabrication, packaging, materials and / or use within a system. If any of our products or technologies contains a defect, compatibility issue or other error, we may have to invest additional research and development efforts to find and correct the issue. Such efforts could divert our management's and engineers' attention from the development of new products and technologies and could increase our operating costs and reduce our gross margin. In addition, an error or defect in new products or releases or related software drivers after commencement of commercial shipments could result in failure to achieve market acceptance or loss of design wins. Also, we may be required to reimburse customers, including for customers' costs to repair or replace the products in the field, which could cause our revenue to decline. A product recall or a significant number of product returns could be expensive, damage our reputation and could result in the shifting of business to our competitors. Costs associated with correcting defects, errors, bugs or other issues could be significant and could materially harm our financial results.

During the first quarter of fiscal year 2009, one of our customers asserted claims for incremental repair and replacement costs related to an alleged die/package material set defect in one of our notebook MCP products. This product was included in a significant number of the customer's notebook products that have been sold to end users, and has also been shipped to other of our customers in significant quantities. We are evaluating the potential scope of this situation, including the nature and cause of the alleged defect and the merits of the customer's claim, and to what extent the alleged defect might occur with other of our products. We are currently unable to estimate the amount of costs that may be incurred by us beyond the normal product warranty accrual that we have taken related to this claim and the alleged defect and, therefore, we have not recorded any additional related costs or a liability in our Condensed Consolidated Financial statements as of, and for the three months ended, April 27, 2008.

Contractual Obligations

At April 27, 2008, we had outstanding inventory purchase obligations and capital purchase obligations totaling approximately \$654.3 million and \$44.1 million, respectively. There were no other material changes in our contractual obligations from those disclosed in our Annual Report on Form 10-K for the year ended January 27, 2008. Please see Item 7, "Management's Discussion and Analysis of Financial Condition and Results of Operations - Liquidity and Capital Resources" in our Form 10-K for a description of our contractual obligations.

Off-Balance Sheet Arrangements

As of April 27, 2008, we had no material off-balance sheet arrangements as defined in Regulation S-K 303(a)(4)(ii).

Adoption of New Accounting Pronouncements

On January 28, 2008, we adopted Statement of Financial Accounting Standards No. 157, or SFAS No. 157, *Fair Value Measurements*. SFAS No. 157 for all financial assets and financial liabilities recognized or disclosed at fair value in the financial statements. SFAS No. 157 establishes a framework for measuring fair value and expands disclosures about fair value measurements. The changes to current practice resulting from the application of SFAS No. 157 relate to the definition of fair value, the methods used to measure fair value, and the expanded disclosures about fair value measurements. The adoption of SFAS No. 157 for financial assets and liabilities did not have a significant impact on our consolidated financial statements, and the resulting fair values calculated under SFAS No. 157 after adoption were not significantly different than the fair values that would have been calculated under previous guidance. Please refer to Note 16 of these Notes to the Condensed Consolidated Financial Statements for further details on our fair value measurements.

Additionally, in February 2008, the FASB issued FASB Staff Position No. FAS 157-2, or FSP No. 157-2, *Effective Date of FASB Statement No. 157, to partially defer FASB Statement No. 157, Fair Value Measurements*. FSP No. 157-2 defers the effective date of FAS 157 for non-financial assets and non-financial liabilities, except those that are recognized or disclosed at fair value in the financial statements on a recurring basis (at least annually), to fiscal years, and interim periods within those fiscal years, beginning after November 15, 2008. We do not believe the adoption of FSP 157-2 will have a material impact on our consolidated financial position, results of operations and cash flows.

On January 28, 2008, we adopted the Financial Accounting Standards Board, or FASB issued Statement of Financial Accounting Standards No. 159, or SFAS No. 159, *The Fair Value Option for Financial Assets and Financial Liabilities*. SFAS No. 159 permits companies to choose to measure certain financial instruments and certain other items at fair value using an instrument-by-instrument election. The standard requires that unrealized gains and losses on items for which the fair value option has been elected be reported in earnings. Under SFAS No. 159, we did not elect the fair value option for any of our assets and liabilities. The adoption of SFAS No. 159 did not have an impact on our consolidated financial statements.

In June 2007, the FASB ratified Emerging Issues Task Force Issue No. 07-3, or EITF 07-3, *Accounting for Nonrefundable Advance Payments for Goods or Services to Be Used in Future Research and Development Activities*. EITF 07-3 requires non-refundable advance payments for goods and services to be used in future research and development activities to be recorded as an asset and the payments to be expensed when the research and development activities are performed. We adopted the provisions of EITF 07-3 beginning with our fiscal quarter ended April 27, 2008. The adoption of EITF 07-3 did not have any impact on our consolidated financial position, results of operations and cash flows.

Recently Issued Accounting Pronouncements

In December 2007, the FASB issued Statement of Financial Accounting Standards No. 141 (revised 2007), or SFAS No. 141(R), *Business Combinations*. Under SFAS No. 141(R), an entity is required to recognize the assets acquired, liabilities assumed, contractual contingencies, and contingent consideration at their fair value on the acquisition date. It further requires that acquisition-related costs be recognized separately from the acquisition and expensed as incurred, restructuring costs generally be expensed in periods subsequent to the acquisition date, and changes in accounting for deferred tax asset valuation allowances and acquired income tax uncertainties after the measurement period impact income tax expense. In addition, acquired in-process research and development, or IPR&D, is capitalized as an intangible asset and amortized over its estimated useful life. We are required to adopt the provisions of SFAS No. 141(R) beginning with our fiscal quarter ending April 26, 2009. The adoption of SFAS No. 141(R) is expected to change our accounting treatment for business combinations on a prospective basis beginning in the period it is adopted.

ITEM 3. QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

Investment and Interest Rate Risk

At April 27, 2008 and January 27, 2008, we had \$ 1.62 billion and \$1.81 billion, respectively, in cash, cash equivalents and marketable securities. We invest in a variety of financial instruments, consisting principally of cash and cash equivalents, asset-backed securities, commercial paper, mortgage-backed securities issued by Government-sponsored enterprises, equity securities, money market funds and highly liquid debt securities of corporations, municipalities and the United States government and its agencies. As of April 27, 2008, we did not have any investments in auction-rate preferred securities. Our investments are denominated in United States dollars.

We account for our investment instruments in accordance with Statement of Financial Accounting Standards No. 115, or SFAS No. 115, *Accounting for Certain Investments in Debt and Equity Securities*. All of the cash equivalents and marketable securities are treated as “available-for-sale” under SFAS No. 115. Investments in both fixed rate and floating rate interest earning instruments carry a degree of interest rate risk. Fixed rate securities may have their market value adversely impacted due to a rise in interest rates, while floating rate securities may produce less income than expected if interest rates fall. Due in part to these factors, our future investment income may fall short of expectations due to changes in interest rates or if the decline in fair value of our publicly traded debt or equity investments is judged to be other-than-temporary. We may suffer losses in principal if we are forced to sell securities that decline in securities market value due to changes in interest rates. However, because any debt securities we hold are classified as “available-for-sale,” no gains or losses are realized in our condensed consolidated statements of income due to changes in interest rates unless such securities are sold prior to maturity or unless declines in value are determined to be other-than-temporary. These securities are reported at fair value with the related unrealized gains and losses included in accumulated other comprehensive income, a component of stockholders’ equity, net of tax.

As of April 27, 2008, we performed a sensitivity analysis on our floating and fixed rate financial investments. According to our analysis, parallel shifts in the yield curve of both +/- 0.5% would result in changes in fair market values for these investments of approximately \$3.6 million.

Recent U.S. sub-prime mortgage defaults have had a significant impact across various sectors of the financial markets, causing global credit and liquidity issues. The short-term funding markets experienced issues during the third and fourth quarter of calendar 2007, leading to liquidity disruption in the market. If the global credit market continues to deteriorate, our investment portfolio may be impacted and we could determine some of our investments are impaired, which could adversely impact our financial results. Our investments in the financial sector and government agencies accounted for approximately 34% and 22%, respectively, of our total investment portfolio. If the fair value of our investments in these sectors was to decline by 2%-5%, it would result in changes in fair market values for these investments by approximately \$15-\$37 million.

Exchange Rate Risk

We consider our direct exposure to foreign exchange rate fluctuations to be minimal. Currently, sales and arrangements with third-party manufacturers provide for pricing and payment in United States dollars, and, therefore, are not subject to exchange rate fluctuations. Increases in the value of the United States’ dollar relative to other currencies would make our products more expensive, which could negatively impact our ability to compete. Conversely, decreases in the value of the United States’ dollar relative to other currencies could result in our suppliers raising their prices in order to continue doing business with us. Fluctuations in currency exchange rates could harm our business in the future. The aggregate exchange loss included in determining net income was \$4.2 million and \$0.6 million during the first quarter of fiscal years 2009 and 2008, respectively.

We may enter into certain transactions such as forward contracts which are designed to reduce the future potential impact resulting from changes in foreign currency exchange rates. There were no forward exchange contracts outstanding at April 27, 2008.

ITEM 4. CONTROLS AND PROCEDURES

Controls and Procedures

Disclosure Controls and Procedures

Based on their evaluation as of April 27, 2008, our management, including our Chief Executive Officer and Chief Financial Officer, have concluded that our disclosure controls and procedures as defined in Rule 13a-15(e) and Rule 15d-15(e) under the Securities Exchange Act of 1934, or the Exchange Act, were effective.

Changes in Internal Control Over Financial Reporting

There were no changes in our internal controls over financial reporting during our fiscal quarter ended April 27, 2008 that have materially affected, or are reasonably likely to materially affect, our internal control over financial reporting.

Inherent Limitations on Effectiveness of Controls

Our management, including our Chief Executive Officer and Chief Financial Officer, does not expect that our disclosure controls and procedures or our internal controls, will prevent all error and all fraud. A control system, no matter how well conceived and operated, can provide only reasonable, not absolute, assurance that the objectives of the control system are met. Further, the design of a control system must reflect the fact that there are resource constraints, and the benefits of controls must be considered relative to their costs. Because of the inherent limitations in all control systems, no evaluation of controls can provide absolute assurance that all control issues and instances of fraud, if any, within NVIDIA have been detected.

PART II

ITEM 1. LEGAL PROCEEDINGS

Please see Part I, Item 1, Note 12 of the Notes to Condensed Consolidated Financial Statements for a discussion of our legal proceedings.

ITEM 1A. RISK FACTORS

A description of the risk factors associated with our business is set forth below. This description includes any material changes to and supersedes the description of risk factors associated with our business previously disclosed in Part I, Item 1A. "Risk Factors" of our Annual Report on Form 10-K for the fiscal year ended January 27, 2008.

Risks Related to Competition

If we are unable to compete in the markets for our products, our financial results could be adversely impacted.

The markets for our products are highly competitive and are characterized by rapid technological change, new product introductions, evolving industry standards, and declining average selling prices. We believe that our ability to remain competitive will depend on how well we are able to anticipate the features and functions that customers will demand from our products and whether we are able to deliver consistent volumes of our products at acceptable prices and quality levels. We believe other factors impacting our ability to compete are:

- product performance;
- product bundling by competitors with multiple product lines;
- breadth and frequency of product offerings;
- access to customers and distribution channels;
- backward-forward software support;
- conformity to industry standard application programming interfaces; and
- manufacturing capabilities.

We expect competition to increase both from existing competitors and new market entrants with products that may be less costly than ours, or may provide better performance or additional features not provided by our products, any of which could harm our business. Some of these competitors may have or be able to obtain greater marketing, financial, distribution and manufacturing resources than we do and may be better able to adapt to customer or technological changes. Currently, Intel, which has greater resources than we do, is working on a multi-core architecture code-named Larrabee, which may compete with our products in various markets. Intel may also release an enthusiast level discrete graphics processing unit, or GPU, based on the Larrabee architecture. In order to compete, we may have to invest substantial amounts in research and development without assurance that our products will be superior to those of our competitors or that the products will achieve market acceptance.

An additional significant source of competition comes from companies that provide or intend to provide competing product solutions. For example, we are the largest supplier of AMD 64 chipsets with 61% segment share in the first quarter of calendar year 2008, as reported in the 2008 First Quarter PC Processor and Chipset report from Mercury Research. Decline in demand for our chipsets in the AMD segment as a result of the offerings of a new or existing competitor could materially impact our financial results.

Our current competitors include the following:

- suppliers of discrete media and communication processors, or MCPs, that incorporate a combination of networking, audio, communications and input/output functionality as part of their existing solutions, such as AMD, Broadcom, Silicon Integrated Systems Corporation, or SIS, VIA Technologies, Inc., or VIA, and Intel;
- suppliers of GPUs, including MCPs that incorporate 3D graphics functionality as part of their existing solutions, such as AMD, Intel, Matrox Electronics Systems Ltd., SIS and VIA;
- suppliers of GPUs or GPU intellectual property for handheld and digital consumer electronics devices that incorporate advanced graphics functionality as part of their existing solutions, such as AMD, Broadcom, Fujitsu Limited, Imagination Technologies Ltd., ARM Holdings plc, Marvell Technology Group Ltd., or Marvell, NEC Corporation, Qualcomm Incorporated, or Qualcomm, Renesas Technology, Seiko-Epson, Texas Instruments Incorporated, and Toshiba America, Inc.; and
- suppliers of application processors for handheld and digital consumer electronics devices that incorporate multimedia processing as part of their existing solutions such as Broadcom, Texas Instruments Inc., Qualcomm, Marvell, Freescale Semiconductor Inc., Samsung and ST Microelectronics.

If and to the extent we offer products in new markets, we may face competition from some of our existing competitors as well as from companies with which we currently do not compete. We cannot accurately predict if we will compete successfully in any new markets we may enter. If we are unable to compete in our current or new markets, demand for our products could decrease which could cause our revenue to decline and our financial results to suffer.

As Intel and AMD continue to pursue platform solutions, we may not be able to successfully compete and our business would be negatively impacted.

We expect substantial competition from both Intel's and AMD's strategy of selling platform solutions, such as the success Intel achieved with its Centrino platform solution. AMD has also announced a platform solution. Additionally, we expect that Intel and AMD will extend this strategy to other segments, including the possibility of successfully integrating a central processing unit, or CPU, and a GPU on the same chip, as evidenced by AMD's announcement of its Fusion processor project. If AMD and Intel continue to pursue platform solutions, we may not be able to successfully compete and our business would be negatively impacted.

Risks Related to Our Partners and Customers

We depend on foundries to manufacture our products and these third parties may not be able to satisfy our manufacturing requirements, which would harm our business.

We do not manufacture the silicon wafers used for our products and do not own or operate a wafer fabrication facility. Instead, industry-leading foundries manufacture our semiconductor wafers using their state-of-the-art fabrication equipment and techniques. The foundries, which have limited capacity, also manufacture products for other semiconductor companies, including some of our competitors. Since we do not have long-term commitment contracts with any of the foundries, they do not have an obligation to provide us with any minimum quantity of product at any time or at any set price, except as may be provided in a specific purchase order. Most of our products are only manufactured by one foundry at a time. In times of high demand, the foundries could choose to prioritize their capacity for other companies, reduce or eliminate deliveries to us, or increase the prices that they charge us. If we are unable to meet customer demand due to reduced or eliminated deliveries or have to increase the prices of our products, we could lose sales to customers, which would negatively impact our revenue and our reputation.

Because the lead-time needed to establish a strategic relationship with a new manufacturing partner could be several quarters, we do not have an alternative source of supply for our products. In addition, the time and effort to qualify a new foundry could result in additional expense, diversion of resources, or lost sales any of which would negatively impact our financial results. We believe that long-term market acceptance for our products will depend on reliable relationships with the third-party manufacturers we use to ensure adequate product supply and competitive pricing to respond to customer demand.

Failure to achieve expected manufacturing yields for our products could negatively impact our financial results and damage our reputation.

Manufacturing yields for our products are a function of product design, which is developed largely by us, and process technology, which typically is proprietary to the manufacturer. Low yields may result from either product design or process technology failure. We do not know a yield problem exists until our design is manufactured. When a yield issue is identified, the product is analyzed and tested to determine the cause. As a result, yield problems may not be identified until well into the production process. Resolution of yield problems requires cooperation by and communication between us and the manufacturer. Because of our potentially limited access to wafer foundry capacity, decreases in manufacturing yields could result in an increase in our costs and force us to allocate our available product supply among our customers. Lower than expected yields could potentially harm customer relationships, our reputation and our financial results.

We are dependent on third parties for assembly, testing and packaging of our products, which reduces our control over the delivery schedule, product quantity or product quality.

Our products are assembled, tested and packaged by independent subcontractors, such as Advanced Semiconductor Engineering, Inc., Amkor Technology, JSI Logistics, Ltd., King Yuan Electronics Co., Siliconware Precision Industries Co. Ltd., and ChipPAC. As a result, we do not directly control our product delivery schedules, product quantity, or product quality. All of these subcontractors assemble, test and package products for other companies, including some of our competitors. Since we do not have long-term agreements with our subcontractors, when demand for subcontractors to assemble, test or package products is high, our subcontractors may decide to prioritize the orders of other customers over our orders. Since the time required to qualify a different subcontractor to assemble, test or package our products can be lengthy, if we have to find a replacement subcontractor we could experience significant delays in shipments of our products, product shortages, a decrease in the quality of our products, or an increase in product cost. Any product shortages or quality assurance problems could increase the costs of manufacture, assembly or testing of our products, which could cause our gross margin and revenue to decline.

Failure to transition to new manufacturing process technologies could adversely affect our operating results and gross margin.

We use the most advanced manufacturing process technology appropriate for our products that is available from our third-party foundries. As a result, we continuously evaluate the benefits of migrating our products to smaller geometry process technologies in order to improve performance and reduce costs. We believe this strategy will help us remain competitive. Our current product families are manufactured using 0.15 micron, 0.14 micron, 0.13 micron, 0.11 micron, 90 nanometer and 65 nanometer process technologies. Manufacturing process technologies are subject to rapid change and require significant expenditures for research and development, which could negatively impact our operating expenses and gross margin.

We have experienced difficulty in migrating to new manufacturing processes in the past and, consequently, have suffered reduced yields, delays in product deliveries and increased expense levels. We may face similar difficulties, delays and expenses as we continue to transition our new products to smaller geometry processes. Moreover, we are dependent on our third-party manufacturers to migrate to smaller geometry processes successfully. Some of our competitors own their manufacturing facilities and may be able to move to a new state of the art manufacturing process more quickly than our manufacturing partners. For example, Intel released a 45 nanometer chip for desktop computers which it is manufacturing in its foundries. If our suppliers fall behind our competitors in manufacturing processes, the development and customer demand for our products and the use of our products could be negatively impacted. The inability by us or our third-party manufacturers to effectively and efficiently transition to new manufacturing process technologies may adversely affect our operating results and our gross margin.

We rely on third-party vendors to supply software development tools to us for the development of our new products and we may be unable to obtain the tools necessary to develop or enhance new or existing products.

We rely on third-party software development tools to assist us in the design, simulation and verification of new products or product enhancements. To bring new products or product enhancements to market in a timely manner, or at all, we need software development tools that are sophisticated enough or technologically advanced enough to complete our design, simulations and verifications. In the past, we have experienced delays in the introduction of products as a result of the inability of then available software development tools to fully simulate the complex features and functionalities of our products. In the future, the design requirements necessary to meet consumer demands for more features and greater functionality from our products may exceed the capabilities of available software development tools. Unavailability of software development tools may result in our missing design cycles or losing design wins either of which could result in a loss of market share or negatively impact our operating results.

Because of the importance of software development tools to the development and enhancement of our products, a critical component of our product development efforts is our partnerships with leaders in the computer-aided design industry, including Cadence Design Systems, Inc. and Synopsys, Inc. We have invested significant resources to develop relationships with these industry leaders and have often assisted them in the definition of their new products. We believe that forming these relationships and utilizing next-generation development tools to design, simulate and verify our products will help us remain at the forefront of the 3D graphics, communications and networking segments and develop products that utilize leading-edge technology on a rapid basis. If these relationships are not successful, we may be unable to develop new products or product enhancements in a timely manner, which could result in a loss of market share, a decrease in revenue or negatively impact our operating results.

We sell our products to a small number of customers and our business could suffer if we lose any of these customers.

We have a limited number of customers and our sales are highly concentrated. Sales to a significant customer represented approximately 11% of our total revenue during the first quarter of fiscal year 2009. There were no significant customers during first quarter of fiscal year 2008. Although a small number of our other customers represents the majority of our revenue, their end customers include a large number of original equipment manufacturers, or OEMs, and system integrators throughout the world who, in many cases, specify the graphics supplier. Our sales process involves achieving key design wins with leading personal computer, or PC, OEMs and major system builders and supporting the product design into high volume production with key contract equipment manufacturers, or CEMs, original design manufacturers, or ODMs, add-in board and motherboard manufacturers. These design wins in turn influence the retail and system builder channel that is serviced by CEMs, ODMs, add-in board and motherboard manufacturers. Our distribution strategy is to work with a small number of leading independent CEMs, ODMs, add-in board and motherboard manufacturers, and distributors, each of which has relationships with a broad range of system builders and leading PC OEMs. If we were to lose sales to our PC OEMs, CEMs, ODMs, add-in board manufacturers and motherboard manufacturers and were unable to replace the lost sales with sales to different customers, they were to significantly reduce the number of products they order from us, or we were unable to collect accounts receivable from them, our revenue may not reach or exceed the expected level in any period, which could harm our financial condition and our results of operations.

Any difficulties in collecting accounts receivable, including from foreign customers, could harm our operating results and financial condition.

Our accounts receivable are highly concentrated and make us vulnerable to adverse changes in our customers' businesses, and to downturns in the industry and the worldwide economy. Three customers accounted for approximately 32% and 27% of our accounts receivable balance at April 27, 2008 and January 27, 2008, respectively.

Difficulties in collecting accounts receivable or the loss of any significant customer could materially and adversely affect our financial condition and results of operations. We continue to work directly with more foreign customers and it may be difficult to collect accounts receivable from them. We maintain an allowance for doubtful accounts for estimated losses resulting from the inability of our customers to make required payments. This allowance consists of an amount identified for specific customers and an amount based on overall estimated exposure. If the financial condition of our customers were to deteriorate, resulting in an impairment in their ability to make payments, additional allowances may be required, we may be required to defer revenue recognition on sales to affected customers, and we may be required to pay higher credit insurance premiums, any of which could adversely affect our operating results. In the future, we may have to record additional reserves or write-offs and/or defer revenue on certain sales transactions which could negatively impact our financial results.

Risks Related to Our Business and Products

If our products contain significant defects our financial results could be negatively impacted, our reputation could be damaged and we could lose market share.

Our products are complex and may contain defects or experience failures when first introduced or when we release new versions or enhancements. Such defects or failures could be due to any number of issues in design fabrication, packaging, materials and/or use within a system. Past products have and future products or enhancements may contain defects, errors or bugs. Our products typically only go through one verification cycle prior to volume production and distribution. As a result, our products may contain undetected defects or flaws prior to volume production and distribution. If any of our products or technologies contains a defect, compatibility issue or other error, we may have to invest additional research and development efforts to find and correct the issue. Such efforts could divert our management's and engineers' attention from the development of new products and technologies and could increase our operating costs and decrease our gross margin. Additionally, an error or defect in new products or releases or related software drivers after commencement of commercial shipments could result in failure to achieve market acceptance or loss of design wins. Also, we may be required to reimburse customers, including for their costs to repair or replace the products in the field, which could cause our revenue to decline. A product recall or a significant number of product returns could be expensive, damage our reputation, and could result in the shifting of business to our competitors. Product liability claims brought against us, even if unsuccessful, would likely be time consuming and costly to defend. Costs associated with finding and correcting defects, errors, bugs or other issues could be significant and could materially harm our financial results and have other adverse results.

During the first quarter of fiscal year 2009, one of our customers asserted claims for incremental repair and replacement costs related to an alleged die/package material set defect in one of our notebook MCP products. This product was included in a significant number of the customer's notebook products that have been sold to end users, and has also been shipped to other of our customers in significant quantities. We are evaluating the potential scope of this situation, including the nature and cause of the alleged defect and the merits of the customer's claim, and to what extent the alleged defect might occur with other of our products. We are currently unable to estimate the amount of costs that may be incurred by us beyond the normal product warranty accrual that we have taken related to this claim and the alleged defect and, therefore, we have not recorded any additional related costs or a liability in our Condensed Consolidated Financial statements as of, and for the three months ended, April 27, 2008.

Our failure to estimate customer demand properly could adversely affect our financial results.

Our inventory purchases are based upon future demand forecasts or orders from our customers and may not accurately predict the quantity or type of products that our customers will want or will ultimately purchase. In forecasting demand, we make multiple assumptions any of which may prove to be incorrect. Situations that may result in excess or obsolete inventory, which could result in write-downs of the value of our inventory and/or a reduction in average selling prices, and where our gross margin could be adversely affected include:

- if there were a sudden and significant decrease in demand for our products;
- if there were a higher incidence of inventory obsolescence because of rapidly changing technology and customer requirements;
 - if we fail to estimate customer demand properly for our older products as our newer products are introduced; or
- if our competition were to take unexpected competitive pricing actions.

Conversely, if we underestimate our customers' demand for our products, our third party manufacturing partners may not have adequate capacity to increase production for us meaning that we may not be able to obtain sufficient inventory to fill our customers' orders on a timely basis. Even if we are able to increase production levels to meet customer demand, we may not be able to do so in a cost effective or timely manner. Inability to fulfill our customers' orders on a timely basis, or at all, could damage our customer relationships, result in lost revenue, cause a loss in market share, impact our customer relationships or damage our reputation, any of which could adversely impact our business.

Because we order products or materials in advance of anticipated customer demand our ability to reduce our inventory purchase commitments quickly in response to lower than expected demand is limited.

We manufacture our products based on forecasts of customer demand in order to have shorter shipment lead times for our customers. As a result, we may build inventories for anticipated periods of growth which do not occur or may build inventory anticipating demand for a product that does not materialize. Any inability to sell products to which we have devoted resources could harm our business. In addition, cancellation or deferral of customer purchase orders could result in our holding excess inventory, which could adversely affect our gross margin and restrict our ability to fund operations. Additionally, because we often sell a substantial portion of our products in the last month of each quarter, we may not be able to reduce our inventory purchase commitments in a timely manner in response to customer cancellations or deferrals. We could be subject to excess or obsolete inventories and be required to take corresponding inventory write-downs if growth slows or does not materialize or if we incorrectly forecast product demand, which could negatively impact our financial results.

Our business results could be adversely affected if our product development efforts are unsuccessful.

In the past, we have experienced delays in the development of new products. Any delay or failure of our GPUs, our other products, or other technologies to meet or exceed specifications of our customers or competitive products could materially harm our business if customers do not buy our products. The success of our new product introductions will depend on many factors, including the following:

- proper new product definition;
- timely completion and introduction of new product designs;
- availability of next-generation software development tools to design, simulate and verify our products;
- our dependence on third-parties to effectively manufacture, assemble, test and package our new products in a timely manner while maintaining product quality;
- differentiation of new products from those of our competitors;
- market acceptance of our products and our customers' products; and
- availability of adequate quantity and configurations of various types of memory products.

Our failure to successfully develop, introduce or achieve market acceptance for new processors or other technologies could impact our revenue, gross margin and other financial results.

Our failure to identify new market or product opportunities or to develop new products could harm our business.

As our GPUs and other processors develop and competition increases, we anticipate that product life cycles at the high end will remain short and average selling prices will decline. In particular, we expect average selling prices and gross margins for our processors to decline as each product matures and as unit volume increases. As a result, we will need to introduce new products and enhancements to existing products to maintain or improve overall average selling prices and our gross margin. In order for our processors to achieve high volumes, leading PC OEMs, ODMs, and add-in board and motherboard manufacturers must select our processors for design into their products, and then successfully complete the designs of their products and sell them. We may be unable to successfully identify new product opportunities or to develop and bring to market new products in a timely fashion. Additionally, we cannot guarantee that new products we develop will be selected for design into PC OEMs', ODMs', or add-in board and motherboard manufacturers' products, that any new designs will be successfully completed, or that any new products will be sold.

As the complexity of our products and the manufacturing process for our products increases, there is an increasing risk that we will experience problems with the performance of our products and that there will be delays in the development, introduction or volume shipment of our products. We may experience difficulties related to the production of current or future products or other factors that may delay the introduction or volume sale of new products we develop. In addition, we may be unable to successfully manage the production transition risks with respect to future products. Failure to achieve any of the foregoing with respect to future products or product enhancements could result in rapidly declining average selling prices, reduced margins and reduced demand for products or loss of market share. In addition, products or technologies developed by others may render our processors non-competitive or obsolete or result in our holding excess inventory, which would harm our business.

If we are unable to achieve design wins, our products may not be adopted by our target markets or customers either of which could negatively impact our financial results.

The success of our business depends to a significant extent on our ability to develop new competitive products for our target markets and customers. We believe achieving design wins, which entails having our existing and future products chosen for hardware components or subassemblies designed by OEMs, ODMs, add-in board and motherboard manufacturers, are an integral part of our future success. Our OEM, ODM, and add-in board and motherboard manufacturers' customers typically introduce new system configurations as often as twice per year, typically based on spring and fall design cycles or in connection with trade shows. Accordingly, when our customers are making their design decisions, our existing products must have competitive performance levels or we must timely introduce new products in order to be included in our customers' new system configurations. This requires that we:

- anticipate the features and functionality that customers and consumers will demand;
- incorporate those features and functionalities into products that meet the exacting design requirements of our customers;
- price our products competitively; and
- introduce products to the market within our customers' limited design cycles.

If OEMs, ODMs, and add-in board and motherboard manufacturers do not include our products in their systems, they will typically not use our products in their systems until at least the next design configuration. Therefore, we endeavor to develop close relationships with our OEMs and ODMs, in an attempt to better anticipate and address customer needs in new products so that we will achieve design wins.

Our ability to achieve design wins also depends in part on our ability to identify and be compliant with evolving industry standards. Unanticipated changes in industry standards could render our products incompatible with products developed by major hardware manufacturers and software developers like AMD, Intel and Microsoft. If our products are not in compliance with prevailing industry standards, we may not be designed into our customers' product designs. However, to be compliant with changes to industry standards, we may have to invest significant time and resources to redesign our products which could negatively impact our gross margin or operating results. If we are unable to achieve new design wins for existing or new customers, we may lose market share and our operating results would be negatively impacted.

We may have to invest more resources in research and development than anticipated, which could increase our operating expenses and negatively impact our operating results.

If new competitors, technological advances by existing competitors, our entry into new markets, or other competitive factors require us to invest significantly greater resources than anticipated in our research and development efforts, our operating expenses would increase. We have increased our engineering and technical resources and had 3,683 and 2,657 full-time employees engaged in research and development as of April 27, 2008 and April 29, 2007, respectively. Research and development expenditures were \$218.8 million and \$158.3 million for the first quarter of fiscal years 2009 and 2008, respectively. Research and development expenses included non-cash stock-based compensation expense of \$24.5 million and \$22.4 million in the first quarters of fiscal years 2009 and 2008, respectively, which we began to record in the first quarter of fiscal year 2007 as a result of our adoption of SFAS No. 123(R). If we are required to invest significantly greater resources than anticipated in research and development efforts without an increase in revenue, our operating results could decline. Research and development expenses are likely to fluctuate from time to time to the extent we make periodic incremental investments in research and development and these investments may be independent of our level of revenue which could negatively impact our financial results. In order to remain competitive, which may include entering new markets, we anticipate that we will continue to devote substantial resources to research and development, and we expect these expenses to increase in absolute dollars in the foreseeable future due to the increased complexity and the greater number of products under development as well as hiring additional employees.

Because our gross margin for any period depends on a number of factors, our failure to forecast changes in any of these factors could adversely affect our gross margin.

We continue to pursue improved gross margin. Our gross margin for any period depends on a number of factors, including:

- the mix of our products sold;
- average selling prices;
- introduction of new products;
- product transitions;
- sales discounts;
- unexpected pricing actions by our competitors;
- the cost of product components; and
- the yield of wafers produced by the foundries that manufacture our products.

If we do not correctly forecast the impact of any of the relevant factors on our business, we may not be able to take action in time to counteract any negative impact on our gross margin. In addition, if we are unable to meet our gross margin target for any period or the target set by analysts, the trading price of our common stock may decline.

We may not be able to realize the potential financial or strategic benefits of business acquisitions or strategic investments, which could hurt our ability to grow our business, develop new products or sell our products.

We have acquired and invested in other businesses that offered products, services and technologies that we believe will help expand or enhance our existing products and business. We may enter into future acquisitions of, or investments in, businesses, in order to complement or expand our current businesses or enter into a new business market. Negotiations associated with an acquisition or strategic investment could divert management's attention and other company resources. Any of the following risks associated with past or future acquisitions or investments could impair our ability to grow our business, develop new products, our ability to sell our products, and ultimately could have a negative impact on our growth or our financial results:

- difficulty in combining the technology, products, operations or workforce of the acquired business with our business;
- difficulty in operating in a new or multiple new locations;
- disruption of our ongoing businesses or the ongoing business of the company we invest in or acquire;
- difficulty in realizing the potential financial or strategic benefits of the transaction;
- difficulty in maintaining uniform standards, controls, procedures and policies;
- disruption of or delays in ongoing research and development efforts;
- diversion of capital and other resources;
- assumption of liabilities;
- diversion of resources and unanticipated expenses resulting from litigation arising from potential or actual business acquisitions or investments;
- difficulties in entering into new markets in which we have limited or no experience and where competitors in such markets have stronger positions; and
- impairment of relationships with employees and customers, or the loss of any of our key employees or customers of our target's key employees or customers, as a result of our acquisition or investment

In addition, the consideration for any future acquisition could be paid in cash, shares of our common stock, the issuance of convertible debt securities or a combination of cash, convertible debt and common stock. If we make an investment in cash or use cash to pay for all or a portion of an acquisition, our cash reserves would be reduced which could negatively impact the growth of our business or our ability to develop new products. However, if we pay the consideration with shares of common stock, or convertible debentures, the holdings of our existing stockholders would be diluted. We cannot forecast the number, timing or size of future strategic investments or acquisitions, or the effect that any such investments or acquisitions might have on our operations or financial results.

We are dependent on key employees and the loss of any of these employees could negatively impact our business.

Our future success and ability to compete is substantially dependent on our ability to identify, hire, train and retain highly qualified key personnel. The market for key employees in the semiconductor industry can be competitive. None of our key employees is bound by an employment agreement, meaning our relationships with all of our key employees are at will. For instance, Marvin D. Burkett, Chief Financial Officer, or CFO, informed us on March 21, 2008 of his intention to retire. Mr. Burkett is expected to remain as CFO while a search is conducted to find his replacement, and he may continue in some capacity with us thereafter. We have commenced the process to recruit a new CFO. The loss of the services of Mr. Burkett or any of our other key employees without an adequate replacement or our inability to hire new employees as needed could delay our product development efforts, harm our ability to sell our products or otherwise negatively impact our business.

Our operating expenses are relatively fixed and we may not be able to reduce operating expenses quickly in response to any revenue shortfalls.

Our operating expenses, which are comprised of research and development expenses and sales, general and administrative expenses, represented 27% and 28% of our total revenue during the first quarters of fiscal years 2009 and 2008, respectively. Operating expenses included non-cash stock-based compensation expense of \$39.0 million and \$34.6 million in the first quarters of fiscal years 2009 and 2008, respectively, which we began to record in the first quarter of fiscal year 2007 as a result of our adoption of Statement of Financial Accounting Standards No. 123(R), or SFAS No. 123(R), *Share-Based Payment*. Since we often recognize a substantial portion of our revenue in the last month of each quarter, we may not be able to adjust our operating expenses in a timely manner in response to any unanticipated revenue shortfalls. Further, some of our operating expenses, like non-cash stock-based compensation expense can only be adjusted over a longer period of time and cannot be reduced during a quarter. If we are unable to reduce operating expenses quickly in response to any revenue shortfalls, our financial results would be negatively impacted.

Expensing employee stock options materially and adversely affects our reported operating results and could also adversely affect our competitive position.

Since inception, we have used stock options and our employee stock purchase program as fundamental components of our compensation packages. We believe that these incentives directly motivate our employees and, through the use of vesting, encourage our employees to remain with us. As a result of adjustments arising from our restatement related to stock option grant dates, our operating results for fiscal years prior to fiscal year 2007 contain recorded amounts of non-cash stock-based compensation expense. For our fiscal years 2000 through 2006, this non-cash stock-based compensation expense was calculated using primarily the intrinsic value-based method under Accounting Principles Board Opinion No. 25, or APB 25, *Accounting for Stock Issued to Employees and related interpretations*.

In December 2004, the FASB issued SFAS No. 123(R) which requires the measurement and recognition of compensation expense for all stock-based compensation payments. SFAS No. 123(R) requires that we record compensation expense for stock options and our employee stock purchase plan using the fair value of those awards. During the first quarter of fiscal years 2009 and 2008 we recorded \$42.1 million and \$37.4 million, respectively, related to non-cash stock-based compensation, resulting from our compliance with SFAS No. 123(R), which negatively impacted our operating results. We believe that SFAS No. 123(R) will continue to negatively impact our operating results.

To the extent that SFAS No. 123(R) makes it more expensive to grant stock options or to continue to have an employee stock purchase program, we may decide to incur increased cash compensation costs. In addition, actions that we may take to reduce stock-based compensation expense that may be more severe than any actions our competitors may implement and may make it difficult to attract retain and motivate employees, which could adversely affect our competitive position as well as our business and operating results.

We may be required to record a charge to earnings if our goodwill or amortizable intangible assets become impaired, which could negatively impact our operating results.

Under accounting principles generally accepted in the United States, we review our amortizable intangible assets and goodwill for impairment when events or changes in circumstances indicate the carrying value may not be recoverable. Goodwill is tested for impairment at least annually. The carrying value of our goodwill or amortizable assets may not be recoverable due to factors such as a decline in stock price and market capitalization, reduced estimates of future cash flows and slower growth rates in our industry or in any of our business units. Estimates of future cash flows are based on an updated long-term financial outlook of our operations. However, actual performance in the near-term or long-term could be materially different from these forecasts, which could impact future estimates. For example, if one of our business units does not meet its near-term and longer-term forecasts, the goodwill assigned to the business unit could be impaired. We may be required to record a charge to earnings in our financial statements during a period in which an impairment of our goodwill or amortizable intangible assets is determined to exist, which may negatively impact our results of operations.

Our operating results are unpredictable and may fluctuate, and if our operating results are below the expectations of securities analysts or investors, the trading price of our stock could decline.

Many of our revenue components fluctuate and are difficult to predict, and our operating expenses are largely independent of revenue. Therefore, it is difficult for us to accurately forecast revenue and profits or losses in any particular period.

Any one or more of the risks discussed in this Quarterly Report on Form 10-Q or other factors could prevent us from achieving our expected future revenue or net income. Accordingly, we believe that period-to-period comparisons of our results of operations should not be relied upon as an indication of future performance. Similarly, the results of any quarterly or full fiscal year period are not necessarily indicative of results to be expected for a subsequent quarter or a full fiscal year.

As a result, it is possible that in some quarters our operating results could be below the expectations of securities analysts or investors, which could cause the trading price of our common stock to decline. We believe that our quarterly and annual results of operations may continue to be affected by a variety of factors that could harm our revenue, gross profit and results of operations.

Risks related to Market Conditions

We are exposed to fluctuations in the market values of our portfolio investments and in interest rates.

At April 27, 2008 and January 27, 2008, we had \$1.62 billion and \$1.81 billion, respectively, in cash, cash equivalents and marketable securities. We invest in a variety of financial instruments, consisting principally of cash and cash equivalents, asset-backed securities, commercial paper, mortgage-backed securities issued by Government-sponsored enterprises, equity securities, money market funds and highly liquid debt securities of corporations, municipalities and the United States government and its agencies. As of April 27, 2008, we did not have any investments in auction-rate preferred securities. All of our investments are denominated in United States dollars.

We account for our investment instruments in accordance with Statement of Financial Accounting Standards No. 115, or SFAS No. 115, *Accounting for Certain Investments in Debt and Equity Securities*. All of our cash equivalents and marketable securities are treated as “available-for-sale” under SFAS No. 115. Investments in both fixed rate and floating rate interest earning instruments carry a degree of interest rate risk. Fixed rate debt securities may have their market value adversely impacted due to a rise in interest rates, while floating rate securities may produce less income than expected if interest rates fall. Due in part to these factors, our future investment income may fall short of expectations due to changes in interest rates or if the decline in fair value of our publicly traded debt or equity investments is judged to be other-than-temporary. We may suffer losses in principal if we are forced to sell securities that decline in market value due to changes in interest rates. However, because any debt securities we hold are classified as “available-for-sale,” no gains or losses are realized in our condensed consolidated statements of income due to changes in interest rates unless such securities are sold prior to maturity or unless declines in value are determined to be other-than-temporary. These securities are reported at fair value with the related unrealized gains and losses included in accumulated other comprehensive income, a component of stockholders’ equity, net of tax.

Recent U.S. sub-prime mortgage defaults have had a significant impact across various sectors of the financial markets, causing global credit and liquidity issues. The short-term funding markets experienced issues during the third and fourth quarter of calendar 2007, leading to liquidity disruption in the market. If the global credit market continues to deteriorate, our investment portfolio may be impacted and we could determine some of our investments are impaired, which could adversely impact our financial results. As of April 27, 2008, our investments in the financial sector and government agencies accounted for approximately 34% and 22%, respectively, of our total investment portfolio. If the fair value of our investments in these sectors was to decline by 2%-5%, it would result in changes in fair market values for these investments by approximately \$15-\$37 million.

We are subject to risks associated with international operations which may harm our business.

We conduct our business worldwide. Our semiconductor wafers are manufactured, assembled, tested and packaged by third-parties located outside of the United States. We generated 92% and 83% of total revenues for the first quarter of fiscal years 2009 and 2008, respectively, from sales to customers outside the United States and other Americas. As of April 27, 2008, we had offices in thirteen countries outside of the United States. The manufacture, assembly, test and packaging of our products outside of the United States, operation of offices outside of the United States, and sales to customers internationally subjects us to a number of risks, including:

- international economic and political conditions, such as political tensions between countries in which we do business;
- unexpected changes in, or impositions of, legislative or regulatory requirements;
- complying with a variety of foreign laws;
- differing legal standards with respect to protection of intellectual property and employment practices;
- cultural differences in the conduct of business;
- inadequate local infrastructure that could result in business disruptions;
- exporting or importing issues related to export or import restrictions, tariffs, quotas and other trade barriers and restrictions;
- financial risks such as longer payment cycles, difficulty in collecting accounts receivable and fluctuations in currency exchange rates;
- imposition of additional taxes and penalties; and
- other factors beyond our control such as terrorism, civil unrest, war and diseases such as severe acute respiratory syndrome and the Avian flu.

If sales to any of our customers outside of the United States and other Americas are delayed or cancelled because of any of the above factors, our revenue may be negatively impacted.

Our international operations in Australia, Taiwan, Japan, Korea, China, Hong Kong, India, France, Finland, Germany, Russia, Switzerland and the United Kingdom are subject to many of the above listed risks. We intend to continue to expand our existing operations and expect to open other international offices. Difficulties with our international operations, including finding appropriate staffing and office space, may divert management’s attention and other resources any of which could negatively impact our operating results.

The economic conditions in our primary overseas markets, particularly in Asia, may negatively impact the demand for our products abroad. All of our international sales to date have been denominated in United States dollars. Accordingly, an increase in the value of the United States dollar relative to foreign currencies could make our products less competitive in international markets or require us to assume the risk of denominating certain sales in foreign currencies. We anticipate that these factors will impact our business to a greater degree as we further expand our international business activities.

If our products do not continue to be adopted by the desktop PC, notebook PC, workstation, high-performance computing, personal media players, or PMPs, personal digital assistants, or PDAs, cellular handheld devices, and video game console markets or if the demand for new and innovative products in these markets decreases, our business and operating results would suffer.

Our success depends in part upon continued broad adoption of our processors for 3D graphics and multimedia in desktop PC, notebook PC, workstation, high-performance computing, PMPs, PDAs, cellular handheld devices, and video game console applications. The market for processors has been characterized by unpredictable and sometimes rapid shifts in the popularity of products, often caused by the publication of competitive industry benchmark results, changes in pricing of dynamic random-access memory devices and other changes in the total system cost of add-in boards, as well as by severe price competition and by frequent new technology and product introductions. Broad market acceptance is difficult to achieve and such market acceptance, if achieved, is difficult to sustain due to intense competition and frequent new technology and product introductions. Our GPU and MCP businesses together comprised of approximately 78% and 75% of our total revenue for the first quarters of fiscal years 2009 and 2008, respectively. As such, our financial results would suffer if for any reason our current or future GPUs or MCPs do not continue to achieve widespread adoption by the PC market. If we are unable to complete the timely development of new products or if we were unable to successfully and cost-effectively manufacture and deliver products that meet the requirements of the desktop PC, notebook PC, workstation, high-performance computing, PMP, PDA, cellular phone, and video game console markets, we may experience a decrease in revenue which could negatively impact our operating results.

Additionally, there can be no assurance that the industry will continue to demand new products with improved standards, features or performance. If our customers, OEMs, ODMs, add-in-card and motherboard manufacturers, system builders and consumer electronics companies, do not continue to design products that require more advanced or efficient processors and/or the market does not continue to demand new products with increased performance, features, functionality or standards, sales of our products could decline. Decreased sales of our products for these markets could negatively impact our revenue and our financial results.

We are dependent on the PC market and its rate of growth in the future may have a negative impact on our business.

We derive and expect to continue to derive the majority of our revenue from the sale or license of products for use in the desktop PC and notebook PC markets, including professional workstations. A reduction in sales of PCs, or a reduction in the growth rate of PC sales, may reduce demand for our products. These changes in demand could be large and sudden. Since PC manufacturers often build inventories during periods of anticipated growth, they may be left with excess inventories if growth slows or if they incorrectly forecast product transitions. In these cases, PC manufacturers may abruptly suspend substantially all purchases of additional inventory from suppliers like us until their excess inventory has been absorbed, which would have a negative impact on our financial results.

Our business is cyclical in nature and an industry downturn could harm our financial results.

Our business is directly affected by market conditions in the highly cyclical semiconductor industry, including alternating periods of overcapacity and capacity constraints, variations in manufacturing costs and yields, significant expenditures for capital equipment and product development, and rapid technological change. If we are unable to respond to changes in our industry, which can be unpredictable and rapid, in an efficient and timely manner, our operating results could suffer. In particular, from time to time, the semiconductor industry has experienced significant and sometimes prolonged downturns characterized by diminished product demand, increased inventory levels and accelerated erosion of average selling prices. If we cannot take appropriate actions such as reducing our manufacturing or operating costs to sufficiently offset declines in demand, increased inventories, or decreased selling prices during a downturn, our revenue and operating results will suffer.

Risks Related to Regulatory and other Legal Matters

The United States Department of Justice's pending investigation into the market for graphics processors and the ongoing civil actions could adversely affect our business.

On November 29, 2006, we received a subpoena from the San Francisco Office of the Antitrust Division of the United States Department of Justice, or DOJ, in connection with the DOJ's investigation into potential antitrust violations related to GPUs and cards. No specific allegations have been made against us. We are cooperating with the DOJ in its investigation.

As of May 13, 2008, 55 civil complaints have been filed against us. The majority of the complaints were filed in the Northern District of California, several were filed in the Central District of California, and other cases were filed in several other Federal district courts. On April 18, 2007, the Judicial Panel on Multidistrict Litigation transferred the actions currently pending outside of the Northern District of California to the Northern District of California for coordination of pretrial proceedings before the Honorable William H. Alsup. By agreement of the parties, Judge Alsup will retain jurisdiction over the consolidated cases through trial or other resolution.

In the consolidated proceedings, two groups of plaintiffs (one representing all direct purchasers of graphic processing units, or GPUs, and the other representing all indirect purchasers) filed consolidated, amended class-action complaints. These complaints purport to assert federal antitrust claims based on alleged price fixing, market allocation, and other alleged anti-competitive agreements between us and ATI Technologies, Inc., or ATI and AMD, as a result of its acquisition of ATI. The indirect purchasers' consolidated amended complaint also asserts a variety of state law antitrust, unfair competition and consumer protection claims on the same allegations, as well as a common law claim for unjust enrichment.

Plaintiffs filed their first consolidated complaints on June 14, 2007. On July 16, 2007, we moved to dismiss those complaints. The motions to dismiss were heard by Judge Alsup on September 20, 2007. The Court subsequently granted and denied the motions in part, and gave the plaintiffs leave to move to amend the complaints. On November 7, 2007, the Court granted plaintiffs' motion to file amended complaints, ordered defendants to answer the complaints, lifted a previously entered stay on discovery, and set a trial date for January 12, 2009. Discovery is underway and Plaintiffs filed motions for class certification on April 24, 2008. Our oppositions to the motions were filed on May 20, 2008. We believe the allegations in the complaints are without merit and intend to vigorously defend the cases. Costs of defense and any damages resulting from a ruling against us or a settlement of the litigation could adversely affect our business.

The matters relating to the Board's review of our historical stock option granting practices and the restatement of our consolidated financial statements have resulted in litigation, which could harm our financial results.

On August 10, 2006, we announced that the Audit Committee of our Board, with the assistance of outside legal counsel, was conducting a review of our stock option practices covering the time from our initial public offering in 1999, our fiscal year 2000, through June 2006. The Audit Committee reached the conclusion that incorrect measurement dates were used for financial accounting purposes for stock option grants in certain prior periods. As a result, we recorded additional non-cash stock-based compensation expense, and related tax effects, related to stock option grants.

The Audit Committee's review of our historic stock option practices identified a number of occasions on which the measurement date used for financial accounting and reporting purposes for stock options granted to certain of our employees was different from the actual grant date. To correct these accounting errors, we amended our Annual Report on Form 10-K for the year ended January 29, 2006 and our Quarterly Report on Form 10-Q for the three months ended April 30, 2006 to restate the consolidated financial statements contained in those reports. This review of our historical stock option granting practices and subsequent restatement required us to incur substantial expenses for legal, accounting, tax and other professional services and diverted our management's attention from our business.

Additionally, the review and the resulting restatement of our prior financial statements have exposed us to greater risks associated with litigation. Ten derivative complaints have been filed in state and federal court pertaining to allegations relating to stock option grants. We cannot assure you that these or future similar complaints, or any future litigation or regulatory action will result in the same conclusions reached by the Audit Committee. On August 5, 2007, our Board authorized the formation of a Special Litigation Committee to investigate, evaluate, and make a determination as to how we should proceed with respect to the claims and allegations asserted in the underlying derivative cases brought on behalf of NVIDIA. Currently, the Special Litigation Committee's review is ongoing. The conduct and resolution of these matters will be time consuming, expensive and could distract our management's attention from the conduct of our business. Furthermore, if we are subject to adverse rulings, we could be required to pay damages or penalties or have other remedies imposed upon us which could harm our business, financial condition, results of operations and cash flows.

Our ability to compete will be harmed if we are unable to adequately protect our intellectual property.

We rely primarily on a combination of patents, trademarks, trade secrets, employee and third-party nondisclosure agreements, and licensing arrangements to protect our intellectual property in the United States and internationally. We have numerous patents issued, allowed and pending in the United States and in foreign jurisdictions. Our patents and pending patent applications primarily relate to our products and the technology used in connection with our products. We also rely on international treaties, organizations and foreign laws to protect our intellectual property. The laws of certain foreign countries in which our products are or may be manufactured or sold, including various countries in Asia, may not protect our products or intellectual property rights to the same extent as the laws of the United States. This makes the possibility of piracy of our technology and products more likely. We continuously assess whether and where to seek formal protection for particular innovations and technologies based on such factors as:

- the commercial significance of our operations and our competitors' operations in particular countries and regions;
- the location in which our products are manufactured;
- our strategic technology or product directions in different countries; and
- the degree to which intellectual property laws exist and are meaningfully enforced in different jurisdictions.

Our pending patent applications and any future applications may not be approved. In addition, any issued patents may not provide us with competitive advantages or may be challenged by third parties. The enforcement of patents by others may harm our ability to conduct our business. Others may independently develop substantially equivalent intellectual property or otherwise gain access to our trade secrets or intellectual property. Our failure to effectively protect our intellectual property could harm our business.

Litigation to defend against alleged infringement of intellectual property rights or to enforce our intellectual property rights and the outcome of such litigation could result in substantial costs to us.

We expect that as the number of issued hardware and software patents increases and as competition intensifies, the volume of intellectual property infringement claims and lawsuits may increase. We may become involved in lawsuits or other legal proceedings alleging patent infringement or other intellectual property rights violations by us or by our customers that we have agreed to indemnify them for certain claims of infringement. An unfavorable ruling could include significant damages, invalidation of a patent or family of patents, indemnification of customers, payment of lost profits, or, when it has been sought, injunctive relief.

In addition, we may need to commence litigation or other legal proceedings in order to:

- assert claims of infringement of our intellectual property;
- enforce our patents;
- protect our trade secrets or know-how; or
- determine the enforceability, scope and validity of the propriety rights of others.

If we have to initiate litigation in order to protect our intellectual property, our operating expenses may increase which could negatively impact our operating results. Our failure to effectively protect our intellectual property could harm our business.

If infringement claims are made against us or our products are found to infringe a third parties' patent or intellectual property, we or one of our indemnified customers may have to seek a license to the third parties' patent or other intellectual property rights. However, we may not be able to obtain licenses at all or on terms acceptable to us particularly from our competitors. If we or one of our indemnified customers is unable to obtain a license from a third party for technology that we use or that is used in one of our products, we could be subject to substantial liabilities or have to suspend or discontinue the manufacture and sale of one or more of our products. We may also have to make royalty or other payments, or cross license our technology. If these arrangements are not concluded on commercially reasonable terms, our business could be negatively impacted. Furthermore, the indemnification of a customer may increase our operating expenses which could negatively impact our operating results.

We are a party to litigation, which, if determined adversely to us, could adversely affect our cash flow and financial results.

We are a party to litigation. There can be no assurance that any litigation to which we are a party will be resolved in our favor. Any claim that is successfully asserted against us may cause us to pay substantial damages, including punitive damages, and other related fees. Regardless of whether lawsuits are resolved in our favor or if we are the plaintiff or the defendant in the litigation, any lawsuits to which we are a party will likely be expensive and time consuming to defend or resolve. Such lawsuits could also harm our relationships with existing customers and result in the diversion of management's time and attention away from business operations, which could harm our business. Costs of defense and any damages resulting from litigation, a ruling against us, or a settlement of the litigation could adversely affect our cash flow and financial results.

Our operating results may be adversely affected if we are subject to unexpected tax liabilities.

We are subject to taxation by a number of taxing authorities both in the United States and throughout the world. Tax rates vary among the jurisdictions in which we operate. Significant judgment is required in determining our provision for our income taxes as there are many transactions and calculations where the ultimate tax determination is uncertain. Although we believe our tax estimates are reasonable, any of the below could cause our effective tax rate to be materially different than that which is reflected in historical income tax provisions and accruals:

- the jurisdictions in which profits are determined to be earned and taxed;
- adjustments to estimated taxes upon finalization of various tax returns;
- changes in available tax credits;
- changes in share-based compensation expense;
- changes in tax laws, the interpretation of tax laws either in the United States or abroad or the issuance of new interpretative accounting guidance related to uncertain transactions and calculations where the tax treatment was previously uncertain; and
- the resolution of issues arising from tax audits with various tax authorities.

Should additional taxes be assessed as a result of any of the above, our operating results could be adversely affected. In addition, our future effective tax rate could be adversely affected by changes in the mix of earnings in countries with differing statutory tax rates, changes in tax laws or changes in the interpretation of tax laws.

Our failure to comply with any applicable environmental regulations could result in a range of consequences, including fines, suspension of production, excess inventory, sales limitations, and criminal and civil liabilities.

We are subject to various state, federal and international laws and regulations governing the environment, including restricting the presence of certain substances in electronic products and making producers of those products financially responsible for the collection, treatment, recycling and disposal of those products. For example, we are subject to the European Union Directive on Restriction of Hazardous Substances Directive, or RoHS Directive, that restricts the use of a number of substances, including lead, and other hazardous substances in electrical and electronic equipment in the market in the European Union. We could face significant costs and liabilities in connection with the European Union Directive on Waste Electrical and Electronic Equipment, or WEEE. The WEEE directs members of the European Union to enact laws, regulations, and administrative provisions to ensure that producers of electric and electronic equipment are financially responsible for the collection, recycling, treatment and environmentally responsible disposal of certain products sold into the market after August 15, 2005.

It is possible that unanticipated supply shortages, delays or excess non-compliant inventory may occur as a result of the RoHS Directive, WEEE, and other domestic or international environmental regulations. Failure to comply with any applicable environmental regulations could result in a range of consequences including costs, fines, suspension of production, excess inventory, sales limitations, criminal and civil liabilities and could impact our ability to conduct business in the countries or states that have adopted these types of regulations.

While we believe that we have adequate internal control over financial reporting, if we or our independent registered public accounting firm determines that we do not, our reputation may be adversely affected and our stock price may decline.

Section 404 of the Sarbanes-Oxley Act of 2002 requires our management to report on, and our independent registered public accounting firm to audit the effectiveness of our internal control structure and procedures for financial reporting. We have an ongoing program to perform the system and process evaluation and testing necessary to comply with these requirements. However, the manner in which companies and their independent public accounting firms apply these requirements and testing companies' internal controls, remains subject to some judgment. To date, we have incurred, and we expect to continue to incur increased expense and to devote additional management resources to Section 404 compliance. Despite our efforts, if we identify a material weakness in our internal controls, there can be no assurance that we will be able to remediate that material weakness in a timely manner, or that we will be able to maintain all of the controls necessary to determine that our internal control over financial reporting is effective. In the event that our chief executive officer, chief financial officer or our independent registered public accounting firm determine that our internal control over financial reporting is not effective as defined under Section 404, investor perceptions of us may be adversely affected and could cause a decline in the market price of our stock.

Changes in financial accounting standards or interpretations of existing standards could affect our reported results of operations .

We prepare our consolidated financial statements in conformity with generally accepted accounting principles in the United States. These principles are constantly subject to review and interpretation by the Securities and Exchange Commission, or, SEC, and various bodies formed to interpret and create appropriate accounting principles. A change in these principles can have a significant effect on our reported results and may even retroactively affect previously reported transactions.

Provisions in our certificate of incorporation, our bylaws and our agreement with Microsoft could delay or prevent a change in control.

Our certificate of incorporation and bylaws contain provisions that could make it more difficult for a third party to acquire a majority of our outstanding voting stock. These provisions include the following:

- the ability of our Board to create and issue preferred stock without prior stockholder approval;
- the prohibition of stockholder action by written consent;
- a classified Board; and
- advance notice requirements for director nominations and stockholder proposals.

On March 5, 2000, we entered into an agreement with Microsoft in which we agreed to develop and sell graphics chips and to license certain technology to Microsoft and its licensees for use in the Xbox. Under the agreement, if an individual or corporation makes an offer to purchase shares equal to or greater than 30% of the outstanding shares of our common stock, Microsoft may have first and last rights of refusal to purchase the stock. The Microsoft provision and the other factors listed above could also delay or prevent a change in control of NVIDIA.

ITEM 2. UNREGISTERED SALES OF EQUITY SECURITIES AND USE OF PROCEEDS

Issuer Purchases of Equity Securities

During fiscal year 2005, we announced that our Board had authorized a stock repurchase program to repurchase shares of our common stock, subject to certain specifications, up to an aggregate maximum amount of \$300 million. During fiscal year 2007, the Board further approved an increase of \$400 million to the original stock repurchase program. In fiscal year 2008, we announced a stock repurchase program under which we may purchase up to an additional \$1.0 billion of our common stock over a three year period through May 2010. As a result of these increases, we have an ongoing authorization from the Board, subject to certain specifications, to repurchase shares of our common stock up to an aggregate maximum amount of \$1.7 billion.

The repurchases will be made from time to time in the open market, in privately negotiated transactions, or in structured stock repurchase programs, and may be made in one or more larger repurchases, in compliance with the Securities Exchange Act of 1934, or the Exchange Act, Rule 10b-18, subject to market conditions, applicable legal requirements, and other factors. The program does not obligate NVIDIA to acquire any particular amount of common stock and the program may be suspended at any time at our discretion. As part of our share repurchase program, we have entered into, and we may continue to enter into, structured share repurchase transactions with financial institutions. These agreements generally require that we make an up-front payment in exchange for the right to receive a fixed number of shares of our common stock upon execution of the agreement, and a potential incremental number of shares of our common stock, within a pre-determined range, at the end of the term of the agreement.

During the three months ended April 27, 2008, we entered into a structured share repurchase transaction to repurchase 6.3 million shares for \$123.9 million which we recorded on the trade date of the transaction. Through April 27, 2008, we had repurchased 68.0 million shares under our stock repurchase program for a total cost of \$1.16 billion.

Period:	Total Number of Shares Purchased	Average Price Paid per Share (2)	Total Number of Shares Purchased as Part of Publicly Announced Plans of Programs (3)	Approximate Dollar Value of Shares that May Yet Be Purchased Under the Plans or Programs (1)
January 28, 2008 through February 24, 2008	-	-	-	\$ 659,356,907
February 24, 2008 through March 30, 2008	-	-	-	\$ 659,356,907
March 31, 2008 through April 27, 2008	6,250,000	\$ 19.82	6,250,000	\$ 535,460,657
Total	<u>6,250,000</u>	<u>\$ 19.82</u>	<u>6,250,000</u>	

(1) On August 9, 2004, we announced that our Board had authorized a stock repurchase program to repurchase shares of our common stock, subject to certain specifications, up to an aggregate maximum amount of \$300.0 million. On March 6, 2006, we announced that the Board had approved a \$400.0 million increase to the original stock repurchase program. Subsequently, on May 21, 2007, we announced a stock repurchase program under which we may purchase up to an additional \$1.0 billion of our common stock over a three year period through May 2010. As a result of these increases, we have an ongoing authorization from the Board, subject to certain specifications, to repurchase shares of our common stock up to an aggregate maximum amount of \$1.7 billion on the open market, in negotiated transactions or through structured stock repurchase agreements that may be made in one or more larger repurchases.

(2) Represents weighted average price paid per share during the quarter ended April 27, 2008.

(3) As part of our share repurchase program, we have entered into and we may continue to enter into structured share repurchase transactions with financial institutions. During the three months ended April 27, 2008, we entered into a structured share repurchase transaction to repurchase 6.3 million shares for \$123.9 million, which we recorded on the trade date of the transaction.

ITEM 3. DEFAULTS UPON SENIOR SECURITIES

None.

ITEM 4. SUBMISSION OF MATTERS TO A VOTE OF SECURITY HOLDERS

No matters were submitted to a vote of our security holders during the first quarter of fiscal year 2009.

ITEM 5. OTHER INFORMATION

None.

ITEM 6. EXHIBITS

Exhibit No.	Exhibit Description	Incorporated by Reference		
		Schedule/Form	File Number	Filing Date
10.1 +	Fiscal Year 2009 Variable Compensation Plan	Form 8-K	0-23985	10.1 4/21/2008
10.2 *+	NVIDIA Corporation 1998 Employee Stock Purchase Plan, as amended and restated			
10.3 *	Amended and Restated Agreement of Purchase and Sale by and between Harvest-Granite San Tomas LLC and Harvest 2400, LLC dated January 31, 2008			
31.1 *	Certification of Chief Executive Officer as required by Rule 13a-14(a) of the Securities Exchange Act of 1934			
31.2 *	Certification of Chief Financial Officer as required by Rule 13a-14(a) of the Securities Exchange Act of 1934			
32.1#*	Certification of Chief Executive Officer as required by Rule 13a-14(b) of the Securities Exchange Act of 1934			
32.2#*	Certification of Chief Financial Officer as required by Rule 13a-14(b) of the Securities Exchange Act of 1934			

* Filed Herewith

+ Management contract or compensatory plan or arrangement

In accordance with Item 601(b)(32)(ii) of Regulation S-K and SEC Release Nos. 33-8238 and 34-47986, Final Rule: Management's Reports on Internal Control Over Financial Reporting and Certification of Disclosure in Exchange Act Periodic Reports, the certifications furnished in Exhibits 32.1 and 32.2 hereto are deemed to accompany this Quarterly Report on Form 10-Q and will not be deemed "filed" for purpose of Section 18 of the Exchange Act. Such certifications will not be deemed to be incorporated by reference into any filing under the Securities Act or the Exchange Act, except to the extent that the registrant specifically incorporates it by reference.

SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

Date: May 22, 2008

NVIDIA Corporation
By: /s/ MARVIN D. BURKETT
Marvin D. Burkett
(Duly Authorized Officer and Principal Financial and Accounting Officer)

EXHIBIT INDEX

Exhibit No.	Exhibit Description	Incorporated by Reference		
		Schedule/Form	File Number	Filing Date
10.1 +	Fiscal Year 2009 Variable Compensation Plan	Form 8-K	0-23985	10.1 4/21/2008
10.2 *+	NVIDIA Corporation 1998 Employee Stock Purchase Plan, as amended and restated			
10.3 *	Amended and Restated Agreement of Purchase and Sale by and between Harvest-Granite San Tomas LLC and Harvest 2400, LLC dated January 31, 2008			
31.1 *	Certification of Chief Executive Officer as required by Rule 13a-14(a) of the Securities Exchange Act of 1934			
31.2 *	Certification of Chief Financial Officer as required by Rule 13a-14(a) of the Securities Exchange Act of 1934			
32.1#*	Certification of Chief Executive Officer as required by Rule 13a-14(b) of the Securities Exchange Act of 1934			
32.2#*	Certification of Chief Financial Officer as required by Rule 13a-14(b) of the Securities Exchange Act of 1934			

* Filed Herewith

+ Management contract or compensatory plan or arrangement

In accordance with Item 601(b)(32)(ii) of Regulation S-K and SEC Release Nos. 33-8238 and 34-47986, Final Rule: Management's Reports on Internal Control Over Financial Reporting and Certification of Disclosure in Exchange Act Periodic Reports, the certifications furnished in Exhibits 32.1 and 32.2 hereto are deemed to accompany this Quarterly Report on Form 10-Q and will not be deemed "filed" for purpose of Section 18 of the Exchange Act. Such certifications will not be deemed to be incorporated by reference into any filing under the Securities Act or the Exchange Act, except to the extent that the registrant specifically incorporates it by reference.

CERTIFICATION

I, Jen-Hsun Huang, President and Chief Executive Officer, certify that:

1. I have reviewed this Quarterly Report on Form 10-Q of NVIDIA Corporation;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in the Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and we have:
 - (a) designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditor and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) all significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: May 22, 2008

/s/ JEN-HSUN HUANG

Jen-Hsun Huang

President and Chief Executive Officer

CERTIFICATION

I, Marvin D. Burkett, Chief Financial Officer, certify that:

1. I have reviewed this Quarterly Report on Form 10-Q of NVIDIA Corporation;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in the Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and we have:
 - (a) designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - (b) designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - (c) evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - (d) disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditor and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - (a) all significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - (b) any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: May 22, 2008

/s/ MARVIN D. BURKETT
Marvin D. Burkett
Chief Financial Officer

CERTIFICATION

Pursuant to the requirement set forth in Rule 13a-14(b) of the Securities Exchange Act of 1934, or the Exchange Act, and Section 1350 of Chapter 63 of Title 18 of the United States Code (18 U.S.C. § 1350), Jen-Hsun Huang, the President and Chief Executive Officer of NVIDIA Corporation (the “Company”), hereby certifies that, to the best of his knowledge:

1. The Company’s Quarterly Report on Form 10-Q for the period ended April 27, 2008, to which this Certification is attached as Exhibit 32.1 (the “Periodic Report”), fully complies with the requirements of Section 13(a) of the Exchange Act; and
2. The information contained in the Periodic Report fairly presents, in all material respects, the financial condition of the Company at the end of the period covered by the Periodic Report and results of operations of the Company for the period covered by the Periodic Report.

Date: May 22, 2008

/s/ JEN-HSUN HUANG

Jen-Hsun Huang

President and Chief Executive Officer

A signed original of this written statement required by Section 906 has been provided to NVIDIA Corporation and will be retained by NVIDIA Corporation and furnished to the Securities and Exchange Commission or its staff upon request.

This certification accompanies the Form 10-Q to which it relates, is not deemed filed with the Securities and Exchange Commission and is not to be incorporated by reference into any filing of the Company under the Securities Act of 1933, or the Exchange Act (whether made before or after the date of the Form 10-Q), irrespective of any general incorporation language contained in such filing.

CERTIFICATION

Pursuant to the requirement set forth in Rule 13a-14(b) of the Securities Exchange Act of 1934, or the Exchange Act, and Section 1350 of Chapter 63 of Title 18 of the United States Code (18 U.S.C. § 1350), Marvin D. Burkett, the Chief Financial Officer of NVIDIA Corporation (the "Company"), hereby certifies that, to the best of his knowledge:

1. The Company's Quarterly Report on Form 10-Q for the period ended April 27, 2008, to which this Certification is attached as Exhibit 32.2 (the "Periodic Report"), fully complies with the requirements of Section 13(a) of the Exchange Act; and
2. The information contained in the Periodic Report fairly presents, in all material respects, the financial condition of the Company at the end of the period covered by the Periodic Report and results of operations of the Company for the period covered by the Periodic Report.

Date: May 22, 2008

/s/ MARVIN D. BURKETT

Marvin D. Burkett
Chief Financial Officer

A signed original of this written statement required by Section 906 has been provided to NVIDIA Corporation and will be retained by NVIDIA Corporation and furnished to the Securities and Exchange Commission or its staff upon request.

This certification accompanies the Form 10-Q to which it relates, is not deemed filed with the Securities and Exchange Commission and is not to be incorporated by reference into any filing of the Company under the Securities Act of 1933, or the Exchange Act (whether made before or after the date of the Form 10-Q), irrespective of any general incorporation language contained in such filing.

NVIDIA CORPORATION
1998 Employee Stock Purchase Plan

Adopted February 17, 1998
Approved By Stockholders April 6, 1998
Amended by the Compensation Committee May 16, 1999
Approved By Stockholders June 17, 1999
Adjusted for Automatic Share Reserve Increase on January 31, 2000
Adjusted for 2-for-1 Stock Split on June 26, 2000
Adjusted for Automatic Share Reserve Increase on January 28, 2001
Adjusted for 2-for-1 Stock Split on September 11, 2001
Adjusted for Automatic Share Reserve Increase on January 27, 2002
Adjusted for Automatic Share Reserve Increase on January 26, 2003
Adjusted for Automatic Share Reserve Increase on January 25, 2004
Adjusted for Automatic Share Reserve Increase on January 30, 2005
Adjusted for Automatic Share Reserve Increase on January 29, 2006
Adjusted for 2-for-1 Stock Split on April 6, 2006
Adjusted for 3-for-2 Stock Split on September 10, 2007
No Termination Date

As amended and restated on February 7, 2008

1. PURPOSE .

(a) The purpose of the 1998 Employee Stock Purchase Plan (the “Plan”) is to provide a means by which employees of NVIDIA Corporation, a Delaware corporation (the “Company”), and its Affiliates, as defined in subparagraph 1(b), which are designated as provided in subparagraph 2(b), may be given an opportunity to purchase stock of the Company.

(b) The word “Affiliate” as used in the Plan means any parent corporation or subsidiary corporation of the Company, as those terms are defined in Sections 424(e) and (f), respectively, of the Internal Revenue Code of 1986, as amended (the “Code”).

(c) The Company, by means of the Plan, seeks to retain the services of its employees, to secure and retain the services of new employees, and to provide incentives for such persons to exert maximum efforts for the success of the Company.

(d) The Company intends that the rights to purchase stock of the Company granted under the Plan be considered options issued under an “employee stock purchase plan” as that term is defined in Section 423(b) of the Code (the “423(b) Plan”) although the Company makes no undertaking nor representation to maintain such qualification. In addition, this Plan document authorizes the grant of rights to purchase stock that do not qualify under Section 423(b) of the Code (“Non-423(b) Plan”) pursuant to rules, procedures or sub-plans adopted by the Board or Committee designed to achieve tax, securities law or other Company compliance objectives in particular locations outside the United States. This Plan shall govern the terms and conditions of grants made under both the 423(b) Plan component and the Non-423(b) Plan component.

2. ADMINISTRATION .

(a) The Plan shall be administered by the Board of Directors (the “Board”) of the Company unless and until the Board delegates administration to a Committee, as provided in subparagraph 2(c). Whether or not the Board has delegated administration, the Board shall have the final power to determine all questions of policy and expediency that may arise in the administration of the Plan.

(b) The Board shall have the power, subject to, and within the limitations of, the express provisions of the Plan:

(i) To determine when and how rights to purchase stock of the Company shall be granted and the provisions of each offering of such rights (which need not be identical).

(ii) To designate from time to time which Affiliates of the Company shall be eligible to participate in the Plan.

(iii) To construe and interpret the Plan and rights granted under it, and to establish, amend and revoke rules and regulations for its administration. The Board, in the exercise of this power, may correct any defect, omission or inconsistency in the Plan, in a manner and to the extent it shall deem necessary or expedient to make the Plan fully effective.

(iv) To amend the Plan as provided in paragraph 13.

(v) Generally, to exercise such powers and to perform such acts as the Board deems necessary or expedient to promote the best interests of the Company and its Affiliates and to carry out the intent that the Plan be treated as an “employee stock purchase plan” within the meaning of Section 423 of the Code.

(c) The Board may delegate administration of the Plan to a Committee composed of not fewer than two (2) members of the Board (the “Committee”) constituted in accordance with the requirements of Rule 16b-3 (“Rule 16b-3”) under the Securities Exchange Act of 1934, as amended (the “Exchange Act”). If administration is delegated to a Committee, the Committee shall have, in connection with the administration of the Plan, the powers theretofore possessed by the Board, subject, however, to such resolutions, not inconsistent with the provisions of the Plan, as may be adopted from time to time by the Board. The Board may abolish the Committee at any time and revert in the Board the administration of the Plan.

3. SHARES SUBJECT TO THE PLAN.

(a) Subject to the provisions of paragraph 12 relating to adjustments upon changes in stock, the stock that may be sold pursuant to rights granted under the Plan shall not exceed in the aggregate seventy-seven million nine hundred ninety-nine thousand nine hundred ninety-nine (77,999,999) shares ¹ of the Company’s common stock (the “Common Stock”). If any right granted under the Plan shall for any reason terminate without having been exercised, the Common Stock not purchased under such right shall again become available for the Plan.

(b) The stock subject to the Plan may be unissued shares or reacquired shares, bought on the market or otherwise.

(c) Notwithstanding subsection 3(a) hereof, on the last day of each fiscal year (the “Calculation Date”) for a period of ten (10) years, commencing with the fiscal year ending in January 2000 and ending with the fiscal year ending in January 2009, the aggregate number of shares of Common Stock that are available for issuance under the Plan shall automatically be increased by a number of shares equal to two percent (2%) of the Diluted Shares Outstanding; provided, however, that the maximum aggregate number of shares of Common Stock that are available for issuance under the Plan shall not exceed seventy-seven million nine hundred ninety-nine thousand nine hundred ninety-nine (77,999,999) shares ² of Common Stock.

(d) For purposes of subsection 3(c) hereof, “Diluted Shares Outstanding” shall mean, as of any date, (i) the number of outstanding shares of Common Stock of the Company on such Calculation Date, plus (ii) the number of shares of Common Stock issuable upon such Calculation Date assuming the conversion of all outstanding Preferred Stock and convertible notes, plus (iii) the additional number of dilutive Common Stock equivalent shares outstanding as the result of any options or warrants outstanding during the fiscal year, calculated using the treasury stock method.

4. GRANT OF RIGHTS; OFFERING.

(a) The Board or the Committee may from time to time grant or provide for the grant of rights to purchase Common Stock of the Company under the Plan to eligible employees (an “Offering”) on a date or dates (the “Offering Date(s)”) selected by the Board or the Committee. Each Offering under the 423(b) Plan shall be in such form and shall contain such terms and conditions as the Board or the Committee shall deem appropriate, which shall comply with the requirements of Section 423(b)(5) of the Code that all employees granted rights to purchase stock under the Plan shall have the same rights and privileges. The terms and conditions of an Offering shall be incorporated by reference into the Plan and treated as part of the Plan. The provisions of separate Offerings need not be identical, but each Offering shall include (through incorporation of the provisions of this Plan by reference in the document comprising the Offering or otherwise) the period during which the Offering shall be effective, which period shall not exceed twenty-seven (27) months beginning with the Offering Date, and the substance of the provisions contained in paragraphs 5 through 8, inclusive. The Board or Committee may from time to time grant or provide for the grant of rights to purchase Common Stock of the Company under the Non-423(b) Plan. If such grants are intended to be made under the Non-423(b) Plan, they will be designated as such at the time of grant and such grants may not comply with the requirements set forth under Section 423 of the Code.

(b) If an employee has more than one right outstanding under the Plan, unless he or she otherwise indicates in agreements or notices delivered hereunder: (1) each agreement or notice delivered by that employee will be deemed to apply to all of his or her rights under the Plan, and (2) a right with a lower exercise price (or an earlier-granted right, if two rights have identical exercise prices), will be exercised to the fullest possible extent before a right with a higher exercise price (or a later-granted right, if two rights have identical exercise prices) will be exercised.

5. ELIGIBILITY .

(a) Rights may be granted only to employees of the Company or, as the Board or the Committee may designate as provided in subparagraph 2(b), to employees of any Affiliate of the Company. Except as provided in subparagraph 5(b), an employee of the Company or any Affiliate shall not be eligible to be granted rights under the Plan, unless, on the Offering Date, such employee has been in the employ of the Company or any Affiliate for such continuous period preceding such grant as the Board or the Committee may require, but in no event shall the required period of continuous employment be equal to or greater than two (2) years. In addition, unless otherwise determined by the Board or the Committee and set forth in the terms of the applicable Offering, no employee of the Company or any Affiliate shall be eligible to be granted rights under the Plan, unless, on the Offering Date, such employee's customary employment with the Company or such Affiliate is for at least twenty (20) hours per week and at least five (5) months per calendar year.

(b) The Board or the Committee may provide that, each person who, during the course of an Offering, first becomes an eligible employee of the Company or designated Affiliate will, on a date or dates specified in the Offering which coincides with the day on which such person becomes an eligible employee or occurs thereafter, receive a right under that Offering, which right shall thereafter be deemed to be a part of that Offering. Such right shall have the same characteristics as any rights originally granted under that Offering, as described herein, except that:

(i) the date on which such right is granted shall be the "Offering Date" of such right for all purposes, including determination of the exercise price of such right;

(ii) the period of the Offering with respect to such right shall begin on its Offering Date and end coincident with the end of such Offering; and

(iii) the Board or the Committee may provide that if such person first becomes an eligible employee within a specified period of time before the end of the Offering, he or she will not receive any right under that Offering.

(c) No employee shall be eligible for the grant of any rights under the Plan if, immediately after any such rights are granted, such employee owns stock possessing five percent (5%) or more of the total combined voting power or value of all classes of stock of the Company or of any Affiliate. For purposes of this subparagraph 5(c), the rules of Section 424(d) of the Code shall apply in determining the stock ownership of any employee, and stock which such employee may purchase under all outstanding rights and options shall be treated as stock owned by such employee.

(d) An eligible employee may be granted rights under the Plan only if such rights, together with any other rights granted under "employee stock purchase plans" of the Company and any Affiliates, as specified by Section 423(b)(8) of the Code, do not permit such employee's rights to purchase stock of the Company or any Affiliate to accrue at a rate which exceeds twenty five thousand dollars (\$25,000) of fair market value of such stock (determined at the time such rights are granted) for each calendar year in which such rights are outstanding at any time.

(e) Officers of the Company and any designated Affiliate shall be eligible to participate in Offerings under the Plan, provided, however, that the Board may provide in an Offering that certain employees who are highly compensated employees within the meaning of Section 423(b)(4)(D) of the Code shall not be eligible to participate.

6. RIGHTS; PURCHASE PRICE .

(a) On each Offering Date, each eligible employee, pursuant to an Offering made under the Plan, shall be granted the right to purchase up to the number of shares of Common Stock of the Company purchasable with a percentage designated by the Board or the Committee not exceeding fifteen percent (15%) of such employee's Earnings (as defined by the Board or the Committee in each Offering) during the period which begins on the Offering Date (or such later date as the Board or the Committee determines for a particular Offering) and ends on the date stated in the Offering, which date shall be no later than the end of the Offering. The Board or the Committee shall establish one or more dates during an Offering (the "Purchase Date(s)") on which rights granted under the Plan shall be exercised and purchases of Common Stock carried out in accordance with such Offering.

(b) In connection with each Offering made under the Plan, the Board or the Committee may specify a maximum number of shares that may be purchased by any employee as well as a maximum aggregate number of shares that may be purchased by all eligible employees pursuant to such Offering. In addition, in connection with each Offering that contains more than one Purchase Date, the Board or the Committee may specify a maximum aggregate number of shares which may be purchased by all eligible employees on any given Purchase Date under the Offering. If the aggregate purchase of shares upon exercise of rights granted under the Offering would exceed any such maximum aggregate number, the Board or the Committee shall make a pro rata allocation of the shares available in as nearly a uniform manner as shall be practicable and as it shall deem to be equitable.

(c) The purchase price of stock acquired pursuant to rights granted under the Plan shall be not less than the lesser of:

(i) an amount equal to eighty-five percent (85%) of the fair market value of the stock on the Offering Date; or

(ii) an amount equal to eighty-five percent (85%) of the fair market value of the stock on the Purchase Date.

7. PARTICIPATION; WITHDRAWAL; TERMINATION.

(a) An eligible employee may become a participant in the Plan pursuant to an Offering by delivering a participation agreement to the Company within the time specified in the Offering, in such form as the Company provides. Each such agreement shall authorize payroll deductions of up to the maximum percentage specified by the Board or the Committee of such employee's Earnings during the Offering (as defined by the Board or Committee in each Offering). The payroll deductions made for each participant shall be credited to an account for such participant under the Plan and shall be deposited with the general funds of the Company. A participant may reduce (including to zero) or increase such payroll deductions, and an eligible employee may begin such payroll deductions, after the beginning of any Offering only as provided for in the Offering. A participant may make additional payments into his or her account only if specifically provided for in the Offering and only if the participant has not had the maximum amount withheld during the Offering.

(b) At any time during an Offering, a participant may terminate his or her payroll deductions under the Plan and withdraw from the Offering by delivering to the Company a notice of withdrawal in such form as the Company provides. Such withdrawal may be elected at any time prior to the end of the Offering except as provided by the Board or the Committee in the Offering. Upon such withdrawal from the Offering by a participant, the Company shall distribute to such participant all of his or her accumulated payroll deductions (reduced to the extent, if any, such deductions have been used to acquire stock for the participant) under the Offering, without interest, and such participant's interest in that Offering shall be automatically terminated. A participant's withdrawal from an Offering will have no effect upon such participant's eligibility to participate in any other Offerings under the Plan but such participant will be required to deliver a new participation agreement in order to participate in subsequent Offerings under the Plan.

(c) Rights granted pursuant to any Offering under the Plan shall terminate immediately upon cessation of any participating employee's employment with the Company and any designated Affiliate, for any reason, and the Company shall distribute to such terminated employee all of his or her accumulated payroll deductions (reduced to the extent, if any, such deductions have been used to acquire stock for the terminated employee) under the Offering, without interest.

(d) Rights granted under the Plan shall not be transferable by a participant otherwise than by will or the laws of descent and distribution, or by a beneficiary designation as provided in paragraph 14 and, otherwise during his or her lifetime, shall be exercisable only by the person to whom such rights are granted.

8. EXERCISE.

(a) On each Purchase Date specified therefor in the relevant Offering, each participant's accumulated payroll deductions and other additional payments specifically provided for in the Offering (without any increase for interest) will be applied to the purchase of whole shares of stock of the Company, up to the maximum number of shares permitted pursuant to the terms of the Plan and the applicable Offering, at the purchase price specified in the Offering. No fractional shares shall be issued upon the exercise of rights granted under the Plan. The amount, if any, of accumulated payroll deductions remaining in each participant's account after the purchase of shares which is less than the amount required to purchase one share of stock on the final Purchase Date of an Offering shall be held in each such participant's account for the purchase of shares under the next Offering under the Plan, unless such participant withdraws from such next Offering, as provided in subparagraph 7(b), or is no longer eligible to be granted rights under the Plan, as provided in paragraph 5, in which case such amount shall be distributed to the participant after such final Purchase Date, without interest. The amount, if any, of accumulated payroll deductions remaining in any participant's account after the purchase of shares which is equal to the amount required to purchase whole shares of stock on the final Purchase Date of an Offering shall be distributed in full to the participant after such Purchase Date, without interest.

(b) No rights granted under the Plan may be exercised to any extent unless the shares to be issued upon such exercise under the Plan (including rights granted thereunder) are covered by an effective registration statement pursuant to the Securities Act of 1933, as amended (the "Securities Act") and the Plan is in material compliance with all applicable state, foreign and other securities and other laws applicable to the Plan. If on a Purchase Date in any Offering hereunder the Plan is not so registered or in such compliance, no rights granted under the Plan or any Offering shall be exercised on such Purchase Date, and the Purchase Date shall be delayed until the Plan is subject to such an effective registration statement and such compliance, except that the Purchase Date shall not be delayed more than twelve (12) months and the Purchase Date shall in no event be more than twenty-seven (27) months from the Offering Date. If on the Purchase Date of any Offering hereunder, as delayed to the maximum extent permissible, the Plan is not registered and in such compliance, no rights granted under the Plan or any Offering shall be exercised and all payroll deductions accumulated during the Offering (reduced to the extent, if any, such deductions have been used to acquire stock) shall be distributed to the participants, without interest.

9. COVENANTS OF THE COMPANY.

(a) During the terms of the rights granted under the Plan, the Company shall keep available at all times the number of shares of stock required to satisfy such rights.

(b) The Company shall seek to obtain from each federal, state, foreign or other regulatory commission or agency having jurisdiction over the Plan such authority as may be required to issue and sell shares of stock upon exercise of the rights granted under the Plan. If, after reasonable efforts, the Company is unable to obtain from any such regulatory commission or agency the authority which counsel for the Company deems necessary for the lawful issuance and sale of stock under the Plan, the Company shall be relieved from any liability for failure to issue and sell stock upon exercise of such rights unless and until such authority is obtained.

10. USE OF PROCEEDS FROM STOCK.

Proceeds from the sale of stock pursuant to rights granted under the Plan shall constitute general funds of the Company.

11. RIGHTS AS A STOCKHOLDER.

A participant shall not be deemed to be the holder of, or to have any of the rights of a holder with respect to, any shares subject to rights granted under the Plan unless and until the participant's shareholdings acquired upon exercise of rights under the Plan are recorded in the books of the Company.

12. ADJUSTMENTS UPON CHANGES IN STOCK.

(a) If any change is made in the stock subject to the Plan, or subject to any rights granted under the Plan (through merger, consolidation, reorganization, recapitalization, reincorporation, stock dividend, dividend in property other than cash, stock split, liquidating dividend, combination of shares, exchange of shares, change in corporate structure or other transaction not involving the receipt of consideration by the Company), the Plan and outstanding rights will be appropriately adjusted in the class(es) and maximum number of shares subject to the Plan and the class(es) and number of shares and price per share of stock subject to outstanding rights. Such adjustments shall be made by the Board or the Committee, the determination of which shall be final, binding and conclusive. (The conversion of any convertible securities of the Company shall not be treated as a "transaction not involving the receipt of consideration by the Company.")

(b) In the event of: (1) a dissolution or liquidation of the Company; (2) a merger or consolidation in which the Company is not the surviving corporation; (3) a reverse merger in which the Company is the surviving corporation but the shares of the Company's Common Stock outstanding immediately preceding the merger are converted by virtue of the merger into other property, whether in the form of securities, cash or otherwise; or (4) the acquisition by any person, entity or group within the meaning of Section 13(d) or 14(d) of the Exchange Act or any comparable successor provisions (excluding any employee benefit plan, or related trust, sponsored or maintained by the Company or any Affiliate of the Company) of the beneficial ownership (within the meaning of Rule 13d-3 promulgated under the Exchange Act, or comparable successor rule) of securities of the Company representing at least fifty percent (50%) of the combined voting power entitled to vote in the election of directors, then, as determined by the Board in its sole discretion (i) any surviving or acquiring corporation may assume outstanding rights or substitute similar rights for those under the Plan, (ii) such rights may continue in full force and effect, or (iii) participants' accumulated payroll deductions may be used to purchase Common Stock immediately prior to the transaction described above and the participants' rights under the ongoing Offering terminated.

13. AMENDMENT OF THE PLAN.

(a) The Board at any time, and from time to time, may amend the Plan. However, except as provided in Section 12 relating to adjustments upon changes in stock, no amendment shall be effective unless approved by the stockholders of the Company to the extent stockholder approval is necessary for the Plan to satisfy the requirements of Section 423 of the Code, Rule 16b-3 or any Nasdaq or securities exchange listing requirements.

(b) The Board may in its sole discretion submit any other amendment to the Plan for stockholder approval, including.

(c) It is expressly contemplated that the Board may amend the Plan in any respect the Board deems necessary or advisable to provide employees with the maximum benefits provided or to be provided under the provisions of the Code and the regulations promulgated thereunder relating to employee stock purchase plans and/or to bring the Plan and/or rights granted under it into compliance therewith.

(d) Rights and obligations under any rights granted before amendment of the Plan shall not be impaired by any amendment of the Plan, except with the consent of the person to whom such rights were granted, or except as necessary to comply with any laws or governmental regulations, or except as necessary to ensure that the Plan and/or rights granted under the Plan comply with the requirements of Section 423 of the Code.

14. DESIGNATION OF BENEFICIARY.

(a) A participant may file a written designation of a beneficiary who is to receive any shares and cash, if any, from the participant's account under the Plan in the event of such participant's death subsequent to the end of an Offering but prior to delivery to the participant of such shares and cash. In addition, a participant may file a written designation of a beneficiary who is to receive any cash from the participant's account under the Plan in the event of such participant's death during an Offering.

(b) The participant may change such designation of beneficiary at any time by written notice. In the event of the death of a participant and in the absence of a beneficiary validly designated under the Plan who is living at the time of such participant's death, the Company shall deliver such shares and/or cash to the executor or administrator of the estate of the participant, or if no such executor or administrator has been appointed (to the knowledge of the Company), the Company, in its sole discretion, may deliver such shares and/or cash to the spouse or to any one or more dependents or relatives of the participant, or if no spouse, dependent or relative is known to the Company, then to such other person as the Company may designate.

15. TERMINATION OR SUSPENSION OF THE PLAN.

(a) The Board in its discretion may suspend or terminate the Plan at any time. Unless sooner terminated, the Plan shall terminate at the time that all of the shares subject to the Plan's share reserve, as increased and/or adjusted from time to time, have been issued under the terms of the Plan. No rights may be granted under the Plan while the Plan is suspended or after it is terminated.

(b) Rights and obligations under any rights granted while the Plan is in effect shall not be impaired by suspension or termination of the Plan, except as expressly provided in the Plan or with the consent of the person to whom such rights were granted, or except as necessary to comply with any laws or governmental regulation, or except as necessary to ensure that the Plan and/or rights granted under the 423(b) Plan comply with the requirements of Section 423 of the Code.

16. EFFECTIVE DATE OF PLAN.

The Plan shall become effective on the same day that the Company's initial public offering of shares of common stock becomes effective (the "Effective Date"), but no rights granted under the Plan shall be exercised unless and until the Plan has been approved by the stockholders of the Company within twelve (12) months before or after the date the Plan is adopted by the Board or the Committee, which date may be prior to the Effective Date.

¹ The initial 500,000 shares were automatically increased on January 30, 2000 by 772,385 shares to 1,272,385 shares. This number was adjusted to 1,544,770 shares pursuant to the 2-for-1 stock split on June 26, 2000. The number of shares was automatically increased again on January 28, 2001 by 1,663,657, at which time a total of 4,208,427 shares were reserved for issuance under the Plan. This number was adjusted to 8,416,854 shares pursuant to the 2-for-1 stock split on September 11, 2001. The number of shares was automatically increased on January 27, 2002 by 3,681,673 shares, at which time a total of 12,098,527 shares were reserved for issuance under the Plan. The number of shares was automatically increased on January 26, 2003 by 3,582,825 shares, at which time a total of 15,681,352 shares were reserved for issuance under the Plan. The number of shares was automatically increased on January 25, 2004 by 3,518,462 shares, at which time a total of 19,199,814 shares were reserved for issuance under the Plan. The number of shares was automatically increased on January 30, 2005 by 3,551,702 shares, at which time a total of 22,751,516 shares were reserved for issuance under the Plan. The number of shares was automatically increased on January 29, 2006 by 3,248,484 shares, at which time a total of 26,000,000 shares were reserved for issuance under the Plan. This number was adjusted to 52,000,000 shares pursuant to the 2-for-1 stock split on April 6, 2006. This number was adjusted again to 77,999,999 shares pursuant to the 3-for-2 stock split on September 10, 2007.

² The initial 6,500,000 shares were adjusted to 13,000,000 shares pursuant to the 2-for-1 stock split on June 26, 2000; then adjusted to 26,000,000 shares pursuant to the 2-for-1 stock split on September 11, 2001; then adjusted to 52,000,000 shares pursuant to the 2-for-1 stock split on April 6, 2006; then adjusted again to 77,999,999 shares pursuant to the 3-for-2 stock split on September 10, 2007.

AMENDED AND RESTATED AGREEMENT OF PURCHASE AND SALE

by and between

HARVEST-GRANITE SAN TOMAS LLC

a Delaware limited liability company

as Seller

and

HARVEST 2400, LLC

a Delaware limited liability company

as Buyer

dated

January 31, 2008

TABLE OF CONTENTS

	<u>Page</u>
<u>1. PURCHASE AND SALE</u>	1
<u>2. PURCHASE PRICE</u>	
	1
<u>3. PAYMENT OF PURCHASE PRICE</u>	
	2
<u>4. ESCROW</u>	
	2
<u>5. CONDITIONS OF TITLE</u>	
	2
<u>6. CONDITIONS TO CLOSE OF ESCROW</u>	
	3
<u>7. DEPOSITS BY SELLER</u>	
	7
<u>8. DEPOSITS BY BUYER</u>	
	9
<u>9. ISSUANCE OF TITLE INSURANCE</u>	
	9
<u>10. COSTS AND EXPENSES</u>	
	9
<u>11. PRORATIONS</u>	
	9
<u>12. REVIEW OF INFORMATION</u>	
	13
<u>13. INTENTIONALLY DELETED</u>	

<u>14.</u>	<u>SELLER’S REPRESENTATIONS AND WARRANTIES</u>	13
<u>15.</u>	<u>BUYER’S REPRESENTATIONS AND WARRANTIES</u>	13
<u>16.</u>	<u>SELLER’S COVENANTS</u>	16
<u>17.</u>	<u>DEFAULT</u>	17
<u>18.</u>	<u>CONDEMNATION AND DESTRUCTION</u>	18
<u>19.</u>	<u>NOTICES</u>	19
<u>20.</u>	<u>NONDISCLOSURE</u>	19
<u>21.</u>	<u>BROKERS</u>	21
<u>22.</u>	<u>EXCHANGE</u>	21
<u>23.</u>	<u>MISCELLANEOUS</u>	21
		22

TABLE OF CONTENTS

(continued)

Exhibits

Exhibit A	-	Property Description
Exhibit B	-	Other Property
Exhibit C	-	Bill of Sale
Exhibit D	-	Leases
Exhibit E	-	General Assignment
Exhibit F	-	Grant Deed
Exhibit G	-	D ocuments and Materials
Exhibit H	-	Seller's Certificate
Exhibit I	-	Buyer's Certificate
Exhibit J	-	Contracts and Agreements
Exhibit K	-	Form of Tenant Estoppel Certificate
Exhibit L	-	Notice to Tenants
Exhibit M	-	Notice to Vendors
Exhibit N	-	Relationship Side Letter

AMENDED AND RESTATED AGREEMENT OF PURCHASE AND SALE

THIS AMENDED AND RESTATED AGREEMENT OF PURCHASE AND SALE (this “ **Agreement** ”), dated as of January 31, 2008, is entered into by and between **HARVEST-GRANITE SAN TOMAS LLC, a Delaware limited liability company** (“ **Seller** ”), and **HARVEST 2400, LLC , a Delaware limited liability company** (“ **Buyer** ”).

RECITALS

A. Seller is the owner of certain real property (“ **Real Property** ”), consisting of approximately 24.67 acres, commonly known as 2600 - 2880 San Tomas Expressway, located in the City and County of Santa Clara (“ **County** ”), California (“ **State** ”), more particularly described in Exhibit A attached hereto.

B. The Real Property has constructed thereon certain buildings and related improvements (collectively, “ **Improvements** ”).

C. The Real Property, Improvements, Personal Property (as defined on Exhibit G attached hereto), and Other Property (as defined on Exhibit B attached hereto) are hereinafter collectively referred to as the “ **Property** .”

D. Seller and San Tomas Investors, LLC, a Delaware limited liability company (“ **Original Buyer** ”) entered into an Agreement of Purchase and Sale, dated December 28, 2007, with respect to the Property (the “ **Original Agreement** ”).

E. Conditioned upon the concurrent execution and delivery of this Agreement, Original Buyer is concurrently assigning the Original Agreement to Buyer pursuant to an Assignment and Assumption of Agreement of Purchase and Sale , dated January 31, 2008.

NOW, THEREFORE, in consideration of the foregoing and the mutual covenants contained herein, the parties agree as follows:

I. The parties agree that the Original Agreement is amended and restated, as of January 31, 2008, in its entirety by this Agreement.

AGREEMENT

1. PURCHASE AND SALE

Seller agrees to sell and convey to Buyer, and Buyer agrees to purchase from Seller, the Property on the terms and subject to the conditions set forth in this Agreement. For the purposes of this Agreement, the term “ **Effective Date** ”, as used herein shall mean December 28, 2007.

2. PURCHASE PRICE

The purchase price for the Property is equal to the amount of One Hundred Forty-Nine Million, Three Hundred Fifty-Four Thousand, Fifty Dollars and No Cents (\$149,354,050.00) (“ **Purchase Price** ”).

3. PAYMENT OF PURCHASE PRICE

The Purchase Price for the Property shall be payable by Buyer as follows:

(a) Deposit. On or before two (2) business days following the following the Effective Date, Buyer has paid to Seller the amount of Fifty Thousand Dollars (\$50,000) (together with any interest accrued thereon, the “ **First Deposit** ”) which shall be nonrefundable notwithstanding any termination of this Agreement. On or before one (1) business day following the expiration of the Contingency Period (as defined below), Buyer shall cause an additional Four Million, Four Hundred Fifty Thousand Dollars (\$4,450,000) in immediately available funds (together with any interest accrued thereon, the “ **Second Deposit** ”) in immediately available funds to be delivered into Escrow with First American Title Insurance Company, 1737 North First Street, Suite 100, San Jose California 95112, Attn: Dian Blair (“ **Escrow Holder** ”). The First Deposit and the Second Deposit shall be collectively referred to herein as the “ **Deposit** ”. The Second Deposit shall be invested by Escrow Holder with a financial institution acceptable to Buyer and Seller in a federally-insured interest-bearing demand account (with any risk of loss for the account of Buyer), and the Second Deposit, and all interest accrued on the Second Deposit, shall be credited to the Purchase Price upon the Close of Escrow. Following the expiration of the Contingency Period (as hereinafter defined), unless this Agreement has been previously terminated or deemed terminated by Buyer pursuant to its rights set forth in this Agreement, the Second Deposit shall, except as otherwise provided in this Agreement to the contrary, become non-refundable. The Deposit shall be credited against the Purchase Price at Close of Escrow. The failure of Buyer to timely deliver any of the Deposits shall be a material default, and shall entitle Seller, at Seller’s sole option, to terminate this Agreement immediately by giving written notice of such termination to Buyer and the Escrow Holder.

(b) Cash at Close of Escrow. On or before the Close of Escrow, Buyer shall deposit with Escrow Holder the remaining portion of the Purchase Price, in immediately available funds, which shall be paid to Seller at Close of Escrow.

4. ESCROW

(a) Opening of Escrow. Seller has opened an escrow (“ **Escrow** ”), Escrow No. NCS-332894-SC, with Escrow Holder on or prior to the Effective Date. Buyer and Seller agree to execute and deliver to Escrow Holder, in a timely manner, all escrow instructions necessary to consummate the transaction contemplated by this Agreement. Any such instructions shall not conflict with, amend or supersede any portion of this Agreement. If there is any inconsistency between such instructions and this Agreement, this Agreement shall control.

(b) Close of Escrow. For purposes of this Agreement, “ **Close of Escrow** ” shall be defined as the date that the Grant Deed (as hereinafter defined) is recorded in the Official Records of the County. The Close of Escrow shall occur on or before February 15, 2008 (subject to extension solely pursuant to the terms and conditions of this Agreement or by the mutual agreement of the parties in their sole and absolute discretion, the “ **Closing Date** ”).

5. CONDITIONS OF TITLE

The Property shall be conveyed to Buyer by Seller by a Grant Deed, in the form attached hereto as Exhibit F (“ **Grant Deed** ”), subject only to (a) a lien to secure payment of real estate taxes, bonds and assessments not delinquent; (b) the lien of supplemental taxes, not delinquent; and (c) exceptions which are approved and/or accepted by Buyer in writing in accordance with this Agreement; (d) laws, ordinances or governmental regulations, including but not limited to, building and zoning laws, ordinances and regulations, now existing or hereafter in effect with respect to the Property; (e) matters affecting the condition of title created by or with the written consent of

Buyer; (f) water rights, and claims of title to water, if shown by the public records; (g) conflicts in boundary lines, encroachments, and any state of facts which an inspection of the Property would disclose and which are not shown by the public records; and (h) standard printed exclusions generally included in a CLTA owner's policy (or ALTA owner's policy, as the case may be) (collectively, "**Approved Conditions of Title**"). Notwithstanding anything to the contrary contained in this Agreement, Buyer hereby disapproves all liens evidencing deeds of trust or mortgages or other liens securing monetary obligations, judgment liens, liens for delinquent real estate property taxes and assessments and mechanic's liens, other than mechanics liens solely due to Buyer, and Seller agrees to cause all such liens to be eliminated at Seller's sole cost and expense (including all prepayment penalties and charges) prior to or concurrently with the Close of Escrow. Issuance by the Title Company (or an unconditional commitment to issue) as of the Close of Escrow of the Title Policy shall constitute the required delivery of title by Seller.

6. CONDITIONS TO CLOSE OF ESCROW

(a) Conditions to Buyer's Obligations. The Close of Escrow and Buyer's obligation to consummate the transactions contemplated by this Agreement is subject to the satisfaction of the following conditions (or Buyer's waiver thereof) which are for Buyer's sole benefit, on or prior to the dates designated below for the satisfaction of such conditions, or the Close of Escrow in absence of a specified date:

(i) Title and Survey.

(a) Title. Buyer shall have the right to approve any and all matters of and exceptions to title of the Property, including the legal description, as disclosed by the following documents and instruments (collectively, "**Title Documents**"): (A) a preliminary title report ("**Preliminary Report**") issued by the Title Company (as hereinafter defined) with respect to the Property and all matters referenced therein; and (B) legible copies of all documents, whether recorded or unrecorded, referred to in such Preliminary Report. Seller shall cause Escrow Holder to deliver the Title Documents to Buyer within five (5) calendar days following the Effective Date. Buyer shall have ten (10) business days following the Effective Date to give Seller and Escrow Holder written notice ("**Buyer's Title Notice**") of Buyer's approval or disapproval, which shall be made in Buyer's sole and absolute discretion, of the legal description and every item or exception disclosed by the Title Documents. The failure of Buyer to give Buyer's Title Notice to Seller within the specified time period shall be deemed Buyer's disapproval of title to the Property. In the event that Buyer's Title Notice disapproves of any matter of title shown in the Title Documents, Seller shall, within three (3) business days after Buyer's Title Notice is received by Seller, give Buyer written notice ("**Seller's Title Notice**") (a) that Seller will remove such objectionable exceptions from title on or before the Close of Escrow, *provided that* Seller may extend the Close of Escrow for such period as shall be required to effect such cure, but not beyond ten (10) days or (b) that Seller elects not to cause such exceptions to be removed. If Seller fails to timely give such notice to Buyer, Seller shall be deemed to have given notice to Buyer under clause (b). Seller shall have no obligation to remove any title exceptions to which Buyer objects other than those that Seller has agreed to remove in Section 5 above. The procurement by Seller of a commitment for the issuance of the Title Policy without any exceptions to which Buyer has objected or is deemed to have objected or with an endorsement thereto insuring Buyer against any title exception which was disapproved pursuant to this section (and so long as such endorsement is acceptable to Buyer in its sole discretion) shall be deemed a cure by Seller of such disapproval. In the event that Seller gives or is deemed to have given Buyer notice under clause (b) above, Buyer shall have until the expiration of the Contingency Period to notify Seller in writing that either (1) Buyer is willing to purchase the Property subject to such disapproved exceptions, or (2) Buyer elects to cancel this transaction.

Failure of Buyer to take either one of the actions described in subsection (1) or (2) above shall be deemed to be Buyer's election to take the action described in subsection (2) above. In the event this Agreement is canceled or deemed canceled pursuant to this Section, except as otherwise provided herein, the parties shall have no further obligations under this Agreement, and all monies delivered to Escrow Holder (other than the First Deposit, which shall be non-refundable), including any accrued interest thereon, by Buyer shall immediately be returned to Buyer. Seller covenants after the Contingency Period, that Seller will not cause title to the Real Property to differ from the Approved Conditions of Title described in this Section. Any liens, encumbrances, encroachments, easements, restrictions, conditions, covenants, rights, rights-of-way or other matters other than the Approved Conditions of Title which may appear of record or be revealed after the Contingency Period that were not disclosed by the Title Company or the Survey or otherwise actually known to Buyer prior to the expiration of the Contingency Period or solely caused by Buyer, shall also be subject to Buyer's approval as a condition to the Close of Escrow for Buyer's benefit, *provided that* Buyer must notify Seller of such objection(s) to title within two (2) business days of being made aware of the existence of such exception. If Buyer gives such a notice to Seller, the provisions of this Section 6(a)(i)(a) above shall apply as if such notice was a Buyer's Title Notice, except that Buyer must respond within three (3) business days to any response to such notice by Seller. The parties acknowledge that Buyer's Title Notice and Seller's Title Notice have each been timely delivered and Buyer has timely made the election referred to in subsection (1) above with respect to Seller's Title Notice.

(b) Survey. At Buyer's option and at its expense, during the Contingency Period Buyer may obtain an update of the ALTA survey of the Property provided to Buyer by Seller (" **Survey** "). Buyer may advise Seller in writing and in reasonable detail, not later than five (5) business days prior to the close of the Contingency Period, what matters, if any, shown on the Survey are not acceptable to Buyer (the " **Survey Objections** "). Seller shall have three (3) business days after receipt of Buyer's Survey Objections to give Buyer notice that (a) Seller will remove any Survey Objections (or afford the Title Company necessary information or certifications to permit it to insure over such matters) or (b) Seller elects not to cause such matters to be removed. Seller's failure to provide notice to Buyer within such three (3) business day period as to any Survey Objection shall be deemed an election by Seller not to remove the Survey Objection. If Seller so notifies or is deemed to have notified Buyer that Seller shall not remove any or all of the Survey Objections, Buyer's delivery of the Approval Notice pursuant to Section 6(a)(ii) below shall indicate Buyer's waiver of such objection and its determination to proceed with the purchase and take the Property subject to such matters. If obtained, Buyer shall promptly deliver a copy of the Survey to Seller and the Title Company. It is acknowledged that Buyer may not be entitled to obtain an ALTA title insurance policy with respect to the Property if Buyer elects not to timely obtain a Survey on or before five (5) days before the Close of Escrow with respect to the Property. The parties acknowledge that Buyer has obtained an update of the Survey and that Buyer has no Survey Objections in connection therewith.

(ii) Inspections and Studies. For a period commencing on the Effective Date and expiring at 5:00 p.m. P.T. on January 31, 2008 (the " **Contingency Period** "), except as otherwise extended pursuant to the provisions of this Section, Buyer shall have the right to review and approve the (A) Documents and Materials (as hereinafter defined), and (B) conduct any and all inspections, investigations, tests and studies (including, without limitation, investigations with regard to zoning, building codes and other governmental regulations, architectural inspections, engineering tests, economic feasibility studies, soils, seismic and geologic reports and environmental testing) with respect to the Property as Buyer may elect to make or maintain. Any such entry shall be upon reasonable notice to Seller and Seller shall be afforded the opportunity to accompany Buyer during such visitations. Buyer shall keep the Property free and clear of any mechanics' liens, materialmen's liens or claims arising out of any of Buyer's activities or those of Buyer's representatives on or with respect to the Property.

All entries onto the Property by Buyer and all inspections and examinations thereof shall be at Buyer's sole cost and expense, shall be done in a workmanlike manner in accordance with all applicable codes, statutes, ordinances, rules, regulations and laws. Buyer shall not perform any test or inspection or carry out any activity at the Property which damages the Property in any way or which is physically intrusive into the Improvements or soil of the Property without the prior written consent of Seller, which Seller may withhold in its reasonable discretion and shall be subject to such other reasonable conditions as may be placed on such testing by Seller, including, without limitation, a requirement that Buyer provide Seller split samples of any testing performed by or on behalf of Buyer. After completion of any such inspection or study on any portion of the Property, Buyer, at its sole cost and expense shall repair (which shall include replacement where necessary) any damage to the Property arising from such entry. In connection with any inspections of the Property, Buyer and Buyer's representatives will carry Commercial General Liability insurance with a limit of Five Million Dollars (\$5,000,000) per occurrence and, upon the reasonable request of Seller, will provide Seller with written evidence of same. Before performing any environmental inspections or testing of the Property, Buyer shall obtain any required permits and authorizations and shall pay all applicable fees required by any public body or agency in connection therewith. Prior to the expiration of the Contingency Period, Buyer shall deliver to Seller and Escrow Holder written notice of its approval, which shall be made in Buyer's sole and absolute discretion, of the Property and the Documents and Materials (" **Approval Notice** "). The failure of Buyer to deliver such notice prior to the expiration of the Contingency Period shall be deemed to constitute Buyer's disapproval of such matters. The cost of any such inspections, tests and/or studies shall be borne by Buyer. Between the Effective Date and the Close of Escrow, Buyer, its agents, contractors and subcontractors shall have the right to enter upon the Property at reasonable times to make any and all inspections and tests as may be necessary or desirable in Buyer's sole judgment and discretion. Buyer shall indemnify, defend and hold Seller harmless from any and all damage arising out of or in connection with such entry upon the Property by Buyer, its agents, employees or contractors or the performance by Buyer or Buyer's representatives of any testing or investigations of the Property (" **Inspection Indemnity** "); *provided, however*, that such Inspection Indemnity shall not extend to any damages arising from or related to the discovery of any pre-existing condition of the Property or to loss of value resulting from such discovery thereof and/or further excepting the acts or omissions of Seller or any of Seller's agents, employees, contractors, consultants, lessees, licensees or invitees. In the event Buyer disapproves or is deemed to have disapproved the condition of the Property and/or the Documents and Materials prior to the expiration of the Contingency Period, except as otherwise provided herein, the parties shall have no further obligations under this Agreement, the Second Deposit including any accrued interest thereon, shall be immediately returned to Buyer, and Buyer shall return to Seller any Documents and Materials provided to Buyer during the Contingency Period. In the event that Buyer terminates this Agreement pursuant to the provisions contained in this subsection (ii)(a), Buyer shall be responsible for all escrow cancellation costs charged by Escrow Holder. Buyer and its representatives shall hold in strictest confidence all confidential data and information obtained with respect to Seller or the Property and obtained in connection with the transaction contemplated by this Agreement, whether obtained before or after the execution and delivery of this Agreement, and shall not disclose the same to others; *provided, however*, that it is understood and agreed that the restrictions set forth herein shall not apply (a) to disclosures which may otherwise be required by law, or (b) disclosures to Buyer's affiliates, and Buyer's and such affiliates' respective directors, officers, partners, members, managers, employees, legal counsel, accountants, engineers, architects, financial advisors, brokers and similar professionals and consultants (" **Representatives** ") provided that Buyer shall inform such persons to treat such data and information confidentially. Buyer shall not be responsible for disclosures of information which may otherwise become available to the public (other than from disclosure by a Buyer or its Representatives). The indemnity provisions of this Section 6(a)(ii) shall survive the Close of Escrow and delivery of the Deed and shall further survive any earlier termination of this Agreement and the confidentiality provisions of this Section 6(a)(ii) shall survive the termination of this Agreement without a Close of Escrow for a period of 36 months (and if the Close of Escrow occurs, Buyer's obligation to keep confidential information as set forth in this Section 6(a)(ii) shall expire as of the date of the Close of Escrow).

Buyer acknowledges that it has completed the investigations set forth in this Section 6(a)(ii) and is satisfied with the results thereof, and execution of this Agreement by Buyer shall be conclusively deemed to be timely delivery of Buyer's Approval Notice.

(iii) Title Insurance. As of the Close of Escrow, Title Company shall have issued or shall have committed to issue the Title Policy (as hereinafter defined) to Buyer.

(iv) Seller's Obligations. As of the Close of Escrow, Seller shall have performed all of the obligations required to be performed by Seller under this Agreement.

(v) Seller's Representations. As of the Close of Escrow, all representations and warranties made by Seller to Buyer in this Agreement shall be true and correct.

(vi) No Material Change. As of the Close of Escrow, there shall have been no material change in the condition of the Property between the expiration of the Contingency Period and the Close of Escrow; *provided, however*, that the terms and conditions of Section 18(b) below shall apply as Buyer's remedy with respect to any such change in the condition of the Property due to fire or other casualty. For purposes of this Section 6(a)(vii), "**material**" shall be deemed to be any diminution in the value of the Property which exceeds two million and 0/100ths Dollars (\$2,000,000.00).

(vii) Estoppel Certificates. As a condition precedent to Buyer's obligation to close hereunder, Buyer shall have received estoppel certificates dated no more than thirty (30) days prior to the originally scheduled Close of Escrow (the "**Estoppel Certificates**") from tenants, excluding Buyer or any affiliate of Buyer which is also a tenant, that collectively occupy not less than seventy percent (70%) of (i) the total rentable space actually leased as of the Effective Date pursuant to valid and existing leases (excluding license agreements and excluding the space leased by Buyer or any affiliate of Buyer), less (ii) the total rentable space under lease by Buyer or any affiliate of Buyer (the Estoppel Certificates to be delivered are collectively referred to as the "**Required Estoppel Certificates**"); it being agreed that receipt of an Estoppel Certificate from Buyer shall not be a condition precedent to Buyer's obligation to consummate the transaction contemplated by this Agreement. The Estoppel Certificates delivered to the tenants for execution shall be in the form of Exhibit K attached hereto (the "**Form Tenant Estoppel Certificate**"). The Estoppel Certificates executed by tenants shall be in substantially the form of the Form Tenant Estoppel Certificate; *provided, however*, that an Estoppel Certificate executed by a tenant shall not be deemed an unacceptable Estoppel Certificate for purposes of this Section 6(a)(vii) if it (a) contains the qualification by the tenant of any statement as being to its knowledge or as being subject to any similar qualification, or (b) does not contain any more information than that which the tenant is required to give in any such certificate pursuant to its lease. In the event that Seller does not provide to Buyer the Required Estoppel Certificates on or prior to the third business day prior to the Closing Date (subject to Seller's right to extend the Closing Date set forth in the last sentence of this subsection), Buyer may, by written notice to Seller given on or prior to the Close of Escrow, either (A) elect not to purchase the Property, in which event the Second Deposit shall be returned to Buyer, at which time this Agreement shall terminate and become null and void and neither party shall have any further rights or obligations under this Agreement, except for those which expressly survive termination of this Agreement, or (B) elect to purchase the Property notwithstanding Seller's inability to provide the Required Estoppel Certificates, in which event Buyer shall be deemed to have waived the condition contained in this Section 6(a)(vii). If Buyer fails to deliver such written notice as described above, Buyer shall be deemed to have elected item (B) above. Information disclosed on any Estoppel Certificate delivered to Buyer prior the Closing shall be deemed to have been known by Buyer for purposes of the second sentence of Section 14(q). Seller shall have no liability in connection with Seller's representations or warranties set forth herein with respect to a particular lease to the extent that such representations and warranties are confirmed by the tenant under such lease in an Estoppel Certificate delivered with respect to such lease. Seller shall have the right to extend the Closing Date to any business day up to and including March 3, 2008 if Seller determines such extension is necessary to satisfy the condition set forth in this Section 6(a)(vii).

(b) Conditions to Seller's Obligations. The Close of Escrow and Seller's obligation to consummate the transactions contemplated by this Agreement is subject to the satisfaction of the following conditions (or Seller's waiver thereof) which are for Seller's sole benefit, on or prior to the dates designated below for the satisfaction of such conditions, or the Close of Escrow in absence of a specified date:

(i) Buyer's Obligations. As of the Close of Escrow, Buyer shall have performed all of the obligations required to be performed by Buyer under this Agreement.

(ii) Buyer's Representations. As of the Close of Escrow, all representations and warranties made by Buyer to Seller in this Agreement shall be true and correct.

(iii) Buyer's Deliveries. Delivery and execution by Buyer of all monies, items and instruments required to be delivered by Buyer pursuant to this Agreement;

(iv) Approval Notice. Buyer shall have timely waived the contingencies set forth in Sections 6(a)(i), (ii) and (vii).

(c) Failure of Condition to Close of Escrow. In the event any of the conditions set forth in Section 6(a) or (b) are not timely satisfied or waived by Buyer or Seller, as the case may be, for a reason other than the default of Buyer or Seller, as the case may be, this Agreement shall terminate, and if applicable, the Second Deposit (unless otherwise provided in this Agreement), and all interest accrued thereon, and all other monies delivered to Escrow Holder by Buyer shall be immediately be returned to Buyer, Buyer shall return to Seller any Documents and Materials and, except as otherwise provided herein, the parties shall have no further obligations hereunder. Buyer shall not be required to deliver to Seller any reports or analyses (prepared by Buyer or Buyer's consultants or agents) concerning the Property, nor shall Buyer be required to deliver to Seller any document which is privileged or is otherwise legally protected from disclosure. The occurrence of the Close of Escrow shall constitute satisfaction of conditions set forth in Section 6(a) and (b) not otherwise specifically satisfied or waived by Buyer or Seller (except with respect to any intentional default or breach of this Agreement by Seller, in which event (and notwithstanding anything to the contrary contained herein), so long as Buyer has provided reasonable notice and opportunity to cure to Seller (if reasonably practicable) with respect to such intentional default or breach by Seller, Buyer may elect to close the subject transaction but may make a claim for actual damage to the condition of the Property incurred as a result of any such intentional default or breach of this Agreement by Seller; *provided that* any such claim shall be limited by the restrictions on claims of Buyer in connection with a breach of a Seller representation or warranty set forth in Subsections 14(q)(i) and (ii) of this Agreement.).

7. DEPOSITS BY SELLER

Unless otherwise provided in this Section, prior to the Close of Escrow, Seller shall deposit with Escrow Holder the following documents:

(a) Grant Deed. The Grant Deed, duly executed and acknowledged in recordable form by Seller, conveying fee title to the Property to Buyer subject only to the Approved Conditions of Title.

(b) FIRPTA Certificate . A certification, acceptable to Escrow Holder and duly executed by Seller under penalty of perjury setting forth Seller's address and federal tax identification number in accordance with and/or for the purpose of the provisions of Sections 7701 and 1445, as may be amended, of the Internal Revenue Code of 1986, as amended, and any regulations promulgated thereunder.

(c) California Franchise Tax Withholding . Evidence satisfactory to Buyer and Escrow Holder that Seller is exempt from the provisions of the withholding requirements of the California Revenue and Taxation Code, as amended, and that neither Buyer nor Escrow Holder is required to withhold any amounts from the Purchase Price pursuant to such provisions.

(d) Bill of Sale . A bill of sale (" **Bill of Sale** "), duly executed by Seller in favor of Buyer, assigning and conveying to Buyer all of Seller's right, title and interest in and to the Personal Property. The Bill of Sale shall be in the form of, and upon the terms contained in, Exhibit C attached hereto.

(e) Other Documents . Such other administrative documents as may be reasonably necessary and appropriate to complete the Close of Escrow of the transaction contemplated herein.

(f) General Assignment . An assignment (" **General Assignment** "), duly executed by Seller, assigning to Buyer all of Seller's right, title and interest in all Leases (as defined on Exhibit B) and Contracts (as defined on Exhibit B) and the Intangibles (as defined in the General Assignment). The General Assignment shall be in the form of, and upon the terms contained in, Exhibit E attached hereto.

(g) Tenant and Contract Notice Letters . one original notice letter to each tenant, substantially in the form attached hereto as Exhibit L (to be delivered outside of escrow); and one original notice letter to each Contract vendor, substantially in the form attached hereto as Exhibit M (to be delivered outside of escrow).

(h) Contracts and Leases . The original (or copies if Seller is not in possession of the originals) of the Contracts approved by Buyer in accordance with this Agreement if required, together with any warranties related to such Contracts including, without limitation any operating manuals for Building systems and components. The original (or copies if Seller is not in possession of the originals) of the Leases.

(i) Keys . Keys to all entrance doors to the Improvements and keys to all Personal Property located on the Property, which keys shall be properly tagged for identification.

(j) Seller's Certificate . A certificate in the form of Exhibit H attached hereto, confirming that the representations and warranties made by Seller in this Agreement are true, correct and complete in all material respects as of the Close of Escrow.

(k) Permits, Entitlements, etc. . Any original building and development permits, certificates of occupancy, utility will-serve letters, use permits and other government approvals and/or entitlements with respect to the Property.

(l) January 31, 2008 Letter . Concurrently with the execution of this Agreement, that certain January 31, 2008 letter from Harvest Properties, Inc. to BlackRock Realty Advisors, Inc. in the form attached as Exhibit "N".

8. DEPOSITS BY BUYER

Prior to the Close of Escrow, Buyer shall deposit or cause to be deposited with Escrow Holder (a) the required funds which are to be applied towards the payment of the Purchase Price; (b) a counterpart of the General Assignment executed by Buyer; (c) a certificate in the form of Exhibit I attached hereto, confirming that the representations and warranties made by Buyer in this Agreement are true, correct and complete in all material respects as of the Close of Escrow; and (d) such other administrative documents as may be reasonably necessary and appropriate to complete the Close of Escrow of the transaction contemplated herein.

9. ISSUANCE OF TITLE INSURANCE

At the Close of Escrow, Escrow Holder's title insurer (" **Title Company** "), shall issue to Buyer its standard form California Land Title Association (" **CLTA** ") Owner's Policy of Title Insurance showing fee title to the Property vested in Buyer subject only to the Approved Conditions of Title (" **Title Policy** "). The Title Policy shall be issued with liability in an amount equal to the Purchase Price. Seller shall pay for the expense of the Title Policy (excluding the cost of any endorsements, which shall be paid for by Buyer). If Buyer elects to have Title Company issue its American Land Title Association (" **ALTA** ") Owner's Policy of Title Insurance, Buyer shall pay for the expense of such ALTA premium increment, any endorsement thereto and any survey costs. Buyer shall be entitled to request that the Title Company provide an ALTA title insurance policy and/or such endorsements to the Title Policy as Buyer may reasonably require, *provided that* such ALTA policy and/or endorsements shall be at no cost or additional liability to Seller and the Close of Escrow shall not be delayed as a result of Buyer's request.

10. COSTS AND EXPENSES

Except as otherwise specified in this Section 10, Seller and Buyer shall equally divide all escrow charges. Seller shall pay any recording charges and all documentary, transfer and stamp taxes charged by the County as a result of the transaction described herein. Buyer shall pay the incremental premium for the ALTA portion of the Title Policy and the premium for any endorsements, the cost of the Survey (if any) and the premium for the Buyer's lender's title policy, if any. All other costs and expenses incident to this transaction and the Close of Escrow thereof and not specifically described above, shall be allocated pursuant to the custom in the County. Buyer and Seller shall each pay all legal and professional fees and fees of other consultants incurred by Buyer and Seller, respectively.

11. PRORATIONS

The provisions of this Section 11 shall survive Close of Escrow.

(a) Seller shall prepare a statement of the prorations and adjustments required by this Agreement (the " **Joint Closing Statement** ") and submit it to Buyer for approval at least three (3) business days prior to the Close of Escrow. The items listed below are to be equitably prorated or adjusted as of the close of business on the Close of Escrow, it being understood that, for purposes of prorations and adjustments, Seller shall be deemed the owner of the Property on the day immediately preceding the Close of Escrow and Buyer shall be deemed the owner of the Property as of the day of the Close of Escrow.

(i) Taxes/Assessments. Seller shall pay current the amount of any bond or assessment which is a lien on the Property but not customarily paid with property taxes; *provided that* Buyer shall acquire the Property subject to and Buyer shall assume the outstanding balance of any such bond(s) and/or assessment(s). All non-delinquent real estate taxes, bonds and assessments on the Property shall be prorated as of 12:01 a.m. on the day of the

Close of Escrow based on the most recent tax bill. All delinquent taxes, bonds and assessments, if any, on the Property shall be paid at the Close of Escrow from funds accruing to Seller. The existing balance, paid current, of all bonds and assessments shall be assumed by Buyer at Close of Escrow and shall not be credited against the Purchase Price. Such payment obligation shall survive the Close of Escrow.

(ii) Rent. The “minimum” or “base” rent payable by tenants under the Leases for the calendar month in which the Close of Escrow occurs shall be prorated on the basis of the number of days of such month the Property will have been owned by Buyer and Seller, respectively. However, there shall be no proration of any such rent which is delinquent as of the Close of Escrow, and at the Close of Escrow, Seller shall deliver to Buyer a schedule of all such delinquent rent. Rather, Buyer shall cause any such delinquent rent for the period prior to Close of Escrow to be remitted to Seller if, as, and when collected. Additionally, there shall be no proration of any rent that a tenant under a Lease delivers to either Buyer or Seller that such tenant has identified, at the time of such delivery, as constituting payment of rent due for a month or other period of time prior to Close of Escrow. If Buyer receives any such rent, Buyer shall cause such rent to be remitted to Seller if, as, and when collected. With respect to delinquent rent existing under the Leases, all amounts collected by Buyer after the Close of Escrow shall be applied first to the month in which the Close of Escrow occurs, then to the period following the month in which the Close of Escrow occurs, then to the period prior to the month in which the Close of Escrow occurs. Buyer shall cause its property manager to include the amount of delinquent rent in the first bills thereafter submitted to the tenants in question after the Close of Escrow, and shall continue to do so for two (2) months thereafter. Buyer shall, upon request from Seller, cause to its property manager to promptly deliver to Seller a copy of each such bill submitted to tenants. After such two (2) month period, Seller may pursue remedies directly against delinquent tenants, but may not sue to evict or otherwise dispossess such tenants.

(iii) Costs Relating to New Leases. Any tenant improvement costs, leasing commissions or other leasing costs paid or payable pursuant to any New Lease (as hereinafter defined) entered into in accordance with Section 16(a) shall be prorated over the term of such New Lease, with Seller being responsible for a portion of such costs and commissions based on the ratio of base rent payments received by Seller through the Close of Escrow to the total base rent payable over the term of such New Lease.

(iv) Security Deposits; Utility Deposits. Buyer shall receive a credit at Close of Escrow in the amount of any unapplied cash security deposits under the Leases. In addition, Seller shall assign (to the extent assignable) and deliver to Buyer at Close of Escrow any and all letters of credit and other instruments held by Seller as security deposits under Leases. Seller shall receive a credit at Close of Escrow in the amount of all refundable cash or other deposits posted with utility companies servicing the Property which are duly assigned to Buyer at Close of Escrow.

(v) Utilities. Water, electric, telephone and all other utility and fuel charges, fuel on hand (at cost plus sales tax), and any other payments to utility companies shall be prorated. If possible, utility proration will be handled by final meter readings on the Close of Escrow. If final readings are not possible, or if any such charges are not separately metered, such charges will be prorated based on the most recent period for which costs are available.

(vi) Contracts. Amounts due and prepayments under the Contracts shall be prorated.

(vii) Fees Payable. Assignable license and permit fees, and similar fees and expenses of operation shall be prorated.

(viii) Tenant Inducement Costs. Seller shall be responsible for the payment of any unpaid Tenant Inducement Costs and leasing commissions with respect to any Lease in existence as of the Closing Date, unless expressly authorized in writing by Buyer in connection with a new Lease. For purposes hereof, the term “ **Tenant Inducement Costs** ” shall mean any payments required under a Lease to be paid by the landlord thereunder to or for the benefit of the tenant thereunder which is in the nature of a tenant inducement, including specifically, without limitation, tenant improvement costs, lease buyout costs (other than those accruing as a result of a buyout option executed by Buyer after the Close of Escrow, which buyout costs shall be Buyer’s sole and exclusive responsibility), moving, design, and refurbishment, but specifically excluding legal fees or loss of income resulting from any free rental period (it being agreed that Seller shall bear the loss resulting from any free rental period until the date of Close of Escrow and that Buyer shall bear such loss from and after the Close of Escrow). If, as of the date of Close of Escrow, Seller shall not have paid any Tenant Inducement Costs or leasing commissions for which Seller is responsible to have paid prior to the date of Close of Escrow in accordance with the provisions of this Section 11(a)(viii), Buyer shall be credited with an amount equal to such Tenant Inducement Costs and leasing commissions and Buyer shall assume the obligation to pay the same. Buyer shall be responsible for the payment of any Tenant Inducement Costs and leasing commissions with respect to any New Lease.

(ix) If any item of income or expense set forth in this Section 11(a) is subject to final adjustment after Close of Escrow, then Seller and Buyer shall make, and each shall be entitled to, an appropriate reparation to each such item promptly when accurate information becomes available. Any amounts due from one party to the other as a result of such reparation shall be paid promptly in cash to the party entitled thereto. Seller and Buyer hereby covenant and agree to make available to each other for review such records as are necessary to complete such reparations. The foregoing provisions of this Section 11(a) shall survive Close of Escrow.

(b) Tenant Reimbursements/CAM. Tenants under the Leases are currently paying Seller certain amounts (referred to herein as “ **Tenant Reimbursements** ”) based on Seller’s estimates for real estate taxes and assessments, common area maintenance, operating expenses and similar expenses (collectively, “ **Tenant Reimbursable Expenses** ”).

(i) 1)(a) For the Calendar Year of the Close of Escrow. At Close of Escrow, Tenant Reimbursements payable by tenants under the Leases for the calendar month in which the Close of Escrow occurs shall be prorated on the basis of the number of days of such month the Property will have been owned by Buyer and Seller, respectively. However, there shall be no proration of any such Tenant Reimbursements which are delinquent as of Close of Escrow. Rather, Buyer shall cause its property manager to cause any such delinquent Tenant Reimbursements for the period prior to Close of Escrow to be remitted to Seller if, as, and when collected. Additionally, there shall be no proration of any Tenant Reimbursements that a tenant under a Lease delivers to either Buyer or Seller that such tenant has identified, at the time of such delivery, as constituting payment of a Tenant Reimbursement due for a month or other period of time prior to Close of Escrow. If Buyer receives any such Tenant Reimbursements, Buyer shall cause such Tenant Reimbursements to be remitted to Seller if, as, and when collected. At Close of Escrow, Seller shall deliver to Buyer a schedule of all such delinquent Tenant Reimbursements. Buyer shall cause its property manager to include the amount of delinquent Tenant Reimbursements in the first bills thereafter submitted to the tenants in question after Close of Escrow, and shall continue to do so for two (2) months thereafter. Upon request by Seller, Buyer shall cause its property manager to promptly deliver to Seller a copy of each such bill submitted to tenants. After such two (2) month period, Seller may pursue remedies directly against delinquent tenants, but may not sue to evict or otherwise dispossess such tenants.

(b) At least three (3) business days prior to the Close of Escrow, Seller shall cause to be prepared and delivered to Buyer a reconciliation (“ **Tenant Reimbursement Reconciliation** ”) of (i) actual operating and similar expense of the Property upon which Tenant Reimbursements are based (“ **Actual Expenses** ”) for the period commencing on January 1, 2008 and ending on 11:59 p.m. on the day preceding the Close of Escrow (the “ **Reconciliation Period** ”), it being understood that certain Tenant Reimbursable Expenses for the Reconciliation Period, if not based on actual amounts (such as certain operating expenses for the month in which the Close of Escrow occurs), may be reasonably estimated by Seller; and (ii) Tenant Reimbursable Expenses actually collected by Seller for the Reconciliation Period. Any amount shown to be owed by Seller to the tenants of the Property under the Tenant Reimbursement Reconciliation shall be credited to Buyer at the Close of Escrow (and shall be refunded by Buyer to the tenants as required under the Leases), and any amounts shown to be owed to Seller by tenants of the Property under the Tenant Reimbursement Reconciliation shall be credited to Seller (*provided that* there shall be no proration of uncollected amounts with respect to any tenant who is more than thirty (30) days delinquent in its payment of rent as of the Close of Escrow). Buyer shall be responsible for performing the final reconciliation of Tenant Reimbursements for calendar year 2008 in accordance with the Leases, and for payment of all amounts owing to tenants under the Leases in connection therewith (subject to the reparation provision set forth herein and the time limits set forth therein). Seller shall be responsible for any and all audits of any Tenant Reimbursements for all years prior to the year in which the Close of Escrow occurs.

(ii) For Prior Calendar Years. Seller shall be responsible for the reconciliation with tenants of Tenant Reimbursements and Tenant Reimbursable Expenses for any calendar year prior to that in which the Close of Escrow occurs. If the amount of Tenant Reimbursements collected by Seller for such prior years is less than the amount of Tenant Reimbursable Expenses paid by Seller for such period (or less than the amount which Seller is entitled to recover under the terms of the Leases), then Seller shall be entitled to bill such tenants directly and retain any such amounts due from tenants. If the amount of Tenant Reimbursements collected by Seller for such prior calendar year exceeds the amount of Tenant Reimbursable Expenses paid by Seller with respect to such period (or the amount which Seller is entitled to recover under the terms of the Leases), then, to the extent required under the terms of the Leases, Seller shall remit such excess amounts to the applicable tenants. In connection with the foregoing, Seller shall be permitted to make and retain copies of all Leases and all billings concerning Tenant Reimbursements for such prior years, and Buyer covenants and agrees to provide Seller with reasonable access to the books and records pertaining to such Tenant Reimbursements, and to otherwise cooperate with Seller (at no cost to Buyer) for the purpose of enabling Seller to adequately respond to any claim by tenants for reimbursement of Tenant Reimbursements previously paid by such tenants. The provisions of this Section 11(b)(ii) shall survive Close of Escrow.

(c) Reservation of Rights to Contest. Notwithstanding anything to the contrary contained in this Agreement, Seller reserves the right to (i) contest any taxes, assessments, or reassessments of the Property (or any portion thereof) that relate to any period of time prior to, through, and including the Close of Escrow; (ii) attempt to obtain a refund for any taxes or assessments previously paid by Seller; and (iii) meet with governmental officials in connection with (i) or (ii) immediately above. The provisions of this Section 11(c) shall survive Close of Escrow. Any amounts refunded for the year in which Close of Escrow occurs shall be prorated between Seller and Buyer pursuant to Section 11(a)(i), after deduction of the costs of such contest.

(d) Reparation. Notwithstanding anything contained herein to the contrary, all reparations contemplated by this Agreement shall be completed within one (1) year of Close of Escrow. The provisions of this Section 11(d) shall survive Close of Escrow.

12. REVIEW OF INFORMATION

(a) **Documents and Materials**. Within one (1) business day following the Effective Date, Seller has delivered to Buyer the Documents and Materials listed on Exhibit G (collectively, “ **Documents and Materials** ”) to the extent in Seller’s possession and control. Notwithstanding any provision to the contrary, Seller shall have no obligation to furnish or otherwise make available to Buyer, any of the following documents: (i) any internally or externally prepared reports or analysis concerning the valuation or economic performance of the Property; (ii) any information received from or concerning any other potential purchaser of the Property; (iii) any federal or state income tax returns; (iv) any documents, instruments or agreements evidencing, securing or relating to any mortgage loan currently encumbering the Property; (v) any correspondence or analyses regarding past, pending or proposed real property tax appeals; or (vi) any information or documentation that is privileged or otherwise legally protected from disclosure under applicable law. In addition, within five (5) business days following the Effective Date, Seller shall deliver to Buyer, at Seller’s sole cost and expense, the Natural Hazard Disclosure Statement required by California Civil Code Section 1102.6c(b), which document shall be within the definition of Documents and Materials.

(b) **Plans**. Any and all building plans (including as built plans), site plans, tenant improvement plans specifications or any other governmental approvals or processed documents relating to the Property and the construction of the Improvements in Seller’s possession (collectively, “ **Plans and Permits** ”).

13. INTENTIONALLY DELETED

14. SELLER’S REPRESENTATIONS AND WARRANTIES

In consideration of Buyer entering into this Agreement, Seller makes representations and warranties set forth in this Section, which are material and are being relied upon by Buyer (the continued truth and accuracy of which shall constitute a condition precedent to Buyer’s obligations hereunder). To the extent that Seller becomes aware of any conflict with the representations and warranties set forth herein or that any covenant of Seller under this Agreement is incapable of being performed after the Effective Date and prior to the Close of Escrow, Seller shall provide Buyer with written notice thereof, in which case Buyer, within five (5) calendar days following receipt of such notice, shall have the right to either (i) terminate this Agreement, in which case the provisions of Sections 6(c) shall apply, or (ii) proceed with the transaction described herein, waiving such inconsistent representation(s) and warranty(ies) (*provided , however ,* that Buyer shall not be deemed to have waived any such inconsistent representation(s) and warranty(ies) with respect to those that Seller is incapable of performing due to Seller’s breach of this Agreement or intentional frustration thereof). In no event shall Seller be liable to Buyer for, or be deemed to be in default pursuant to this Agreement by reason of any inaccuracy of a representation or warranty which results from any change that (i) occurs between the Effective Date and the Close of Escrow; and (ii) is expressly permitted under the terms of this Agreement or is beyond the reasonable control of Seller to prevent; *provided , however ,* in such event, Buyer shall be entitled to terminate this Agreement by providing written notice of such termination to Buyer and, in such event, Seller shall immediately return the Second Deposit, plus all interest earned thereon, to Buyer and the parties shall have no further obligations to each other hereunder, except to the extent expressly provided herein. If, in spite of such nonfulfillment of the conditions set forth in Section 6(a), the Close of Escrow occurs, Seller’s representations and warranties set forth in this Agreement shall be deemed to have been modified by all statements made in any notice or notices of modification as given by Seller to Buyer pursuant to this Section 14 prior to the Close of Escrow (*provided , however ,* that any of Seller’s representations and warranties shall not be deemed to have been modified nor shall Buyer be deemed to have waived any such representations and warranties with respect to those affected by Seller’s breach of this Agreement or Seller’s intentional frustration thereof).

(a) Seller's Authority. Seller has the legal power, right and authority to enter into this Agreement and the instruments referenced herein, and to consummate the transaction contemplated hereby.

(b) Proceedings. To Seller's knowledge, (i) there are no actions, suits, arbitrations, claims proceedings or governmental investigations pending, in law or equity, including, without limitation, the commencement of any condemnation action, against or affecting the Property or in which Seller is a party by reason of Seller's ownership of the Property, and (ii) there is not now pending any action or proceeding before any court or governmental agency or body against Seller which would prevent Seller from performing its obligations hereunder.

(c) Compliance with Laws. To Seller's knowledge, Seller has not received a notice of a violation of any applicable law, ordinance, building code, rule, regulation or requirement of any governmental agency, body or subdivision affecting or relating to the Property.

(d) Personal Property. Seller has not encumbered or transferred its interest in any Personal Property existing at the Property as of the Effective Date, other than pursuant to Approved Conditions of Title or replacements of the same in the ordinary course of business.

(e) Leases. To Seller's knowledge, (i) there are no leases or other agreements, written or oral, affecting or relating to the rights of any party with respect to the possession of the Property except the Leases listed on Exhibit D and any New Leases or modifications to the Leases entered into in accordance with Section 16(a) below, (ii) Seller has provided Buyer with true and correct copies of all Leases identified on Exhibit D, (iii) all rent concessions, improvement or other allowances, and leasing commissions under the Leases have paid or satisfied (other than certain payments to Nvidia corporation or any affiliate of Nvidia Corporation under its leases, which such unpaid rent concessions, improvement or other allowances, and leasing commissions will be credited to Buyer at Closing) and (iv) Seller has not received any written notice of any material default by Seller under any Lease.

(f) Hazardous Materials. Except as disclosed in the Documents and Materials (including, without limitation, any environmental reports or studies described therein), to Seller's knowledge, Seller has not received notice from any governmental authority of any contamination or hazardous materials or hazardous waste in existence in, on or below the surface of the Property, including, without limitation, contamination of the soil, subsoil or ground water, which constitutes a violation of any federal, state or local law, ordinance, rule, or regulation of any governmental entity having jurisdiction thereof. Except as disclosed in the Documents and Materials (including, without limitation, any environmental reports or studies described therein), to Seller's knowledge, there are no underground storage tanks at the Property.

(g) Executive Order. Seller is in compliance with the requirements of Executive Order No. 13224, 66 Fed. Reg. 49079 (Sept. 23, 2001) (the "**Order**") and other similar requirements contained in the rules and regulations of the office of Foreign Assets Control, Department of the Treasury ("**OFAC**") and in any enabling legislation or other Executive Orders or regulations in respect thereof (the Order and such other rules, regulations, legislation, or orders are collectively called the "**Orders**"). Seller is not:

(i) listed on the Specially Designated Nationals and Blocked Persons List maintained by OFAC pursuant to the Order and/or on any other list of terrorists or terrorist organizations maintained pursuant to any of the rules and regulations of OFAC or pursuant to any other applicable Orders (such lists are collectively referred to as the "**Lists**"); or

- (ii) a person who has been determined by competent authority to be subject to the prohibitions contained in the Orders.

Seller hereby covenants and agrees that if Seller obtains knowledge that Seller is indicted, arraigned, or custodial detained on charges involving money laundering or predicate crimes to money laundering, Seller shall immediately notify Buyer in writing, and in such event, Buyer shall have the right to terminate this Agreement without penalty or liability to Seller immediately upon delivery of written notice thereof to Seller. In such event the Second Deposit shall be returned to Buyer.

(h) Intentionally Omitted.

(i) Contracts and Agreements. To Seller's knowledge, attached to this Agreement as Exhibit J is a true, correct and complete schedule of all of the contracts, and other agreements concerning the operation, maintenance and use of the Property, showing as to each of the Contracts: (i) name of vendor; and (ii) type of service.

(j) Intentionally Omitted.

(k) Bankruptcy. Seller has not (i) made a general assignment for the benefit of creditors, (ii) filed any voluntary petition in bankruptcy or suffered the filing of any involuntary petition by Seller's creditors, (iii) suffered the appointment of a receiver to take possession of all or substantially all of Seller's assets, (iv) suffered the attachment or other judicial seizure of all, or substantially all, of Seller's assets, (v) admitted in writing Seller's inability to pay its debts as they come due, or (vi) made an offer of settlement, extension, or composition to its creditors generally.

(l) Actions. All requisite action (corporate, trust, partnership or otherwise) has been taken by Seller in connection with the entering into this Agreement, the instruments referenced herein, and the consummation of the transaction contemplated hereby. No consent of any partner, shareholder, trustee, trustor, beneficiary, creditor, investor, judicial or administrative body, governmental authority or other party is required.

(m) Signatory. The individuals executing this Agreement and the instruments referenced herein on behalf of Seller have the legal power, right, and actual authority to bind Seller to the terms and conditions hereof and thereof.

(n) Enforceability. This Agreement and all documents required hereby to be executed by Seller are and shall be valid, legally binding obligations of and enforceable against Seller in accordance with their terms, subject to bankruptcy, insolvency and similar laws affecting the enforcement of creditors' rights generally and general equitable principles.

(o) Conflicting Documents. Neither the execution or delivery of this Agreement, nor the consummation of the transaction contemplated herein, will conflict with, or constitute or result in a breach of, any contract, license or undertaking to which Seller is a party or by which the Property is bound, resulting in the creation of any lien or encumbrance upon the Property.

(p) Deliveries. Seller makes no representation or warranty as to the truth, accuracy or completeness of any materials, data or information delivered by Seller or its agents to Buyer in connection with the transaction contemplated hereby. Buyer acknowledges and agrees that all materials, data and information delivered by Seller to Buyer in connection with the transaction contemplated hereby are provided to Buyer as a convenience only and that any reliance on or use of such materials, data or information by Buyer shall be at the sole risk of Buyer. Neither Seller, nor any affiliate of Seller, nor the person or entity which prepared any report or reports delivered by Seller to Buyer shall have any liability to Buyer for any inaccuracy in or omission from any such reports. To Seller's knowledge, Seller has made available to Buyer access to all written information in its actual possession respecting the Property, other than items described in clauses (i) through (vi) of Section 12(a).

(q) Limitations. The representations and warranties of Seller set forth in this Section 14 (as such may have been updated as of the Close of Escrow in accordance with this Section 14) in accordance with the terms of this Agreement, shall survive Close of Escrow until the close of business on December 1, 2008 (the “ **Survival Period** ”) with respect to any written claims which were delivered within the Survival Period, then all causes of action related to the same shall terminate. No claim for a breach of any representation or warranty of Seller shall be actionable or payable if the breach in question results from or is based on a condition, state of facts or other matter which was known to Buyer prior to Close of Escrow. For purposes of this Subsection (q), “known to Buyer” shall mean the actual knowledge of Kevin Tse or Michael Glass. Seller shall have no liability to Buyer for a breach of any representation or warranty (i) unless the valid claims for all such breaches collectively aggregate more than One Hundred Thousand Dollars (\$100,000), (ii) for claims in excess of Two Million Dollars (\$2,000,000) (the “ **Maximum Liability Cap** ”) and (iii) unless written notice containing a description of the specific nature of such breach shall have been given by Buyer to Seller prior to the expiration of the Survival Period and an action shall have been commenced by Buyer against Seller with respect to the claims specified in such written notice within thirty (30) days thereafter. The provisions of this Section 14 shall survive Close of Escrow or any termination of this Agreement.

(r) Knowledge. “ **Seller’s knowledge** ” shall refer only to the current actual (not constructive) knowledge of Awais Mughal, John Winther and Denise Rock, and shall not be construed, by imputation or otherwise, to refer to the knowledge of any affiliate of Seller, or to any other officer, agent, manager, representative or employee of Seller or any affiliate thereof or to impose upon such persons any duty to investigate the matter to which such actual knowledge, or the absence thereof, pertains.

15. BUYER’S REPRESENTATIONS AND WARRANTIES

In consideration of the Seller entering into this Agreement, Buyer makes the representations and warranties set forth in this Section.

(a) Buyer’s Authority. Buyer has the legal power, right and authority to enter into this Agreement and the instruments referenced herein, and to consummate the transaction contemplated hereby. The sole direct or indirect owner of Buyer is Nvidia Corporation.

(b) Actions. All requisite action (corporate, trust, partnership or otherwise) has been taken by Buyer in connection with the entering into this Agreement, the instruments referenced herein, and the consummation of the transaction contemplated hereby. No consent of any partner, shareholder, trustee, trustor, beneficiary, creditor, investor, judicial or administrative body, governmental authority or other party is required.

(c) Signatory. The individuals executing this Agreement and the instruments referenced herein on behalf of Buyer and the partners of Buyer, if any, have the legal power, right, and actual authority to bind Buyer to the terms and conditions hereof and thereof.

(d) Enforceability. This Agreement and all documents required hereby to be executed by Buyer are and shall be valid, legally binding obligations of and enforceable against Buyer in accordance with their terms.

(e) ERISA. (i) Buyer is not purchasing the Property with funds that constitute plan assets within the meaning of Department of Labor Regulation 29 C.F.R. §2510.3-101 of any (a) “employee benefit plan” (within the meaning of Section 3(3) of the Employee Retirement Income Security Act of 1974, as amended (“ **ERISA** ”) and covered under Title I, Part 4 of ERISA or Section 4975 of the Internal Revenue Code of 1986, as amended (“ **Code** ”), or (b) “plan” (within the meaning of Section 4975(e)(1) of the Code), (ii) Buyer is not (a) an entity whose underlying assets include “plan assets” by reason of a plan’s investment in such entity or (b) a “governmental plan” within the meaning of section 3(32) of ERISA, and (iii) the execution of this Agreement and the sale of the Property by Buyer is not subject to state statutes regulating investments of and fiduciary obligations with respect to governmental plans.

(f) Executive Order. Buyer is in compliance with the requirements of the Order and other similar requirements contained in the rules and regulations of OFAC and any other Orders. Buyer is not:

(i) listed on the Lists; or

(ii) a person who has been determined by competent authority to be subject to the prohibitions contained in the Orders.

Buyer hereby covenants and agrees that if Buyer obtains knowledge that Buyer is indicted, arraigned, or custodial detained on charges involving money laundering or predicate crimes to money laundering, Buyer shall immediately notify Seller in writing, and in such event, Seller shall have the right to terminate this Agreement without penalty or liability to Buyer immediately upon delivery of written notice thereof to Seller. In such event the Second Deposit shall be returned to Buyer.

16. SELLER’S COVENANTS

(a) Modification of Existing Leases and Contracts. Prior to the expiration of the Contingency Period, Seller may cancel, amend and modify any of the Leases and any of the Contracts, *provided* notice is given to Buyer within five (5) business days after such action and in any event at least two (2) business days prior to the expiration of the Contingency Period. After the expiration of the Contingency Period, Seller may not cancel, amend, or modify any Leases, in a manner binding upon Buyer after the Close of Escrow, unless otherwise approved by Buyer in writing in Buyer’s sole discretion or unless required by the terms of any such Lease. After the expiration of the Contingency Period, Seller may not cancel, amend, or modify any Contract, in a manner, unless if doing so is in the ordinary course of operating the Property and the contract either (i) will not be binding on Buyer or (ii) is cancelable on thirty (30) days or less notice without penalty or premium. If Seller shall request Buyer’s approval to any of the foregoing matters, Buyer shall have five (5) business days from its receipt of such request to give Seller notice of its approval or disapproval of such matter. If Buyer does not give such notice, such matter shall be deemed disapproved by Buyer.

(b) New Leases and Contracts. Prior to the expiration of the Contingency Period, Seller may enter into any new lease or any new contract, *provided* notice is given to Buyer within five (5) business days after such action and in any event at least two (2) business days prior to the expiration of the Investigation Period. After the expiration of the Contingency Period, Seller may not enter into any new lease or contract without Buyer’s consent, which consent shall be in Buyer’s sole discretion. After the expiration of the Contingency Period, Seller may not enter into any new contract, unless doing so is in the ordinary course of operating the Property and the contract either (i) will not be binding on Buyer or (ii) is cancelable on thirty (30) days or less notice without penalty or premium. If Seller shall request Buyer’s approval to any of the foregoing matters, Buyer shall have five (5) days from its receipt of such request to give Seller notice of its approval or disapproval of such matter. If Buyer does not give such notice, such matter shall be deemed disapproved by Buyer.

(c) So long as this Agreement remains in effect, Seller shall ensure that the Property is operated and maintained in a manner consistent with past practices and maintain reasonable and customary levels and coverages of insurance and Seller shall not create or consent to the creation of liens or exceptions to title other than the Approved Conditions of Title or take any action that would render any of the representations or warranties of Seller set forth in Section 14 incorrect as of the Close of Escrow.

(d) Seller shall promptly notify Buyer in writing of any material change in the status of the use, occupancy, or condition of the Property.

(e) Seller will give notice as of the Close of Escrow terminating any Contracts that Buyer has not agreed in writing to accept to the extent that such contracts are terminable.

17. DEFAULT

(a) Liquidated Damage. BUYER RECOGNIZES THAT THE PROPERTY WILL BE REMOVED BY THE SELLER FROM THE MARKET DURING THE EXISTENCE OF THIS AGREEMENT, AND THAT IF THIS AGREEMENT IS NOT CONSUMMATED SOLELY BECAUSE OF BUYER'S DEFAULT IN ITS OBLIGATION TO PURCHASE THE PROPERTY, IT WOULD BE EXTREMELY DIFFICULT AND IMPRACTICAL TO ASCERTAIN THE EXTENT OF THE DETRIMENT TO SELLER. THE PARTIES HAVE DETERMINED AND AGREED THAT THE ACTUAL AMOUNT OF DAMAGES THAT WOULD BE SUFFERED BY SELLER AS A RESULT OF ANY SUCH DEFAULT IS DIFFICULT OR IMPRACTICABLE TO DETERMINE AS OF THE DATE OF THIS AGREEMENT AND THAT THE DEPOSIT IS A REASONABLE ESTIMATE OF THE AMOUNT OF SUCH DAMAGES. FOR THESE REASONS, THE PARTIES AGREE THAT IF THIS PURCHASE AND SALE IS NOT CONSUMMATED BECAUSE OF BUYER'S DEFAULT IN ITS OBLIGATION TO PURCHASE THE PROPERTY, SELLER, AS ITS SOLE REMEDY, SHALL BE ENTITLED TO RETAIN THE DEPOSIT AS LIQUIDATED DAMAGES (INCLUDING ALL INTEREST EARNED FROM THE INVESTMENT THEREOF). IN ADDITION, BUYER SHALL PAY ALL TITLE, SURVEY AND ESCROW CANCELLATION CHARGES. SELLER WAIVES ITS RIGHT TO SEEK SPECIFIC PERFORMANCE AGAINST BUYER PURSUANT TO CALIFORNIA CIVIL CODE SECTION 3389, OR OTHERWISE, OR TO SEEK ANY OTHER REMEDY AT LAW OR IN EQUITY. NOTHING CONTAINED HEREIN SHALL IN ANY MANNER LIMIT THE AMOUNT OF DAMAGES OBTAINABLE BY SELLER PURSUANT TO AN ACTION UNDER ANY HOLD HARMLESS, DEFENSE OR INDEMNIFICATION PROVISION HEREOF.

Seller /s/ CS

Buyer /s/ KB

(b) Default by Seller. In the event the sale of the Property as contemplated hereunder is not consummated due to Seller's default hereunder, Buyer shall be entitled, as its sole remedy, either (a) to receive the return of the Deposit plus all interest earned thereon, or (b) to enforce specific performance of Seller's obligation to convey the Property to Buyer in accordance with the terms of this Agreement, it being understood and agreed that the remedy of specific performance shall not be available to enforce any other obligation of Seller hereunder. In the event the sale of the Property as contemplated hereunder is not consummated due to Seller's default hereunder, and Buyer elects clause (a) above as its remedy, subject to a cap of \$150,000, Seller shall reimburse Buyer within ten (10) days of the cancellation of this Agreement all of Buyer's reasonable and actual out of pocket costs and expenses incurred by

Buyer in connection with this Agreement, including title, survey and escrow cancellation charges (“ **Costs** ”). Buyer expressly waives its rights to seek damages in the event of Seller’s default hereunder except as expressly provided herein. Buyer shall be deemed to have elected to terminate this Agreement and receive back the Deposit (plus interest, and be reimburse its Costs) if Buyer fails to file suit for specific performance against Seller in a court having jurisdiction in the county and state in which the Real Property is located, on or before ninety (90) days following the date upon which Close of Escrow was to have occurred. Buyer waives any right to pursue any other remedy at law or equity for such default of Seller, including, without limitation, any right to seek, claim or obtain damages (other than for the Costs), punitive damages or consequential damages. In no case shall Seller ever be liable to Buyer under any statutory, common law, equitable or other theory of law, either prior to or following the Closing, for any lost rents, profits, “benefit of the bargain,” business opportunities or any form of consequential damage in connection with any claim, liability, demand or cause of action in any way or manner relating to the Property, the condition of the Property, this Agreement, or any transaction or matter between the parties contemplated hereunder.

18. CONDEMNATION AND DESTRUCTION

(a) Eminent Domain or Taking . If, prior to the Close of Escrow, any material portion of the Real Property or Improvements is taken by eminent domain or otherwise, Seller shall immediately notify Buyer of such fact. If such taking is “material,” Buyer shall have the option, in its sole discretion, to terminate this Agreement upon written notice to Seller given not later than ten (10) days after receipt of Seller’s notice. If this Agreement is terminated pursuant to this Section, the provisions of Section 6(c) shall govern. If Buyer does not exercise this option to terminate this Agreement, or if there has not been a material taking by eminent domain or otherwise to give rise to such option, neither party shall have the right to terminate this Agreement, but the Seller shall assign and turn over, and the Buyer shall be entitled to receive and keep, all awards for the taking by eminent domain which accrue to Seller and the parties shall proceed to the Close of Escrow pursuant to the terms hereof, without modification of the terms of this Agreement and without any reduction in the Purchase Price. For the purpose hereof, “ **material** ” shall be deemed to be any diminution in the value of the Property as a result of a taking by eminent domain or otherwise which exceeds two million and 0/100ths Dollars (\$2,000,000.00).

(b) Fire or Casualty . Prior to the Close of Escrow, the entire risk of loss or damage by earthquake, flood, landslide, fire or other casualty shall be borne and assumed by Seller, except as otherwise provided in this Section. If, prior to the Close of Escrow, any part of the Improvements are damaged or destroyed by earthquake, flood, landslide, fire or other casualty, Seller shall immediately notify Buyer of such fact. If such damage or destruction is “material”, Buyer shall have the option to terminate this Agreement upon written notice to the Seller given not later than ten (10) days after receipt of Seller’s notice. For purposes hereof, “material” shall be deemed to be any damage or destruction where the cost of repair or replacement is estimated to be two million and 0/100ths Dollars (\$2,000,000.00) or more by Seller’s consultant. If this Agreement is so terminated, the provisions of Section 6(c) shall govern. If Buyer does not exercise this option to terminate this Agreement, or if the casualty is not material, neither party shall have the right to terminate this Agreement but Seller shall assign and turn over, and Buyer shall be entitled to receive and keep, all insurance proceeds payable to it with respect to such destruction, and the parties shall proceed to the Close of Escrow pursuant to the terms hereof without modification of the terms of this Agreement and without any reduction in the Purchase Price.

19. NOTICES

All notices required or permitted hereunder shall be in writing, and shall be served on the parties at the addresses set forth below. Any such notices shall be either (i) sent by overnight delivery using a nationally recognized

overnight courier, in which case notice shall be deemed delivered one (1) business day after deposit with such courier, or (ii) sent by personal delivery, in which case notice shall be deemed delivered upon receipt or refusal of delivery. A party's address may be changed by written notice to the other party; *provided, however*, that no notice of a change of address shall be effective until actual receipt of such notice. The attorney for a party has the authority to send notices on behalf of such party.

TO BUYER: Harvest 2400, LLC
2701 San Tomas Boulevard
Santa Clara, 95050
Telephone: (408) 486-2000
Facsimile: (408) 486-2200
Attention: Senior Director of Real Estate and
Legal Department

WITH A COPY TO: Cooley Godward Kronish, LLP
101 California Street, 5th Floor
San Francisco, CA 94111-5800

Telephone: (415) 693-2098

Facsimile: (415) 693-2222

Attention: Anna Pope

TO SELLER: c/o Harvest Properties, Inc.

6475 Christie Avenue, Suite 550

Emeryville, CA 94608

Telephone: (510) 594-2050

Facsimile: (510) 594-2049

Attention: John Winther

and:

c/o BlackRock Realty Advisors, Inc.

300 Campus Drive, 3rd Floor

Florham Park, New Jersey 07932

Attention: Mario Mirabelli, Vice-President - Dispositions

Telephone: (973) 264-2700

Facsimile: (646) 521-4990

mario.mirabelli@blackrock.com

and:

c/o BlackRock Realty Advisors, Inc.

300 Campus Drive, 3rd Floor

Florham Park, New Jersey 07932

Attention: Jeremy A. Litt, Esq.

Telephone: (973) 264-2700

Facsimile: (646) 521-4998

Jeremy.litt@blackrock.com

WITH COPY TO: Fulbright & Jaworski L.L.P.
600 Congress, Suite 2400
Austin, Texas 78701

Attention: Jane S. Smith, Esq.

Telephone: (512) 536-5238

Facsimile: (512) 536-4598

jsmith@fulbright.com

TO ESCROW HOLDER: First American Title Insurance Company

1737 North First Street, Suite 100

San Jose, CA 95112

Telephone: (408) 451-7800

Facsimile: (408) 451-7836

Attention: Dian Blair

Notice of change of address shall be given by written notice in the manner described in this Section

20. NONDISCLOSURE

Prior to the Close of Escrow, Buyer and Seller shall keep confidential the existence of and the provisions of this Agreement in accordance with that certain Confidentiality Agreement dated December 21, 2007 by and between Seller and Buyer; provided, however, that Buyer may make filings and disclosure of this Agreement to the extent required by applicable laws.

21. BROKERS

Seller represents to Buyer that it has not dealt with any broker or finder in connection with the sale contemplated by this Agreement except for Sherman Chan and Mike Benevento of CB Richard Ellis, Inc., and George Reilly of CPS Corfac International (collectively, “**Brokers**”). Buyer represents to Seller that it has not dealt with any broker or finder in connection with the sale contemplated by this Agreement other than Brokers. Seller and Buyer shall each indemnify and hold the other harmless from and against any and all claims of all brokers and finders other than Brokers claiming by, through or under the indemnifying party and in any way related to the sale and purchase of the Property, this Agreement, or otherwise, including, without limitation, attorneys’ fees and expenses incurred by the indemnified party in connection with such claim. The provisions of this paragraph shall survive Closing or any termination of this Agreement.

22. EXCHANGE

The parties to this Agreement acknowledge that either party may desire to structure the sale and/or the purchase of the Property as an exchange for like-kind property pursuant to Section 1031 of the Internal Revenue Code of 1986, as amended, in order to defer recognition of income from the disposition of the Property and other properties. The parties agree to reasonably cooperate with each other to accomplish such exchange(s) and each party hereby agrees that any and all costs associated with said exchange shall be borne solely by the exchanging party and shall in no way be attributable to the non-exchanging party. In no event shall (i) such cooperation entail any additional expense or cause any liability whatsoever to the non-exchanging party, (ii) the non-exchanging party be required to take title to the exchanged property(ies) to effectuate the tax deferred exchange contemplated by this Section, (iii) the Close of Escrow be extended as a result of such exchange, and (iv) the exchanging party shall indemnify and hold the other party harmless for, from an against any claim, demand, cause of action, liability or expenses including attorneys’ fees) in connection with such exchange including, without limitation, any increase in escrow fees or charges resulting from such exchange. An assignment to an exchange facilitator pursuant to this Section shall not relieve the assigning party from any of its obligations hereunder nor shall the ability to consummate a 1031 exchange be a condition to the Close of Escrow.

23. MISCELLANEOUS

(a) Partial Invalidity. If any term or provision of this Agreement or the application thereof to any person or circumstance shall, to any extent, be invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each such term and provision of this Agreement shall be valid, and shall be enforced to the fullest extent permitted by law.

(b) Waivers. No waiver of any breach of any covenant or provision herein contained shall be deemed a waiver of any preceding or succeeding breach thereof, or of any other covenant or provision herein contained. No extension of time for performance of any obligation or act shall be deemed an extension of time for performance of any other obligation or act except those of the waiving party, which shall be extended by a period of time equal to the period of the delay.

(c) Survival of Representations. The indemnification, defense and hold harmless obligations, and the representations and warranties made by each party herein (subject to Section 14(q)) shall survive (i) the Close of Escrow and shall not merge into the Grant Deed and the recordation thereof, and (ii) the termination and/or cancellation of this Agreement.

(d) Successors and Assigns. This Agreement shall be binding upon and shall inure to the benefit of the permitted successors and assigns of the parties hereto; *provided, however*, that Buyer shall not assign Buyer's rights or obligations pursuant to this Agreement to any party without the prior written consent of Seller, which consent may be withheld in its sole and absolute discretion.

(e) Professional Fees. If either party commences an action against the other to interpret or enforce any of the terms of this Agreement or because of the breach by the other party of any of the terms hereof, the losing party shall pay to the prevailing party reasonable attorneys' fees, costs and expenses and court costs and other costs of action incurred in connection with the prosecution or defense of such action, whether or not the action is prosecuted to a final judgment.

(f) Entire Agreement. This Agreement (including all Exhibits attached hereto) and all documents referred to in Sections 7 and 8 executed by the parties in connection with the Close of Escrow are the final expression of, and contain the entire agreement between, the parties with respect to the subject matter hereof and supersede all prior understandings with respect thereto. This Agreement may not be modified, changed, supplemented, superseded, canceled or terminated, nor may any obligations hereunder be waived, except by written instrument signed by the party to be charged or by its agent duly authorized in writing or as otherwise expressly permitted herein. The parties do not intend to confer any benefit hereunder on any person, firm or corporation other than the parties hereto and lawful assignees.

(g) Time of Essence. Seller and Buyer hereby acknowledge and agree that time is strictly of the essence with respect to each and every term, condition, obligation and provision hereof and that failure to timely perform any of the terms, conditions, obligations or provisions hereof by either party shall constitute a material breach of and a non-curable (but waivable) default under this Agreement by the party so failing to perform.

(h) Relationship of Parties . Nothing contained in this Agreement shall be deemed or construed by the parties to create the relationship of principal and agent, a partnership, joint venture or any other association between Buyer and Seller.

(i) Construction . Headings at the beginning of each paragraph and subparagraph are solely for the convenience of the parties and are not a part of the Agreement. Whenever required by the context of this Agreement, the singular shall include the plural and the masculine shall include the feminine and vice versa. This Agreement shall not be construed as if it had been prepared by one of the parties, but rather as if both parties had prepared the same. Unless otherwise indicated, all references to paragraphs, sections, subparagraphs and subsections are to this Agreement. All exhibits referred to in this Agreement are attached and incorporated by this reference.

(j) Governing Law . This Agreement shall be governed by, interpreted under, and construed and enforced in accordance with the laws of the State of California.

(k) Possession of Property . Buyer shall be entitled to the possession of the Property immediately following the Close of Escrow.

(l) Counterparts . This Agreement may be executed in multiple counterparts, each of which shall be deemed an original, but all of which, together, shall constitute one and the same instrument.

(m) Days of Week . If any date for performance herein falls on a Saturday, Sunday or holiday, as defined in Section 6700 of the California Government Code, the time for such performance shall be extended to 5:00 p.m. on the next business day.

(n) Representation by Counsel . Notwithstanding any rule or maxim of construction to the contrary, any ambiguity or uncertainty shall not be construed against either Seller or Buyer based upon authorship of any of the provisions hereof. Seller and Buyer each hereby warrant, represent and certify to the other as follows: (a) that the contents of this Agreement have been completely and carefully read by the representing party and counsel for the representing party; (b) that the representing party has been separately represented by counsel and the representing party is satisfied with such representation; (c) that the representing party's counsel has advised the representing party of, and the representing party fully understands, the legal consequences of this Agreement; and (d) that no other person (whether a party to this Agreement or not) has made any threats, promises or representations of any kind whatsoever to induce the execution hereof, other than the performance of the terms and provisions hereof.

(o) Facsimile Signatures . In order to expedite the transaction contemplated herein, facsimile and emailed signatures may be used in place of original signatures on this Agreement. Seller and Buyer intend to be bound by the signatures on the electronically transmitted document, are aware that the other party will rely on the such signatures, and hereby waive any defenses to the enforcement of the terms of this Agreement based on the form of signature provided that the parties agree to exchange originally signed counterparts within ten (10) days following the date hereof.

(p) Offer . This Agreement constitutes an offer by Buyer to buy the Property upon the terms and conditions set forth herein, and such offer shall not be deemed to be accepted until executed and delivered by Buyer and Seller.

(q) AS-IS SALE. EXCEPT AS EXPRESSLY SET FORTH IN THIS AGREEMENT, IT IS UNDERSTOOD AND AGREED THAT SELLER IS NOT MAKING AND HAS NOT AT ANY TIME MADE ANY WARRANTIES OR REPRESENTATIONS OF ANY KIND OR CHARACTER, EXPRESS OR IMPLIED, WITH RESPECT TO THE PROPERTY, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OR REPRESENTATIONS AS TO HABITABILITY, MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE.

BUYER ACKNOWLEDGES AND AGREES THAT UPON CLOSE OF ESCROW SELLER SHALL SELL AND CONVEY TO BUYER AND BUYER SHALL ACCEPT THE PROPERTY "AS IS, WHERE IS, WITH ALL FAULTS", EXCEPT TO THE EXTENT EXPRESSLY PROVIDED OTHERWISE IN THIS AGREEMENT. BUYER HAS NOT RELIED AND WILL NOT RELY ON, AND SELLER IS NOT LIABLE FOR OR BOUND BY, ANY EXPRESS OR IMPLIED WARRANTIES, GUARANTIES, STATEMENTS, REPRESENTATIONS OR INFORMATION PERTAINING TO THE PROPERTY OR RELATING THERETO (INCLUDING SPECIFICALLY, WITHOUT LIMITATION, OFFERING PACKAGES DISTRIBUTED WITH RESPECT TO THE PROPERTY) MADE OR FURNISHED BY SELLER, OR ANY EMPLOYEES OR AGENTS REPRESENTING OR PURPORTING TO REPRESENT SELLER, TO WHOMEVER MADE OR GIVEN, DIRECTLY OR INDIRECTLY, ORALLY OR IN WRITING, UNLESS SPECIFICALLY SET FORTH IN THIS AGREEMENT. BUYER ALSO ACKNOWLEDGES THAT THE PURCHASE PRICE REFLECTS AND TAKES INTO ACCOUNT THAT THE PROPERTY IS BEING SOLD "AS-IS."

BUYER REPRESENTS TO SELLER THAT BUYER HAS CONDUCTED, OR WILL CONDUCT PRIOR TO CLOSE OF ESCROW, SUCH INVESTIGATIONS OF THE PROPERTY, INCLUDING BUT NOT LIMITED TO, THE PHYSICAL AND ENVIRONMENTAL CONDITIONS THEREOF, AS BUYER DEEMS NECESSARY OR DESIRABLE TO SATISFY ITSELF AS TO THE CONDITION OF THE PROPERTY AND THE EXISTENCE OR NONEXISTENCE OR CURATIVE ACTION TO BE TAKEN WITH RESPECT TO ANY HAZARDOUS OR TOXIC SUBSTANCES ON OR DISCHARGED FROM THE PROPERTY, AND WILL RELY SOLELY UPON SAME AND NOT UPON ANY INFORMATION PROVIDED BY OR ON BEHALF OF SELLER OR ITS AGENTS OR EMPLOYEES WITH RESPECT THERETO, OTHER THAN SUCH REPRESENTATIONS, WARRANTIES AND COVENANTS OF SELLER AS ARE EXPRESSLY SET FORTH IN THIS AGREEMENT. UPON CLOSE OF ESCROW, BUYER SHALL ASSUME THE RISK THAT ADVERSE MATTERS, INCLUDING BUT NOT LIMITED TO, CONSTRUCTION DEFECTS AND ADVERSE PHYSICAL AND ENVIRONMENTAL CONDITIONS, MAY NOT HAVE BEEN REVEALED BY BUYER'S INVESTIGATIONS, AND BUYER, UPON CLOSE OF ESCROW (EXCEPT WITH RESPECT TO THE EXPRESS REPRESENTATIONS AND WARRANTIES OF SELLER SET FORTH IN THIS AGREEMENT AND ANY FRAUD ON THE PART OF SELLER), SHALL BE DEEMED TO HAVE WAIVED, RELINQUISHED AND RELEASED SELLER (AND SELLERS OFFICERS, DIRECTORS, SHAREHOLDERS, EMPLOYEES AND AGENTS) FROM AND AGAINST ANY AND ALL CLAIMS, DEMANDS, CAUSES OF ACTION (INCLUDING CAUSES OF ACTION IN TORT), LOSSES, DAMAGES, LIABILITIES, COSTS AND EXPENSES (INCLUDING REASONABLE ATTORNEYS' FEES) OF ANY AND EVERY KIND OR CHARACTER, KNOWN OR UNKNOWN, WHICH BUYER MIGHT HAVE ASSERTED OR ALLEGED AGAINST SELLER (AND SELLER'S OFFICERS, DIRECTORS, SHAREHOLDERS, EMPLOYEES AND AGENTS) AT ANY TIME BY REASON OF OR ARISING OUT OF ANY LATENT OR PATENT CONSTRUCTION DEFECTS OR PHYSICAL CONDITIONS, VIOLATIONS OF ANY APPLICABLE LAWS AND ANY AND ALL OTHER ACTS, OMISSIONS, EVENTS, CIRCUMSTANCES OR MATTERS REGARDING THE PROPERTY. IN ADDITION, BUYER WAIVES, RELINQUISHES AND RELEASES ANY CLAIMS IT MAY HAVE AGAINST SELLER, BLACKROCK GRANITE PROPERTY FUND, L.P., AND ITS DIRECT AND INDIRECT OWNERS, WITH RESPECT TO ANY STATEMENTS MADE BY HARVEST PROPERTIES, INC., OR ANY OF ITS AFFILIATES OR REPRESENTATIVES, INCLUDING BUT NOT LIMITED TO JOHN WINTER AND AWAI MUGHAL, REGARDING THE EXISTENCE, STATUS, POTENTIAL FOR OR NATURE OF ANY ENTITLEMENTS WITH RESPECT TO THE PROPERTY AND ANY REDEVELOPMENT OF THE PROPERTY. THE PROVISIONS OF THIS SECTION WILL SURVIVE THE TERMINATION OF THIS AGREEMENT. BUYER HEREBY WAIVES THE PROVISIONS OF CALIFORNIA CIVIL CODE SECTION 1542 WHICH PROVIDES THAT:

“A GENERAL RELEASE DOES NOT EXTEND TO CLAIMS WHICH THE CREDITOR DOES NOT KNOW OR SUSPECT TO EXIST IN HIS OR HER FAVOR AT THE TIME OF EXECUTING THE RELEASE, WHICH IF KNOWN BY HIM OR HER MUST HAVE MATERIALLY AFFECTED HIS OR HER SETTLEMENT WITH THE DEBTOR.”

Seller /s/ CS

Buyer /s/ KB

(r) Limitation on Liability . In any action brought to enforce the obligations of Seller under this Agreement or any other document delivered in connection herewith, the judgment or decree shall be subject to the provisions of this Section 23(r). In all events, the liability of Seller under this Agreement in the aggregate shall be enforceable against Seller only up to the Maximum Liability Cap. In connection with this Agreement, BlackRock Realty Advisors, Inc. (“ **Advisor** ”) is acting as the investment adviser to Seller, and Advisor shall not have any individual liability hereunder. Buyer acknowledges and agrees that Buyer shall have no recourse against any property or assets of BlackRock Granite Property Fund, L.P. or Harvest Properties, Inc. , any assets of the Advisor, or to any of the past, present or future, direct or indirect, shareholders, partners, members, managers, principals, directors, officers, agents, incorporators, affiliates or representatives of Seller, BlackRock Granite Property Fund, L.P., Harvest Properties, Inc., or the Advisor (collectively, “ **Seller Parties** ”) for the payment or collection of any amount, judgment, judicial process, arbitral award, fee or cost or for any other obligation or claim arising out of or based upon this Agreement and requiring the payment of money by Seller, except that Buyer shall have a claim against the Property (and the proceeds from the sale thereof), but only up to the Maximum Liability Cap. The Seller Parties, shall not be subject to levy, lien, execution, attachment or other enforcement procedure for the satisfaction of any of Buyer’s rights or remedies under or with respect to this Agreement, at law, in equity or otherwise, *provided* the foregoing shall not limit the rights of Buyer to pursue claims against the Property (and the proceeds from the sale thereof), but only up to the Maximum Liability Cap. Nothing contained in this Agreement shall be deemed or construed to be an acknowledgment or agreement by Seller, or any other Seller Party that they do not have and maintain, respectively, separate existences, identities and integrity from the others, or that their separate existences, identities and integrity are impaired or should be disregarded in any manner whatsoever or that BlackRock Granite Property Fund, L.P., Harvest Properties, Inc., or Advisor are parties to this Agreement. The provisions of this Section are intended and shall be construed to be a limitation on liability only and shall not be deemed or be construed to create any liability or obligation of Seller or any of the Seller Parties. The provisions of this Section shall survive the termination of this Agreement.

[*Signature page follows* .]

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the January 31, 2008.

BUYER:

HARVEST 2400, LLC

a Delaware limited liability company

By: /s/ Karen Burns

Name: Karen Burns

Its: Director its managing member

SELLER:

HARVEST-GRANITE SAN TOMAS LLC,

a Delaware limited liability company

By:BlackRock Granite Property Fund, L.P.,

a Delaware limited partnership,

By:BlackRock Granite Property Fund, LLC,

a Delaware limited liability company,

its general partner

By:BlackRock Granite Property Fund, Inc.

a Maryland corporation,

its sole member

By:BlackRock Realty Advisors, Inc.,

a Delaware corporation,

its investment manager

By: /s/ Christopher Silva

Name: /s/ Christopher Silva

Its: Vice President

[Signature page to
Agreement of Purchase and Sale]

EXHIBIT LIST

Exhibit A	–	Property Description
Exhibit B	–	Other Property
Exhibit C	–	Bill of Sale
Exhibit D	–	Leases
Exhibit E	–	General Assignment
Exhibit F	–	Grant Deed
Exhibit G	–	Documents and Materials
Exhibit H	–	Seller’s Certificate
Exhibit I	–	Buyer’s Certificate
Exhibit J	–	Contracts and Agreements
Exhibit K	–	Form of Tenant Estoppel Certificate
Exhibit L	–	Notice to Tenants
Exhibit M	–	Notice to Vendors

Exhibit A

LEGAL DESCRIPTION

Real property in the City of Santa Clara, County of Santa Clara, State of California, described as follows:

PARCEL 1:

PARCEL SIX, SO DESIGNATED AND DELINEATED ON THE PARCEL MAP RECORDED NOVEMBER 2, 1981 IN BOOK 491 OF MAPS, PAGES 42, 43 AND 44.

PARCEL 1A

PERPETUAL NONEXCLUSIVE EASEMENTS APPURTENANT TO SAID PARCEL SIX FOR (i) INGRESS AND EGRESS TO AND FROM SAID LAND; AND (ii) STORM DRAIN SEWERS; AND (iii) SANITARY SEWERS; AND (iv) GAS LINES, AS GRANTED BY MCCANDLESS - SAN TOMAS NO.2 TO MCCANDLESS - SAN TOMAS NO.1 ACCORDING TO THE RECIPROCAL EASEMENT AGREEMENT, GRANT OF PROPERTIES, RECONVEYANCE OF PROPERTIES, AND SUBORDINATION AGREEMENT RECORDED NOVEMBER 2, 1981 IN BOOK G427, PAGE 19, OFFICIAL RECORDS.

PARCEL 1B

PERPETUAL NONEXCLUSIVE EASEMENTS APPURTENANT TO SAID PARCEL SIX FOR STORM DRAIN SEWERS, AS GRANTED BY MCCANDLESS - SAN TOMAS NO. 2 TO MCCANDLESS - SAN TOMAS NO. 1 ACCORDING TO THE RECIPROCAL EASEMENT AGREEMENT RECORDED APRIL 22, 1982 IN BOOK G739, PAGE 514, OFFICIAL RECORDS.

PARCEL 2:

PARCEL SEVEN, SO DESIGNATED AND DELINEATED ON THE PARCEL MAP RECORDED NOVEMBER 2, 1981 IN BOOK 491 OF MAPS, PAGES 42, 43 AND 44.

PARCEL 2A

PERPETUAL NONEXCLUSIVE EASEMENTS APPURTENANT TO SAID PARCEL SEVEN FOR INGRESS AND EGRESS TO AND FROM SAID LAND, AS GRANTED BY MCCANDLESS - SAN TOMAS NO. 1 TO MCCANDLESS - SAN TOMAS NO.2 ACCORDING TO THE RECIPROCAL EASEMENT AGREEMENT, GRANT OF PROPERTIES, RECONVEYANCE OF PROPERTIES, AND SUBORDINATION AGREEMENT RECORDED NOVEMBER 2, 1981 IN BOOK G427, PAGE 19, OFFICIAL RECORDS.

PARCEL 2B

PERPETUAL NONEXCLUSIVE EASEMENTS APPURTENANT TO SAID PARCEL SEVEN FOR STORM DRAIN SEWERS, AS GRANTED BY MCCANDLESS - SAN TOMAS NO. 1 TO MCCANDLESS - SAN TOMAS NO. 2 ACCORDING TO THE RECIPROCAL EASEMENT AGREEMENT RECORDED APRIL 22, 1982 IN BOOK G739, PAGE 514, OFFICIAL RECORDS.

APN: 224-11-065 (Affects: Parcel 2) and 224-11-066 (Affects: Parcel 1)

EXHIBIT B

OTHER PROPERTY

(a) All unexpired leases, subleases, occupancy and license agreements and any other agreements for the use, possession or occupancy of any portion of the Property and described on Exhibit D and all other new leases or modifications to existing leases entered into by Seller after the Effective Date with respect to the Property in accordance with Section 16(a) (“ **Leases** ”), security deposits under the Leases (to the extent made by tenants under the Leases and not applied or forfeited, in accordance with the terms of the applicable Leases, prior to the Close of Escrow as defined below), tenant indemnities, rents and other sums accruing pursuant to the Leases on or after the Close of Escrow, provided that no Leases shall be deemed assigned if Seller’s execution or modification of such Leases shall be in contravention of this Agreement.

(b) All service contracts and other contracts which affect the Property to the extent described on Exhibit J and all other service contracts entered into by Seller in accordance with Section 16(b) after the Effective Date (“ **Contracts** ”);

(c) All consents, authorizations, government approvals, governmental permits, licenses and approvals, warranties and guarantees that are assignable and that Seller has received on equipment installed in the Improvements, and, to the extent in Seller’s possession, plans, specifications, as-built architectural drawings and engineering, electrical and mechanical plans.

EXHIBIT C

BILL OF SALE

THIS BILL OF SALE (“ **Bill of Sale** ”), is made this ____ day of February __, 2008, by HARVEST-GRANITE SAN TOMAS LLC, a Delaware limited liability company (“ **Seller** ”), and _____, a Delaware _____ (“ **Buyer** ”).

WITNESSETH:

Seller and Buyer entered into that certain Agreement of Purchase and Sale dated as of _____, 2007 (“ **Agreement** ”) respecting the sale of certain “ **Property** ” (as defined in the Agreement).

Under the Agreement, Seller is obligated to transfer Seller’s right, title and interest in and to certain tangible personal property, which is described in Exhibit A attached hereto and incorporated herein by this reference, as well as all of Seller’s right, title and interest in and to all other furniture, fixtures, equipment (including office equipment), machinery, tools and supplies owned by Seller and found on the improvements as of the date hereof, commonly known as 2600 - 2880 San Tomas Expressway, Santa Clara, California, located on the real property described in Exhibit B attached hereto (collectively, “ **Personal Property** ”).

NOW, THEREFORE, for good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Seller does hereby absolutely and unconditionally give, grant, bargain, transfer, sell, set over, assign, convey, release, confirm and deliver to Buyer all of the Personal Property. The Personal Property is transferred “As-Is”, “Where-Is” without warranties of any kind including without limitation, implied warranties of merchantability or fitness for any particular purpose.

This Bill of Sale shall be binding upon and inure to the benefit of the successors, assigns, personal representatives, heirs and legatees of Buyer and Seller.

This Bill of Sale shall be governed by, interpreted under, and construed and enforced in accordance with, the laws of the State of California.

IN WITNESS WHEREOF, Seller has executed this Bill of Sale as of the date first written above.

SELLER:

HARVEST-GRANITE SAN TOMAS LLC,

a Delaware limited liability company

By:BlackRock Granite Property Fund, L.P.,

a Delaware limited partnership,

its managing member

By:BlackRock Granite Property Fund, LLC,

a Delaware limited liability company,

its general partner

By:BlackRock Granite Property Fund, Inc.

a Maryland corporation,

its sole member

By:BlackRock Realty Advisors, Inc.,

a Delaware corporation,

its investment manager

By:

Name:

Its:

EXHIBIT D

LEASES

Digital Networks North America, Inc., May 23, 2003

BAIS, Inc., dba Bay Area Internet Solutions, July 22, 2002

BAIS, Inc. First Amendment to Lease, May 30, 2007

Osram Opto Semiconductors, Inc., January 5, 2007

Nvidia Corporation, May 26, 2006

Nvidia Corporation, First Amendment, February 8, 2007

Nvidia Corporation, Second Amendment, June 15, 2007

Nvidia Corporation, Third Amendment, November 15, 2007

Nvidia Corporation, Found Amendment, November 27, 2007

Nvidia Corporation, Fifth Amendment, December 4, 2007

Parametric Technology Corporation, May 2, 2003

Parametric Technology Corporation First Amendment, June 25, 2003

Edgewater Networks, Inc., July 11, 2005

M2000, Inc., September 25, 2006

Entrisphere, Inc., July 15, 2005

Mu Cho Hong and Sung Han Hong, April 5, 2006

ITM Software Corp., November 6, 2006

Verity, Inc., August 15, 2007

FusionStorm, December ___, 2005

FusionStorm First Amendment, March 24, 2006

EXHIBIT E

GENERAL ASSIGNMENT

This General Assignment (“ **Assignment** ”), dated as of _____, 2008, is entered into by and between **HARVEST-GRANITE SAN TOMAS LLC, a Delaware limited liability company** (“ **Assignor** ”), in favor _____, a Delaware _____ (“ **Assignee** ”).

WITNESSETH:

Assignor, as seller, and Assignee, as buyer, entered into that certain Agreement of Purchase and Sale dated _____, 2007 (“ **Agreement** ”), regarding the purchase and sale of certain “ **Property** ” (as such term is defined in the Agreement).

Under the Agreement, Assignor is obligated to assign to Assignee, all of Assignor’s right, title and interest in and to the Leases and Contracts (as such term is defined in the Agreement) and Intangibles and Assignee is obligation to accept such assignment.

NOW, THEREFORE, for good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Assignor hereby assigns, sells, transfers, sets over and delivers unto Assignee, all of Assignor’s estate, right, title and interest in and to (i) the maintenance, service or other contracts listed on Exhibit A attached hereto and accepted by Buyer pursuant to the Purchase Agreement, if any, (ii) the leases listed on Exhibit B and (iii) in each case to the extent assignable and without representation or warranty: all licenses, permits, sign permits, operating permits certificates of occupancy, approvals, dedications, subdivision maps and entitlements issued, approved or granted by governmental entities or otherwise in connection with the Property; any and all warranties, trade names, services marks, engineering, soils, pest control and other reports relating to the Property; advertising materials, all development rights and other intangible rights, titles, interests, privileges and appurtenances (in each case without representation or warranty, except as expressly set forth in the Agreement) and related to the Property and its operation; and all licenses, consents, easements, rights of way and approvals required from private parties to make use of utilities and to insure vehicular and pedestrian ingress and egress to the Real Property and the Improvements, if any (collectively, the “ **Intangibles** ”), and Assignee hereby accepts such assignment and assumes the obligations with respect to the Intangibles as of the Close of Escrow (as defined in the Agreement).

In the event of the bringing of any action or suit by a party hereto against another party hereunder by reason of any breach of any of the covenants, conditions, agreements or provisions on the part of the other party arising out of this Assignment, then in that event the prevailing party shall be entitled to have and recover of and from the other party all costs and expenses of the action or suit, including reasonable attorneys’ fees.

This Assignment shall be binding upon and inure to the benefit of the successors, assignees, personal representatives, heirs and legatees of all the respective parties hereto.

This Assignment shall be governed by, interpreted under, and construed and enforceable in accordance with, the laws of the State of California.

The obligations of Assignee contained herein are intended to be binding upon Assignee and shall not be personally binding upon, nor shall any resort be had to the private properties of any officers, directors, shareholders, trustees or beneficiaries thereof.

This Assignment may be executed in counterparts with all such counterparts together constituting one (1) original of this Assignment.

IN WITNESS WHEREOF, Assignor and Assignee have executed and delivered this Assignment as of the dates set forth below.

ASSIGNEE:

_____, LLC
a Delaware _____
By:
Name:
Its:

ASSIGNOR:

HARVEST-GRANITE SAN TOMAS LLC,
a Delaware limited liability company
By:BlackRock Granite Property Fund, L.P.,
a Delaware limited partnership,
its managing member
By:BlackRock Granite Property Fund, LLC,
a Delaware limited liability company,
its general partner
By:BlackRock Granite Property Fund, Inc.
a Maryland corporation,
its sole member
By:BlackRock Realty Advisors, Inc.,
a Delaware corporation,
its investment manager
By:
Name:
Its:

EXHIBIT A To GENERAL ASSIGNMENT

LIST OF CONTRACTS

E-3

EXHIBIT F
GRANT DEED

RECORDING REQUESTED BY AND

WHEN RECORDED MAIL TO:

Harvest Properties, Inc.

Attention: _____

MAIL TAX STATEMENTS TO:

Same as above

(Above Space For Recorder's Use Only)

In accordance with Section 11932 of the California Revenue and Tax Code, Grantor has declared the amount of the transfer tax which is due by a separate statement not being recorded with this Grant Deed.

GRANT DEED

FOR A VALUABLE CONSIDERATION, RECEIPT OF WHICH IS HEREBY ACKNOWLEDGED, **HARVEST-GRANITE SAN TOMAS LLC, a Delaware limited liability company** (“ **Grantor** ”), hereby grants to _____, a Delaware _____ all rights, title and interest in that certain real property described in Exhibit A attached hereto and made a part hereof. The conveyance hereunder is made subject to matters of record or apparent from an inspection or survey as of the date hereof.

DATED: _____, 2008

GRANTOR:

HARVEST-GRANITE SAN TOMAS LLC,

a Delaware limited liability company

By:BlackRock Granite Property Fund, L.P.,

a Delaware limited partnership,

its managing member

By:BlackRock Granite Property Fund, LLC,

a Delaware limited liability company,

its general partner

By:BlackRock Granite Property Fund, Inc.

a Maryland corporation,

its sole member

By:BlackRock Realty Advisors, Inc.,

a Delaware corporation,

its investment manager

By:

Name:

Its:

State of California

County of _____

On _____ before me, _____, a notary public, personally appeared _____, who proved to me on the basis of satisfactory evidence to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing is true and correct.

EXHIBIT A TO GRANT DEED

LEGAL DESCRIPTION

Real property in the City of Santa Clara, County of Santa Clara, State of California, described as follows:

PARCEL 1:

PARCEL SIX, SO DESIGNATED AND DELINEATED ON THE PARCEL MAP RECORDED NOVEMBER 2, 1981 IN BOOK 491 OF MAPS, PAGES 42, 43 AND 44.

PARCEL 1A

PERPETUAL NONEXCLUSIVE EASEMENTS APPURTENANT TO SAID PARCEL SIX FOR (i) INGRESS AND EGRESS TO AND FROM SAID LAND; AND (ii) STORM DRAIN SEWERS; AND (iii) SANITARY SEWERS; AND (iv) GAS LINES, AS GRANTED BY MCCANDLESS - SAN TOMAS NO.2 TO MCCANDLESS - SAN TOMAS NO.1 ACCORDING TO THE RECIPROCAL EASEMENT AGREEMENT, GRANT OF PROPERTIES, RECONVEYANCE OF PROPERTIES, AND SUBORDINATION AGREEMENT RECORDED NOVEMBER 2, 1981 IN BOOK G427, PAGE 19, OFFICIAL RECORDS.

PARCEL 1B

PERPETUAL NONEXCLUSIVE EASEMENTS APPURTENANT TO SAID PARCEL SIX FOR STORM DRAIN SEWERS, AS GRANTED BY MCCANDLESS - SAN TOMAS NO. 2 TO MCCANDLESS - SAN TOMAS NO. 1 ACCORDING TO THE RECIPROCAL EASEMENT AGREEMENT RECORDED APRIL 22, 1982 IN BOOK G739, PAGE 514, OFFICIAL RECORDS.

PARCEL 2:

PARCEL SEVEN, SO DESIGNATED AND DELINEATED ON THE PARCEL MAP RECORDED NOVEMBER 2, 1981 IN BOOK 491 OF MAPS, PAGES 42, 43 AND 44.

PARCEL 2A

PERPETUAL NONEXCLUSIVE EASEMENTS APPURTENANT TO SAID PARCEL SEVEN FOR INGRESS AND EGRESS TO AND FROM SAID LAND, AS GRANTED BY MCCANDLESS - SAN TOMAS NO. 1 TO MCCANDLESS - SAN TOMAS NO.2 ACCORDING TO THE RECIPROCAL EASEMENT AGREEMENT, GRANT OF PROPERTIES, RECONVEYANCE OF PROPERTIES, AND SUBORDINATION AGREEMENT RECORDED NOVEMBER 2, 1981 IN BOOK G427, PAGE 19, OFFICIAL RECORDS.

PARCEL 2B

PERPETUAL NONEXCLUSIVE EASEMENTS APPURTENANT TO SAID PARCEL SEVEN FOR STORM DRAIN SEWERS, AS GRANTED BY MCCANDLESS - SAN TOMAS NO. 1 TO MCCANDLESS - SAN TOMAS NO. 2 ACCORDING TO THE RECIPROCAL EASEMENT AGREEMENT RECORDED APRIL 22, 1982 IN BOOK G739, PAGE 514, OFFICIAL RECORDS.

APN: 224-11-065 (Affects: Parcel 2) and 224-11-066 (Affects: Parcel 1)

EXHIBIT G

DOCUMENTS AND MATERIALS

A. **Intentionally Omitted** .

B. **Operating Information** . The following information with respect to the Property:

1. Copies of real estate tax bills (including special assessments) for prior 3 years, including evidence of payment.
2. Plans and specifications showing “as built” condition of the Property with an architect’s certificate as to the gross leasable area of the Property, to the extent they exist and are in Seller’s possession.
3. All reports relating to the physical condition of the Property, to the extent they exist and are in Seller’s possession, including engineering, mechanical, roof, environmental and seismographic.
4. All current insurance policies, together with a written summary of insurance coverages and premiums by policy type.
5. All reports, assessments or studies regarding actions required to bring the Property into compliance with the American Disabilities Act (“**ADA**”), or any similar statute or local ordinance or code.
6. All reports, assessments, studies or other information in Seller’s possession relating to design, construction and costs of performing seismic, ADA, building code and other improvements with respect to the Property.
7. A detailed list of any personal property owned by Seller including, without limitation, any fixtures equipment and tools owned by Seller and located on the Property which are to be conveyed to Buyer at the Close of Escrow (collectively, “**Personal Property**”), together with a copy of any warranty or guaranties applicable thereto.
8. Copies of all management, service and other contracts and agreements relating to the ownership, operation, maintenance, construction or development of the Property, including without limitation, any insurance policies, broker listing agreements, construction contracts major subcontractor contracts, architect contracts, maintenance contracts, reciprocal easement agreements, utility will-serve letters and any construction warranties on the roof of the Property, HVAC or other elements of the Property.
9. Copies of all leases, licenses or occupancy agreements relating to the Property.

C. **Other Information**. To the extent such exist and are in Seller's possession, the following additional information relating to the Property:

1. Seller's most current title policy.
2. Existing certified boundary survey and title survey completed by a registered surveyor, including a legal description and, to the extent in Seller's possession, copies of any title exceptions noted thereon.
3. Any and all licenses, permits, approvals and agreements affecting or relating to the ownership and operation of the Property.
4. Copies of all applications, permits, notices, approvals and correspondence or other written communications to or from any governmental or quasi-governmental entity, department or agency regarding any permit, approval, consent or authorization with respect to the Property, including without limitation, any building permits and certificates of occupancy.
5. Copies of all documents pertaining to any loan currently secured by the Property.
6. Details of any pending disputes, lawsuits, claims or other proceedings affecting the Property or any past disputes, lawsuits, claims or other proceedings affecting the Property while owned by Seller.

EXHIBIT H

SELLER'S CERTIFICATE

The undersigned, **HARVEST-GRANITE SAN TOMAS, LLC, a Delaware limited liability company** (“ **Seller** ”), hereby certifies to _____, a **Delaware** _____ (“ **Buyer** ”), pursuant to that certain Agreement of Purchase and Sale dated _____, 2007 by and between Seller and Buyer (the “ **Agreement** ”), that the representations and warranties made by Seller in the Agreement, subject to the provisions of and limitations contained in this Agreement, are true and correct and complete in all material respects as of the date hereof.

IN WITNESS WHEREOF, the undersigned has executed this certificate as of the _____ day of _____, 2008.

HARVEST-GRANITE SAN TOMAS LLC,

a Delaware limited liability company

By:BlackRock Granite Property Fund, L.P.,

a Delaware limited partnership,

its managing member

By:BlackRock Granite Property Fund, LLC,

a Delaware limited liability company,

its general partner

By:BlackRock Granite Property Fund, Inc.

a Maryland corporation,

its sole member

By:BlackRock Realty Advisors, Inc.,

a Delaware corporation,

its investment manager

By:

Name:

Its:

EXHIBIT I

BUYER'S CERTIFICATE

The undersigned, _____, a Delaware _____ (“**Buyer**”), pursuant to that certain Agreement of Purchase and Sale dated _____, 2007 by and between Harvest-Granite San Tomas, LLC, as Seller, and Buyer (the “**Agreement**”), that the representations and warranties made by Buyer in the Agreement, subject to the provisions of and limitations contained in this Agreement, are true and correct and complete in all material respects as of the date hereof.

IN WITNESS WHEREOF, the undersigned has executed this certificate as of the _____ day of _____, 2008.

BUYER:

a Delaware _____

By:

Name:

Its:

EXHIBIT J

CONTRACTS AND AGREEMENTS

Exclusive Lease Listing Agreement, August 11, 2006, (CB Richard Ellis, Inc.)

Engineering Service Agreement, January 9, 2006, (ABM Engineering Services)

Service Contract (Elevator), April 26, 2006, (Otis Elevator Company)

Service Contract (Exterior Lighting), December 13, 2005, (Lighting Management Co., Inc.)

Service Contract (HVAC), June 26, 2006, (Matrix HG, Inc.)

Service Contract (Interior Plants), December 13, 2005, (AddLife, Inc.)

Service Contract (Janitorial), December 13, 2005, (Loma Cleaning Service, Inc.)

Service Contract (Landscaping), March 29, 2006, (Valley Crest Landscape Maintenance)

Service Contract (Pest Control), December 13, 2005, (Crane Pest Control, Inc.)

Service Contract (Window Washing), December 13, 2005, (Caledonia Building Services, Inc.)

Service Contract (Fire and Life Safety), February 8, 2006, (Diamond Communications, Inc.)

Service Contract (Parking Lot Sweeping), April 20, 2006, (Sweep, Inc.)

Management Agreement between San Tomas Tower LLC and Harvest Properties, Inc., dated December 13, 2005, as amended by the First Amendment to Property Management and Leasing Agreement, dated May 12, 2006, and amended by the Second Amendment to Property Management and Leasing Agreement, dated January __, 2007.

EXHIBIT K

FORM TENANT ESTOPPEL CERTIFICATE

[BUYER]

[BUYER'S ADDRESS]

Ladies and Gentlemen:

At the request of Harvest-Granite San Tomas, LLC, a Delaware limited liability company (" **Landlord** "), made in connection with the proposed sale of the property commonly known as 2600 - 2880 San Tomas Expressway, located in Santa Clara, California, (the " **Property** ") and Landlord's interest in the " **Lease** " (as hereinafter defined) to [BUYER] (" **Buyer** "), the undersigned hereby certifies to Landlord and Buyer as follows:

1. The undersigned is the tenant under a lease with Landlord, dated _____, ____, [as amended by _____, dated _____, ____ (collectively, the " **Lease** ")][(the " **Lease** ")], for suite(s) _____ on the _____ floor(s) at the Property (the " **Premises** ").
2. The Lease sets forth the entire agreement between Landlord and the undersigned with respect to the Premises, is in full force and effect and has not been amended, modified or extended.
3. The monthly [base][minimum] rent of \$_____ due under the Lease has been paid through the date hereof, and all additional rent (consisting of \$_____ per month for estimated operating expenses and estimated real estate taxes) due under the Lease has been paid through the date hereof.
4. The Landlord is not in default under the Lease.
5. The expiration date of the Lease is _____, _____.
6. The amount of the security deposit currently held by Landlord under the Lease is \$_____.
7. There is no prepaid rent, except \$_____.
8. The undersigned has not assigned any of its interest in the Lease or subleased all or any portion of the Premises, except as follows: _____.
9. The undersigned has no defenses, counterclaims, set-offs or concessions against rent or charges due or to become due under the Lease.
10. The undersigned has unconditionally accepted the Premises and [has commenced payment of full rent] [or] [is entitled to _____ month's abatement of base rent, as of the date hereof] under the Lease and is the owner and holder of the entire tenant's interest in the Lease.
11. All work required to be performed by Landlord as of the date hereof with respect to the Lease and in connection with the Premises has been completed by Landlord to the satisfaction of Tenant.

12. The "base year" for operating expense reimbursements and real estate taxes under the Lease is ____.
13. The undersigned has no right or option pursuant to the Lease or otherwise to purchase all or any part of the Premises or the Property.
14. This Tenant Estoppel Certificate (this " **Certificate** ") shall inure to the benefit of Landlord, Buyer and their successors and assigns.
15. The undersigned is duly authorized to execute this Certificate.

Very truly yours,

_____, Tenant

By:

Name:

Its:

Date:_____, 2006

EXHIBIT L

FORM OF TENANT NOTICE LETTER

NOTICE TO TENANTS

2600 - 2880 San Tomas Expressway, Santa Clara, California

_____, 2008

Re: Sale of 2600 - 2880 San Tomas Expressway, Santa Clara, California (the “ **Property** ”)

Dear Tenant:

This is to notify you that the Property has been sold to [BUYER] and that _____ has been retained by the new owner as managing agent of the building. Any security or other deposits and any prepaid rents under your lease have been transferred to the new owner.

Effective immediately, all rental payments, notices to the Landlord, and correspondence pursuant to your lease should be mailed to the following address:

_____.

Very truly yours,

L-1

EXHIBIT M

FORM OF VENDOR NOTICE LETTER

NOTICE TO VENDORS

2600 - 2880 San Tomas Expressway, Santa Clara, California

_____, 2008

Re: Sale of 2600 - 2880 San Tomas Expressway, Santa Clara, California (the “ **Property** ”)

Dear Service Provider:

This is to notify you that the Property has been sold to [BUYER] (“ **Buyer** ”). Buyer has assumed all of the obligations of the undersigned under the service contracts as of the date hereof. All notices to Buyer should be sent to Buyer in the manner provided in the service contract to the following address:

_____.

Very truly yours,

M-1

EXHIBIT N

RELATIONSHIP SIDE LETTER

HARVEST PROPERTIES, INC.

6475 Christie Avenue, Suite 550

Emeryville, CA 94608

January 31, 2008

Chris Silva
BlackRock Realty Advisors, Inc.
300 Campus Drive, 3rd Floor
Florham Park, New Jersey 07932

Dear Chris,

As discussed, Harvest 2400, LLC, an entity wholly owned by Nvidia Corporation ("Buyer"), the buyer of 2600-2880 San Tomas Park ("Property") pursuant to that certain Amended and Restated Agreement of Purchase and Sale, effective as of December 28, 2007 ("Purchase Agreement"), has requested that BlackRock Granite Property Fund, L.P. ("Granite"), in its capacity as the investor member of Harvest-Granite San Tomas ("Owner"), the current owner of the property, acknowledge that it is aware that Harvest Development Partners, LLC ("Harvest"), an affiliate of Harvest Properties, Inc., which is a member of Owner, and Buyer intend to enter into a development agreement pursuant to which Harvest will be retained by Buyer as its exclusive developer in connection with the redevelopment of a new office campus for Buyer on the Property and on a neighborhood located at 2400 Condensa Street, Santa Clara, California. Granite further acknowledges that Granite has been informed that: (i) prior to the date of the Purchase Agreement, Harvest has been working with Buyer on the entitlement process for the potential development of the Property, and that, after the closing of the Purchase Agreement, Harvest will continue to work with Buyer to develop the Property, and (ii) Buyer contemplates developing the Property with a one-half to two million square foot campus over the next five to six years, subject to the terms of the development agreement with Harvest in place at present, and contemplated future relationship between Buyer and Harvest being referred to herein as the "Relationship").

Granite is executing this letter with the understanding that Buyer understands and has acknowledged that none of Granite, BlackRock Realty Advisors, Inc., their respective direct or indirect owners, or any of each of their respective members, managers, officers, directors, partners, owners, employees, or legal advisors (collectively, the "Granite Parties") have any knowledge whatsoever relating to any representations or warranties that have been made or may have been made to Buyer by Harvest or any of Harvest's affiliates or any of their respective representatives pursuant to the Relationship or in connection with the entitlement or contemplated redevelopment of the Property by Buyer or any other party, and further, except for the representations and warranties of Seller set forth in the Purchase Agreement (subject to the terms and limitations set forth therein), that Buyer has accepted and released the Granite Parties from any liability whatsoever with respect to the Relationship, any matters relating to the entitlement of the Property, and any contemplated redevelopment of the Property by Buyer or any other party.

Please confirm that you are aware of the above by signing below.

Thanks,

By: /s/ John Winther
Name : John Winther,
President, Harvest Properties, Inc.

[Acknowledgement on Next Page]

N-2

Acknowledged and confirmed as of January 31, 2008 :

HARVEST-GRANITE SAN TOMAS LLC, a Delaware limited liability company

By: BlackRock Granite Property Fund, L.P.,
a Delaware limited partnership, its managing member

By: BlackRock Granite Property Fund, LLC,
a Delaware limited liability company, its general partner

By: BlackRock Granite Property Fund, Inc.
a Maryland corporation, its sole member

By: BlackRock Realty Advisors, Inc.,
a Delaware corporation, its investment manager

By: /s/ Chris Silva
Name : Chris Silva
Its: Vice President

